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OECD ECONOMIC SURVEYS

1998

SPECIAL FEATURES
The "Dutch model", reform of the social security system, entrepreneurship

NETHERLANDS

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1997-1998

NETHERLANDS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE NETHERLANDS (1996)

THE LAND

Area (1 000 km^2):	
Total	41.5
Agricultural land	19.8
Woodland (1993)	3.1

Major cities, 1st January (thousand inhabitants):	
Amsterdam	718
Rotterdam	593
The Hague	443

THE PEOPLE

Population (thousands)	15 494
Number of inhabitants per km^2 of land	457
Net natural increase (thousands)	53

Employment (thousands):	
Total	5 477
Agriculture, fishing	247
Industry	1 307
Other activities	3 923

PRODUCTION

Gross domestic product (billion guilder)	667.6
GDP per head (US$)	25 556
Gross fixed investment:	
Per cent of GDP	19.7
Per head (US$)	5 031

Origin of net domestic product at factor cost (per cent):	
Agriculture, fishing and forestry	2.8
Industry	21.5
Construction	6.1
Other	69.6

THE PUBLIC SECTOR

Per cent of GDP:	
Public consumption	14.0
Current receipts	47.3
Current disbursements	48.1

Composition of Parliament (number of seats):	
Labour party	37
Christian democratic appeal	34
Liberals (VVD)	31
Liberals (D'66)	24
Other	24
Total	150

Last general election: May 1994

FOREIGN TRADE

Exports of goods and services (per cent of GDP)	53.7
Main exports, 1995 (per cent of total merchandise exports):	
Food	16.2
Energy	6.9
Chemicals	16.4
Metals	6.2
Machinery and transport equipment	26.6

Imports of goods and services (per cent of GDP)	47.3
Main imports, 1995 (per cent of total merchandise imports):	
Food, beverages and tobacco	12.0
Energy	6.9
Manufactured goods except metal	8.3
Machinery and electrical equipment	23.8
Transport equipment	9.2

THE CURRENCY

Monetary unit: Guilder

Currency units per US$, average of daily figures:	
Year 1996	1.69
December 1997	2.00

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of the Netherlands by the Economic and Development Review Committee on 8 December 1997.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 15 January 1998.

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The previous Survey of the Netherlands was issued in April 1996.

Assessment and recommendations

Economic performance has been quite good, with strong, well-balanced growth and rapid job creation...

Since the slowdown of 1993, real GDP growth in the Netherlands has averaged nearly 3 per cent a year, significantly above the EU average; it is expected to have been 3¼ per cent in 1997. The expansion has been investment-driven, as firms have reacted to strong order books, rising profits, increasing rates of capacity utilisation and relatively low interest rates. At first, net exports also provided some stimulus but, following the appreciation of the guilder in effective terms in 1995, they have played a more neutral role. Over the past couple of years, private consumption has been one of the major contributors to economic growth, in contrast with the experience in most other EU countries. Dutch private consumption seems to have been boosted by a ''feel good'' factor, possibly related to the steady improvement in the labour market, as well as by sizeable capital gains resulting from rising house and share prices. Reflecting demographic factors and a rising participation rate, the labour force has continued to grow faster than the EU and OECD averages. Nonetheless, since 1995, employment has grown even faster, and the standardised unemployment rate has fallen to around 5½ per cent, one of the lowest in the OECD area. The unemployment rate (national definition) has followed a similar path and in late 1997, at 5.3 per cent, it was close to the trough of early 1992 and back to the levels of the late 1970s. But it is difficult to assess the exact degree of tightness in the labour market given the structural reforms implemented in recent years.

... and wage-price inflation has generally remained subdued

Although the economy has been operating at close to estimated potential, there have been no major inflationary pressures. Contractual wages have barely accelerated, and while CPI inflation did pick up in 1997, this was largely due to higher import prices entailed by the strength of the dollar and the depreciation of the guilder in effective terms. On the other hand, there has been a major increase in asset prices and, more recently, a rapid growth in mortgage credit to households.

The outlook for growth is favourable, but there is some risk of inflation

The economy will continue to benefit from past wage moderation, fiscal consolidation, and structural reform in the labour market and the social security system, which have made working arrangements increasingly flexible, enhanced job creation, and resulted in a return of persons on welfare to the active labour market. The on-going process of regulatory reform – including of shop opening hours – has significantly liberalised various activities and intensified competition in product markets. All these factors, combined with strong capacity-increasing investment, have contributed to boost potential output, thereby reducing somewhat the risk of overheating. Real GDP growth is projected by the OECD Secretariat to rise to nearly 3¾ per cent a year in both 1998 and 1999, with net exports taking over as the driving force of the expansion. As job creation is expected to again exceed the growth in the labour force, unemployment should continue to trend down, and the unemployment rate (national definition) is projected to fall to 4½ per cent in 1999. Inflation is expected by the OECD Secretariat to pick up a little, especially towards the end of the projection period. The rate of increase of the private consumption deflator may edge up to 2½ per cent in 1999, and compensation per employee may accelerate to around 3¼ per cent. However, given the difficulty of assessing the restraining impact of various factors discussed above, the

margin of error in projecting inflation is especially large. The balance of risk would appear to be on the inflationary side, as the favourable outlook for employment and income might induce households to consume more than projected, thereby increasing demand pressure.

The performance of the ''Dutch model'' has been underpinned by wage-cost moderation and sound economic policies...

The recent performance of the Dutch economy, which compares favourably with that of most other European countries, especially in terms of growth and employment creation, has received a lot of attention, with many analysts referring to a ''Dutch model''. However, a proper assessment of this performance requires an historical perspective and a few important qualifications. In the 1970s and early 1980s, as a result of various shocks and misguided policies, the Dutch economy performed dismally and significantly worse than other European economies. This created a large margin of unused capacity, severe imbalances and a pressing need for a major policy change. Such a reorientation of economic policy was initiated in 1982 – away from demand management and towards a more supply-oriented approach, fiscal consolidation, a stable exchange rate of the guilder *vis-à-vis* the Deutschemark, a progressive overhaul of the social security system, and regulatory reform. An important element of the new economic strategy was an agreement between employers and trade unions (the so-called ''Wassenaar agreement'') on wage moderation combined with a reduction in working time. The Wassenaar agreement and subsequent agreements between the social partners at the national level have provided broad guidelines, while actual wage negotiations have taken place at the sectoral level – a mix of centralised and decentralised negotiations which has enhanced labour market flexibility and has served the Netherlands well. The government has strongly supported wage-cost moderation through cutbacks in social security, reduced minimum wages and lower

taxes. Despite the severity of the measures taken, social peace has been maintained.

... generating a virtuous circle

This approach has progressively set in motion a ‘‘virtuous circle’’ of strong international competitiveness, high profitability, buoyant investment and rapid job creation, with feedback effects on household confidence, asset prices and private consumption. Moreover, the favourable performance of the private sector has interacted with fiscal consolidation, facilitating the simultaneous reduction of the budget deficit and the tax burden. Tax relief has decreased labour costs, reduced distortions, and made wage moderation more acceptable. Wage moderation has enhanced employment, not only by restoring firms’ profitability and competitiveness, thereby boosting investment and exports and hence the demand for labour, but also through a substitution of labour for capital, which has made economic growth more labour intensive.

But performance needs to be put in an historical perspective...

The recovery and expansion which has taken place since 1982 has largely represented a reversal of past underachievements, a correction of imbalances and a catching up with other countries. This process, however, has been only partial: real per capita GDP relative to the most advanced EU countries started rebounding only in the late 1980s, and has not yet returned to the level of the early 1970s; despite remarkable progress in fiscal consolidation, the general government deficit, public spending and the tax burden (all as a percentage of GDP) remain larger than in 1970 and – concerning the latter two – well above the OECD average. And finally, the number of inactive persons on welfare is still well above the 1970 level.

... and requires important qualifications, notably concerning the labour market...

The performance of the Dutch economy in creating jobs has been impressive, and better than that of most other OECD countries except the United States. But over two-thirds of the net jobs created since 1982 have been part-time jobs and, more recently, temporary work has grown rapidly. Currently, part-time workers account for nearly 40 per cent of all employed workers and work through temporary work agencies represents almost 3½ per cent of total working hours – both percentages being by far the highest in the OECD area. A comprehensive assessment of part-time work is difficult. On the one hand, available evidence suggests that part-time work is largely based on individual choice and reflects the flexibility of the Dutch labour market in accommodating socio-cultural values which may be oriented more towards leisure and family activities than in many other Member countries. On the other hand, part-time work may also be the result of institutional features of the Dutch economy, such as tax distortions and the limited provision of child-care facilities. The surge in part-time work has coincided and interacted with the rapid expansion of the service sector: it has largely represented the creation of new, different jobs mostly filled by women, rather than a redistribution of existing full-time jobs. As a result, the female participation rate has risen steadily towards the OECD average. The increase in the number of households with two wage earners may have made wage moderation more acceptable.

... where the number of inactive persons on welfare remains high...

The development of temporary work (or, more generally, flexible contracts) has contributed to a more flexible use of labour. It has reflected, among other factors, the need of employers to cope with fluctuations in work load, and their desire to lengthen probation periods and screen new employees before offering them traditional contracts. Hence, flexible contracts may represent a second-best

arrangement which alleviates the impact on employment of still-restrictive legislation governing more traditional forms of work, but also reduces the degree of job security. The average job tenure is lower than both the EU and OECD averages. But the weakest point of the Dutch labour market performance is the large number of inactive persons or ''broad unemployment'' as presented in previous OECD Surveys – *i.e.* unemployed and inactive persons of working age receiving a social security benefit and persons enrolled in subsidised employment programmes. Despite rapid job creation, the decline in registered unemployment, and on-going reforms in the welfare system – notably the re-examination of disabled persons – broad unemployment (in full-time equivalents) at over 25 per cent of the broad labour force, has barely edged down from its previous peak and remains well above the levels of the early 1980s. There are no standardised calculations of ''broad unemployment'' that would serve as a basis for international comparison, but the ratio of people of working age on social benefits to active working-age persons shows that, at around 40 per cent in 1995 (in full-time equivalents), the Dutch ratio seems to be broadly in line with that of most other European countries, although well above that of the United States and Japan. High broad unemployment and, to a lesser extent, widespread part-time work help to explain why the rate of employment (in full-time equivalents) is still only 52 per cent, compared with nearly 60 per cent in 1970 and very low by international standards.

... while real effective depreciation of the currency has strengthened international competitiveness

While the Dutch model undoubtedly has its roots in domestic policies, the external sector has played a major supporting role, as the positive impact of wage moderation on international competitiveness has been accentuated by the decision to tie the guilder firmly to the Deutschemark. This was a hard-currency option but, in fact, since 1983, the competitive position of Dutch firms has improved – *i.e.* the

real effective exchange rate of the guilder has depreciated – by over 10 per cent, as the nominal appreciation of the guilder in effective terms has been significantly smaller than the fall in Dutch unit labour costs relative to partner countries. The Dutch current-account surplus has averaged 4 per cent of GDP since 1983, and in 1997 it may have exceeded 6 per cent.

Economic policy faces the challenge of continuing job creation while preventing overheating

A stable, rigorous economic policy with a medium-term orientation has undoubtedly contributed to the success of the ''Dutch model''. The anti-inflationary monetary policy based on the close link with the Deutschemark has enhanced confidence in the guilder and secured low interest rates. Moreover, the Netherlands has been more successful than most other European countries in fiscal consolidation: the budget deficit fell below the Maastricht ceiling of 3 per cent of GDP already in 1996, and in 1997, according to the OECD Secretariat, it may have decreased to around 2 per cent (owing to tax revenues which were not reported in the 1998 budget proposal, the Dutch authorities expect the 1997 deficit to have decreased to 1.5 per cent of GDP). At the same time, taxes and employers' non-wage costs have been cut, thereby alleviating the ''collective burden'' – *i.e.* the ratio of taxes and social security contributions to GDP. While the resulting improvement in the economic fundamentals should facilitate further output growth and job creation, it is important to remain vigilant regarding the risk of overheating.

Macroeconomic policy seems unlikely to provide significant restraint

Macroeconomic policy, on balance, seems unlikely to provide significant restraint over the projection period. Interest rates are expected to rise in 1998-99, first in line with German rates and then as a result of robust economic growth in EMU countries generally. But, due to the policy of linking the guilder closely to the Deutschemark, there is

virtually no room for manoeuvre for Dutch monetary policy to tighten independently. As for the 1998 budget, according to both the OECD Secretariat and the Dutch government, it represents a broadly neutral stance of fiscal policy. Reflecting the buoyancy of the economy, the OECD Secretariat expects the deficit to decline further over the projection period, to a little over 1½ per cent of GDP in 1999.

Fiscal policy should maintain its medium-term orientation

Dutch fiscal policy has a stable medium-term orientation, embodying a decrease in government expenditure and in public debt in relation to GDP. In the period 1995-1998, government expenditure as a per cent of GDP is scheduled to fall by about 5 percentage points, and the debt-to-GDP ratio by 9 percentage points. This policy includes a stringent medium-term ceiling for central government social security and public health spending, and is based on a cautious economic growth scenario. Revenue windfalls have been used both for tax cuts and additional deficit reduction. Windfall saving in expenditure subject to the ceiling is not automatically used for other spending categories. Under such a regime, the automatic stabilisers can be allowed to work more freely than in the case of a deficit target, although not necessarily fully. However, if the risk of overheating were to materialise, the automatic stabilisers should indeed be allowed to work fully. In the longer term, the government's aim of reducing the role of the public sector in the economy will require continued reductions in both taxes and public spending. Further fiscal consolidation is also desirable to comply with EMU requirements and prepare for population ageing.

Stepped-up structural reform remains imperative...

Structural reform is desirable to create a stronger economy. While its positive effects are generally believed to be slow, by reducing supply-side constraints it will also alleviate inflationary pressures. Over the past couple of years, struc-

tural reform has progressed at a slow but sustained pace, in line with the Dutch consensus approach which, by avoiding confrontation and preserving social cohesion, ultimately makes significant changes possible with a minimum of disruptions. Several initiatives have been taken in the social security system (see below). In the labour market, attention has been given to further reducing the negative impact on flexibility and job creation – especially for low-skilled workers – of such institutional features as the administrative extension of sectoral wage agreements and the legal minimum wage. A reduction in non-wage labour costs for low-paid workers was introduced in 1996 and increased subsequently. Encouraged by the government, employers and unions have agreed to progressively eliminate the gap between the legal minimum wage and minimum wages set in collective labour agreements, either by creating, new, lower wage scales or by extending downward existing wage scales. Also, the application of ''opening clauses'' – which allow firms, under certain circumstances, to pay less than the minimum set in collective contracts – has grown. Nonetheless, progress has been slow and the scope for further improvement in these two areas remains important. Several measures have been taken to streamline the implementation of labour market policies by moving towards a ''one-counter system'', enhancing the enforcement of job search and availability rules, and introducing greater competition in the provision of placement services. It is, however, too early to assess the effect of these measures. Finally, a new Competition Law, based on the prohibition principle and including control of mergers and acquisitions, has come into force in January 1998.

... including in the area of regulatory reform

In the field of regulatory reform, the Dutch government has embarked on a comprehensive policy of reassessing existing regulations and reducing the administrative bur-

den, thereby strengthening product market competition. This policy also includes a systematic assessment of the impact of draft legislation on business and the environment. Notwithstanding the progress made, more needs to be done: the special regulatory reform project should be pursued, and areas like public utilities, health care, education and dwelling construction could benefit from increased exposure to market forces. Moreover, the process of implementing proposals resulting from the regulatory reform Commission – which is rather slow – should be stepped up.

Reducing unemployment among low-skill workers requires further policy action

The low-wage end of the labour market and the small outflow from social security schemes should remain the focus of attention of future policy initiatives. Over the longer term, the preferable solution is to raise the productivity of workers through education, training, and life-long learning towards levels consistent with socially-acceptable wages. Over the short to medium term, the creation, through normal market forces, of a large number of permanent low-skilled jobs may require labour costs to fall further to match the productivity of workers currently ''unemployable''. As suggested in previous Surveys, if the level of wages required to employ low-skilled workers were unacceptable on grounds of equity objectives, wages could be complemented by targeted in-work (or employment-conditional) benefits – a form of transfer which aims at overcoming disincentives to take up work. If, for socio-political reasons, a major relaxation of the legal minimum wage is impossible, as an alternative approach firms could be subsidised to hire workers who are unemployable at wages around the legal minimum. The approach followed by the Netherlands relies, first, on a permanent tax relief for firms hiring workers at wages up to 115 per cent of the legal minimum wage. This tax relief, which has already reduced labour costs for low-wage workers by 5 per cent, will be

doubled in 1998. Moreover, temporary tax reductions are available for employers hiring long-term unemployed. Finally, to enhance incentives to work and increase the low outflow from the unemployment scheme and other welfare schemes, the authorities might consider the introduction of targeted tax relief for wage-earners at the lower end of the wage scale. To prevent poverty traps, it should be combined with a substantial reduction in marginal tax rates in the framework of a comprehensive tax reform, aimed at broadening the tax base through the reduction of various loopholes. Concerning other labour market arrangements, progress made in reducing the negative impact on employment of the administrative extension of collective agreements should be monitored, and this practice – which in the past has often run counter to attempts to increase wage flexibility – should be reconsidered. Recent measures concerning the implementation of labour market policies may have to be strengthened and complemented by additional initiatives. The possibility of further easing job protection rules – which are scheduled to be liberalised somewhat in 1998 – should also be explored, especially concerning dismissal procedures of permanent workers and probation periods.

The goal of reform in the welfare system has shifted to reducing inactivity

The Netherlands has been engaged in reforming its social security system since the early 1980s. At first, reform proposals were driven mainly by the need for fiscal consolidation: the level of benefits was cut and eligibility conditions were tightened, modifying the incentive structure facing employees. In the 1990s, the main concern of reform has been to redesign the welfare system and the way it works in order also to influence the behaviour of employers and the administrative bodies. Moreover, some market discipline has been injected to increase the transparency of expenditure and create a more efficient system without jeopardising

equity objectives. Finally, the overriding goal has shifted from merely cutting costs to reducing the high level of inactivity and providing employment opportunities. Since the early 1990s, the main initiatives have been in the disability scheme and the sick-leave scheme. More recently, in view of the concentration of unemployment among low-skilled workers, in addition to reducing non-wage labour costs for low-wage workers, the authorities have moved forcefully towards the creation of subsidised jobs for the long-term unemployed, mostly in the form of permanent jobs in the public sector in such fields as security, maintenance of public properties, education, child care and health care. Progress has been more limited in other areas, such as the unemployment insurance scheme – where there is a need to limit its use as an early retirement scheme for workers over 57½ years of age, who are not required to look for work – and social assistance, where steps have been taken to improve supervision, reduce fraud, and enhance the reintegration of benefit claimants into the active labour market.

The results of the re-examination of disabled persons have exceeded expectations...

The high incidence of disability has long been the weak point of the Dutch welfare system. The number of disabled persons approached 1 million in 1993 – nearly one adult person in seven – and public expenditure on disability benefits represented nearly 5 per cent of GDP, by far the highest ratio in the OECD area, and more than double the percentage in neighbouring countries. Responding to a widely shared concern that the disability situation was becoming unsustainable, the government took a number of corrective measures in the early 1990s, including a more stringent definition of ‘‘disability’’ combined with the obligation for beneficiaries already in the scheme and under the age of 50 to be re-examined on the basis of the new definition. The results of the re-examination process have

exceeded most expectations, with 52 and 35 per cent of persons re-examined losing (totally or partially) their benefit in 1994 and 1995, respectively. The redefinition of ''disability'' is widely regarded as the main reason for a nearly 8 per cent drop in the number of benefit claimants from end-1993 to mid-1996. However, a significant number of persons who lost their disability benefit apparently shifted to different welfare schemes, and as the re-examination process has moved to older persons, the results seem to have been less impressive. Partly for demographic reasons, in the second half of 1996 old patterns reasserted themselves, with the number of claimants rising again.

... and in January 1998 experience rating was introduced in the disability scheme, along with an opting-out clause...

A new law (PEMBA) – which came into force in January 1998 – aims at creating incentives for employers to pursue a more active policy towards prevention and reintegration: it introduced a system of premium differentiation among firms according to the relative incidence of disability (experience rating), and gave employers the possibility of opting out of the public disability scheme, taking out a private insurance or bearing the risk themselves. By reducing cross-subsidisation, experience rating reduces moral hazard and provides incentives to limit benefit claims. But employers may become more risk averse in their hiring, and the insured party is always penalised for submitting a claim, even if it had no means whatsoever of prevention. As for the impact of the opting-out clause, it is difficult to form an *a priori* view, since it will depend on a number of factors that are technical and difficult to assess.

But further corrective measures may be needed

Even including the anticipated effects of the new legislation, the authorities expect the number of disabled as a percentage of the working population to stabilise within a few years, due to demographic trends. If developments in this area should not meet expectations, further corrective

measures should be considered in order to reduce the number of disabled persons to a level more in line with the situation in the Netherlands a few decades ago or in most other European countries today. To preserve an appropriate level and duration of benefits for persons with a genuine need, the medical (re-)examination process may have to be tightened. Real progress will require not only a sizeable reduction in the number of disabled, but also the reintegration of as many of them as possible into the active labour force – lest new initiatives merely result in a shift of beneficiaries from one social security scheme to another. The real challenge is the group of disabled persons aged over 50: at nearly 500 000 they account for over 50 per cent of all disabled persons and exceed the number of registered unemployed. It is doubtful whether these older disabled who have effectively been absent from the labour market for a number of years can be expected to find a normal job, even after extensive retraining. For some of them, the only realistic possibility of reintegration into normal jobs may be via subsidised employment.

The sick-leave scheme has been privatised, reducing sickness-related absenteeism...

Prompted by very high sickness-related absenteeism compared with neighbouring countries, the government decided to privatise the sick-leave scheme. This was done in two steps: in 1994 small firms were required to continue the payment of wages during the first two weeks of sickness and large firms for the first six weeks. In March 1996, sick-leave insurance was almost fully privatised as – with a small exception – the public sickness scheme was abolished. The result has been a substantial reduction in the incidence of sick leave, especially following the first step, since the majority of sickness cases fall into the short duration category. While a further decline may be expected as a result of the second step, the incentive of employees could be strengthened by shifting to them part of the

income loss for the first couple of days of any sickness leave. This is already possible under current legislation. The legal replacement rate has been reduced to 70 per cent of last earned wages but it is generally raised to 100 per cent in most collective wage agreements, which are then legally extended to all firms in the sector. Even if they are not prepared to generally discontinue the practice of administrative extension of collective agreements, the authorities could consider limiting the extension of these supplementary payments, allowing firms that are not part of the collective agreement to negotiate their own conditions.

... and entailing various side effects

The reform of the sick-leave scheme has entailed a number of other effects: employers have taken measures to reduce the incidence of sickness-related absenteeism, for instance by checking with sick employees at an early stage; holiday entitlements or bonuses have sometimes been reduced for sick employees; and incentives for risk selection in recruitment may have increased somewhat. But, to avoid risk selection in recruitment and prevent a weakening of the position of certain groups such as older workers and formerly disabled persons, as a result of the introduction of experience rating in the sick-leave scheme and the disability scheme, the authorities have introduced legislation limiting medical examination related to hiring.

The government recognises the key role of entrepreneurship...

In order to improve the capacity of Dutch economic agents to seize new opportunities, the authorities have paid increasing attention to the climate for entrepreneurial activity in the Netherlands, focusing in particular on improving the institutional framework. According to pertinent surveys, Dutch businesses seem in fact to be less constrained by various obstacles to expansion than their counterparts elsewhere in Europe, though more severely than business in the United States. Reflecting – at least in part – a catching-up

process, the start-up rate for new firms has risen steadily over the past 10 years, but has stabilised since 1994. Significant efforts are being made to reduce the administrative burden faced by enterprises, and initiatives to increase flexibility in product and labour markets have made it easier for firms to improve performance and expand their activities. The concentration of government agencies providing first-line advice to start-ups into ''Enterprise Houses'', to be applied nationally from the beginning of 1998, should also provide better delivery of these services at the local level.

... but opportunities remain to foster the spirit of enterprise

Nevertheless, there are some areas where further improvements seem feasible. Although pertinent surveys do not mention finance as a major problem for many existing firms, the financing actually flowing to high-risk, but potentially high return start-ups and fast-growing firms seems relatively modest; it is not easy to determine whether this primarily reflects a lack of demand for such financing or a lack of supply. Nevertheless, more could be done to encourage ''entrepreneurial attitudes'' within the educational establishments, through greater involvement of the private sector and by strengthening the links between academic research and commercial applications. A neutral tax treatment of saving instruments, particularly abolishing the preferential tax treatment of contractual saving and the double taxation of dividends, would lead to a better allocation of capital. Removing biases from the tax system may do more in the long run to promote entrepreneurship than the present selective schemes (such as the ''Aunt Agatha'' scheme) designed to encourage more financing of start-up activities. Moreover, administrative barriers to self-employment linked to the tax and social security system have a negative impact on entrepreneurship. In addition, as the Netherlands has very high administrative expenses related to hiring employees, a further reduction of these expenses

is needed. Cultural attitudes are to some extent shifting to increased emphasis on self-reliance, as is reflected in a number of policy areas. But the social stigma attached to business failure is still strong, and costs of failing are relatively high. It is possible that present bankruptcy rules reinforce this effect; an assessment of these rules is therefore needed.

Summing up

The recent performance of the Dutch economy has been remarkable, although an historical perspective suggests that it represents to a large extent a catching-up process from the dismal situation of the early 1980s, and the number of inactive persons on welfare remains large. Wage moderation, flexible working arrangements, sound economic policy and progress in structural reform have all contributed to the successful ''Dutch model''. However, there is an unfinished agenda of structural reform. The still low labour participation and longer-term developments, such as population ageing, call for a pursuit of structural policies on a broad front, including: continuing fiscal consolidation, tax reduction, and investment in public infrastructure; reforming the educational system with a view to enhance employability; strengthening incentives to work to encourage the outflow from social security schemes; improving corporate governance; and making product and labour markets function better. Action along all these lines should contribute to increasing potential output in the medium term. Over the next two years, economic policy faces the challenge of continuing job creation while preventing a rise in inflation. If overheating does materialise, the built-in fiscal stabilisers should be allowed to work fully.

I. Recent trends, prospects, and the ‘‘Dutch model’’

Following the slowdown of 1993, the Dutch economy has been performing quite well, especially in terms of real GDP growth and job creation. The expansion is projected to continue in 1998-99, with output edging above estimated potential and inflationary pressures only modest. This performance, which compares favourably with that of most other European countries, has attracted a lot of attention, and many analysts have referred to it as the ‘‘Dutch model’’, or even the ‘‘Dutch miracle’’. This chapter, after briefly discussing recent trends and prospects, tries to assess these achievements – especially in terms of growth and employment – putting them in an historical perspective, looking at their main determinants and considering some important qualifications.

A remarkable expansion

Demand and output

The recovery from the slowdown of 1993 has accelerated over the past couple of years. At first, the recovery was export and investment-led but, following the appreciation of the guilder in effective terms in 1995, the role of net exports was more neutral, and private consumption has joined investment as the driving force of the expansion. Indeed, the strength of private consumption has been one of the salient features of this upswing, in contrast with the experience of most other EU countries. Hence, real GDP growth is expected to have been around 3¼ per cent in 1997, broadly the same as in 1996 but significantly higher than in 1995 and well above the EU average of 2½ per cent (Table 1). Had it not been for incidental factors – mainly the outbreak of swine fever – growth would

Table 1. **Demand and output: recent trends and projections**

Annual percentage change, 1990 prices

	1995		1996	1997[1]	1998[2]	1999[2]
	Current prices billion guilders	Per cent of GDP				
Private consumption	381.7	59.8	3.0	3.0	2.6	2.6
Government consumption	91.5	14.3	1.2	3.3	2.3	2.0
Gross fixed investment	122.1	19.1	6.1	7.5	4.6	4.6
Final domestic demand	595.3	93.3	3.4	4.0	3.0	3.0
Stockbuilding[3]	–0.2	0.0	0.2	–0.4	0.2	0.1
Total domestic demand	595.1	93.2	3.6	3.6	3.2	3.1
Exports of goods and services	340.5	53.3	4.6	5.9	7.6	6.7
Imports of goods and services	297.5	46.6	5.3	7.1	7.3	6.5
Foreign balance[3]	43.0	6.7	0.0	–0.2	0.7	0.6
GDP at constant prices	..	..	3.3	3.2	3.7	3.6
GDP price deflator	..	..	1.3	2.6	2.3	2.4
GDP at current prices	638.4	100.0	4.6	5.8	6.2	6.0
Memorandum items:						
Private consumption deflator	..	..	1.4	2.0	2.3	2.4
Private compensation per employee	..	..	2.1	2.8	3.0	3.3
Total employment	..	..	2.0	2.2	2.3	2.1
Unemployment rate[4]	..	..	6.7	5.8	5.1	4.6
Breakdown of gross fixed investment						
Public sector	17.1	2.7	3.8	4.3	3.7	4.0
Private sector residential	32.6	5.1	0.1	5.7	2.5	2.2
Private sector non-residential	72.4	11.3	9.2	8.8	5.6	5.5
Net lending general government (per cent of GDP)	..	..	–2.3	–2.0	–1.9	–1.6
Household non-contractual saving ratio[5] (per cent)	..	..	1.2	0.9	1.2	1.3
Short-term interest rate (per cent)	..	..	3.0	3.3	4.1	4.6
Long-term interest rate (per cent)	..	..	6.2	5.7	5.9	6.3
Current balance (per cent of GDP)	..	..	6.3	6.2	6.8	7.4

1. Estimates.
2. Projections.
3. Contribution to growth of GDP.
4. National definition (registered unemployment as percentage of labour force).
5. Excluding net contributions (actual and imputed) to life insurance and pension schemes.

Source: OECD Secretariat.

have been even higher this year. According to the Netherlands Bureau of Economic Policy Analysis (Central Planning Bureau), swine fever may have reduced GDP growth by some ½ of a percentage point, owing to slaughtering (destock-

ing) and, more importantly, weaker exports of livestock and related meat products.

Private consumption has been rising steadily. It has apparently benefited from strong job creation – which, in addition to underpinning income, has bolstered consumer confidence – and from capital gains resulting from the sharp increase in house and share prices. Unlike in most other EU countries where house prices have remained broadly stable or have fallen, in the Netherlands they have risen by more than 30 per cent over the 1994-96 period, although in real terms they remain well below the levels reached at the end of the 1970s. In 1996 alone, they rose by 10 per cent in nominal terms and around 8 per cent in real terms, entailing capital gains of some Gld 50 billion (7½ per cent of GDP). According to estimates of the Netherlands Bureau of Economic Policy Analysis, about one-tenth of such gains are generally used to finance additional household consumption – often through second mortgages. Indeed, the number of small mortgages[1] soared in 1996 – also spurred by low interest rates – and the wealth effect on private consumption may have been of the order of Gld 5 billion, or 1¼ per cent, somewhat spread out over time. The rise in share prices has been even more impressive: the AEX index of Dutch blue-chip stocks has more than tripled since 1993, rising by over 30 per cent in 1996 and around 40 per cent in 1997. But the value of private share holdings (less than Gld 250 billion at end-1995) does not match that of owner-occupied homes (estimated at around Gld 600 billion at end-1995). Also, the Netherlands Bureau of Economic Policy Analysis believes that capital gains on shares have a smaller impact on private consumption than capital gains on homes: share prices are much more volatile than house prices, and shares are concentrated in the hands of relatively few and wealthier people, less inclined to change their consumption patterns in response to capital gains. Nonetheless, given the magnitude of recent share price increases and related capital gains (Gld 75 billion in 1996), their impact on consumption could easily have been of the order of ¼ to ½ of a percentage point. The performance of the Amsterdam Stock Exchange has been broadly in line with that of most other EU stock markets but, because of the ‘‘feel good’’ factor created by a strong labour market, the impact on household expenditure may have been significantly larger in the Netherlands. Private consumption may thus have grown again by 3 per cent in 1997, compared with 2 per cent for the EU on

average. The non-contractual saving ratio[2] may have declined to less than 1 per cent, one of the lowest levels in recent years.

Both the cyclical and non-cyclical components of business fixed investment have been quite dynamic, the latter representing special projects, mainly in the energy sector. Cyclically sensitive investment has continued to be buoyed by demand factors, a high rate of capacity utilisation, and good profitability. The profitability of firms seems to have improved further this year, especially in the exposed sector where it has benefited from favourable terms of trade and strong productivity gains. The rate of capacity utilisation in manufacturing has been around 84 per cent since 1994, compared with 86½ per cent at the peak of the previous upswing at the end of the 1980s. According to investment surveys of manufacturing firms, in 1995 42 per cent of investment was motivated by capacity expansion; only 29 and 19 per cent were motivated by replacement and efficiency considerations, respectively. In 1997, 34 per cent of expected investment was still motivated by expansion plans. Hence, the current investment boom has markedly increased production capacity, preventing the rate of capacity utilisation from rising to unsustainable levels and reducing the risk of bottlenecks. As for residential investment, after being hampered by the cold winter and remaining about level in 1996, it has recovered, underpinned by lower mortgage rates and persistently high rent increases. Public investment has continued to grow at a sustained pace, with an important part of it accounted for by environmental protection initiatives and infrastructure-related projects.

The only components of domestic demand exerting a negative impact on growth in 1997 have been stockbuilding and net exports. Destocking may have reduced GDP growth by nearly ½ of a percentage point, largely as a result of swine fever and the completion of a few major investment projects in the energy sector. Finally, reflecting the buoyancy of domestic demand, imports have accelerated, more than offsetting a pick up in exports, and the contribution of the foreign balance to growth, which was nil in 1996, may have been slightly negative in 1997.

The labour market

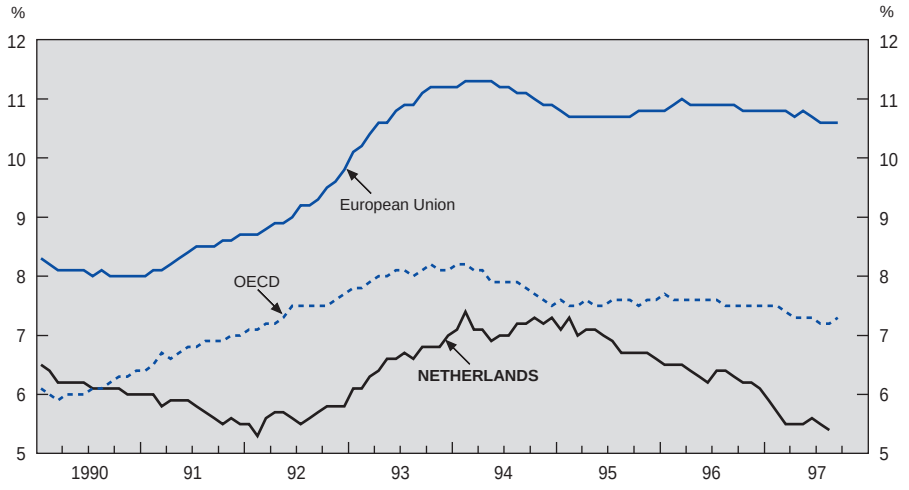
Reflecting demographic factors and a rising participation rate, the labour force has continued to grow at around 1½ per cent a year – a much higher rate than the EU and OECD averages (½ and 1 per cent, respectively). Nonetheless,

since 1995 employment has grown even faster and unemployment has steadily declined, with shortages appearing in a few segments of the labour market.

While in recent years job creation was mostly confined to the service sector, in 1997 employment seems to have increased also in manufacturing and in the transport sector. Only in the public sector is employment expected to have remained broadly unchanged. The hypothetical contribution of work time reductions to employment creation has continued to be offset by gains in productivity resulting from more flexibility in working hours and an increased use of temporary workers. Labour market conditions appear to have tightened, with shortages being reported, especially for skilled workers and administrative employees. Unfilled vacancies have steadily increased since 1994: however, at around 90 000, they are still well below the levels of the 1988-92 upturn, when they exceeded 130 000.

The standardised unemployment rate has declined to around 5½ per cent, the lowest level since early 1992, and one of the lowest among OECD countries (Figure 1). The unemployment rate (national definition) has followed a similar

Figure 1. **UNEMPLOYMENT RATE:[1] AN INTERNATIONAL COMPARISON**



1. Standardised rate based on civilian labour force.
Source: OECD, *Main Economic Indicators.*

path, reaching 5.3 per cent in September-November 1997 – close to the trough of early 1992, and back to the levels prevailing at the end of the 1970s. The NAWRU – *i.e.* the rate of unemployment consistent with a stable increase in wages – is estimated by the OECD Secretariat to be around 5½ per cent in 1997. The number of people receiving unemployment benefits has also fallen, but at a less rapid pace than the number of registered unemployed (or job seekers), as new entrants into the labour force, such as school-leavers and women, typically have better employment prospects than social benefit recipients. In addition, pressure on the unemployment schemes has grown since the tightening of the disability scheme a few years ago. Older employees find it more difficult to use that scheme as an exit route: if laid off, most of them now join the unemployment schemes and, if over 57½ years old, they are not required to look for a job and, hence, are not included in registered unemployment. Also, the re-examination process in the disability scheme has resulted in a return of some formerly disabled persons to the labour force. But for many of them this has merely entailed a shift to the unemployment schemes, where they do not always actively look for a job.

Wages and prices

Although the economy has been operating at close to estimated potential, collective wage settlements have remained moderate. CPI inflation did increase in 1997, but this was essentially a result of a rise in import prices entailed by the strength of the dollar and the depreciation of the guilder in effective terms. On the other hand, the current economic upswing has been accompanied by a major increase in asset prices and the rapid growth of mortgages to households – although, as noted above, house prices, in real terms, remain well below the peaks of the late 1970s, and the surge in equity prices has been in line with developments in most other stock markets in the OECD area.

Despite falling unemployment and reports of labour shortages for certain categories of workers, contractual wages have barely accelerated: in the private sector, the contractual monthly wage index is expected to have increased by around 2¼ per cent in 1997, compared with 2 per cent in 1996. On-going wage negotiations point to a further acceleration in wage contracts, to around 2¾-3 per cent, but since most contracts are multi-annual, their full effect will start to be felt only in 1998.[3] Compensation per employee in the private sector may have

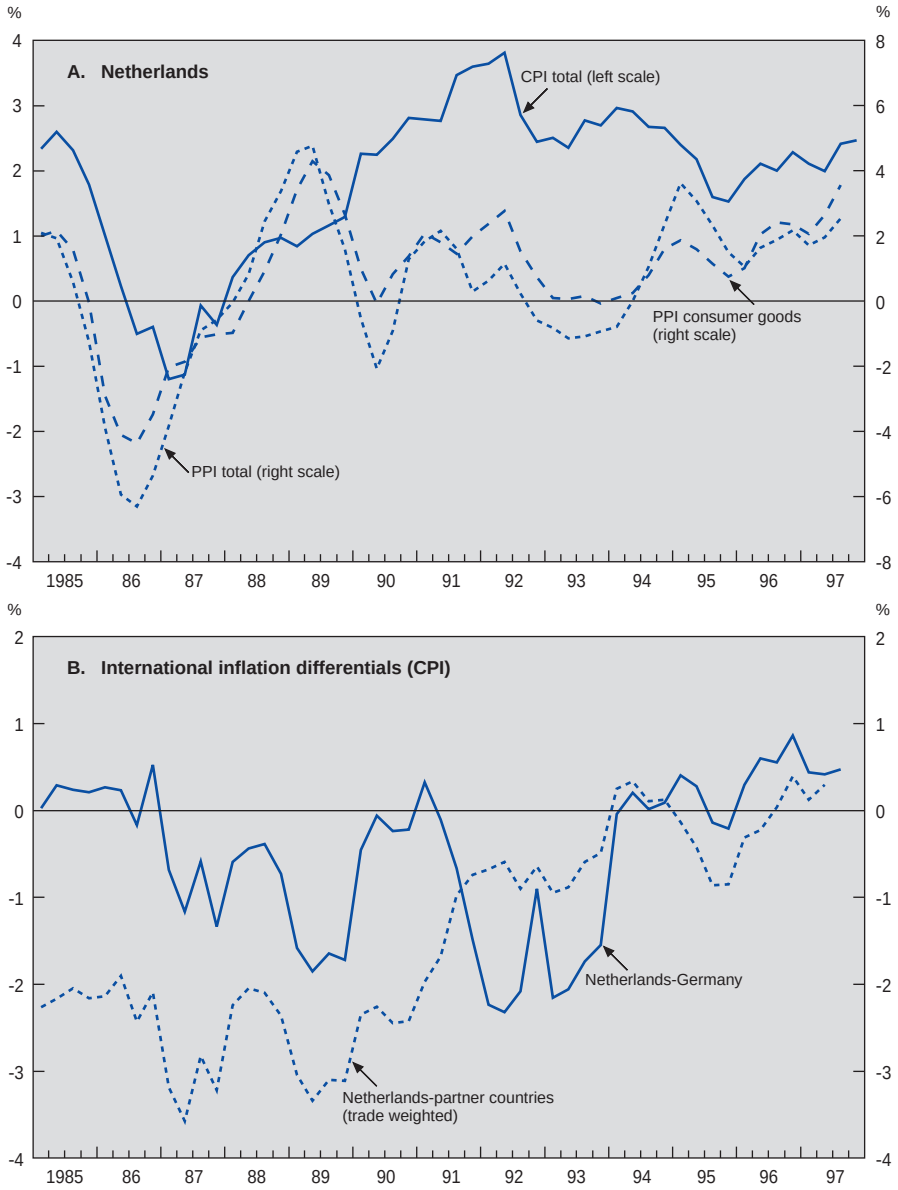
accelerated to 2¾ per cent in 1997 compared with 2.1 per cent the previous year. However, the acceleration is overstated as the wage rate in 1996 was lowered by ½ percentage point because of a reduction in the compensation allowance.[4] As productivity has decelerated slightly, unit labour costs may have accelerated to 1¾ per cent this year, compared with ½ per cent in 1996. Profitability in the business sector seems to have further improved, especially for exporting firms which have been able to widen profit margins following the depreciation of the guilder *vis-à-vis* the dollar and sterling. On the other hand, growing competition has exerted downward pressure on profit margins in the domestic market.

Several other aspects of recent collective labour agreements are worth mentioning. While in 1996 many collective labour agreements included a gradual reduction in the normal working week to 36 hours,[5] this clause has less frequently figured in recent negotiations, partly because many sectors are still implementing previously-agreed work time reductions. Also, the willingness to moderate wages in exchange for labour time reductions seems to be waning, on the side of both employers and employees. The emphasis has been more on lifelong learning to improve the employability and flexibility of the labour force, and especially older employees. Also, early retirement schemes based on a pay-as-you-go system (the so-called VUT) are increasingly being phased out and replaced by more flexible funded schemes.[6] Such schemes improve labour market flexibility, as employees can easily transfer their pension rights when changing jobs. Moreover, benefits have been revised in some sectoral pension schemes, and are no longer based on final earnings but on average earnings. In addition to keeping pension benefits in check, this may improve the participation of older workers by making it easier for them to accept lower paid jobs. Finally, in a growing number of contracts, new wage scales below the (bargained) sectoral minimum wage have been introduced,[7] thus narrowing the gap between the average lowest sectoral wage rate and the legal minimum wage – to 8 per cent in 1996, down from 10 per cent the previous year.[8] However, in 1996, only 15 per cent of the enterprises concerned used these new wage scales (Arbeidsinspectie, 1996).

Higher labour costs and, more importantly, higher import prices following the depreciation of the guilder in effective terms, have contributed to an increase in inflation – as measured by the CPI – to 2.5 per cent in the 12 months to November, compared with 1.9 per cent in March (Figure 2A).[9] Inflation has been

Figure 2. **INFLATION DEVELOPMENTS**

Change over corresponding period of the previous year



Source: OECD, *Main Economic Indicators* and OECD Secretariat.

close to that in partner countries, on average, but somewhat above that in Germany and other EU countries, reflecting the stronger cyclical situation of the Dutch economy (Figure 2B). The rise in import prices and labour costs does not seem to have been fully reflected in higher consumer prices so far, and – as noted – for firms supplying the domestic market, profit margins have been squeezed. This outcome may have been a reflection of increased competition in product markets caused by the removal of trade barriers, the introduction of the new Establishment Law and the tightening of competition legislation (Chapter III).

Growth is set to continue in 1998-99

The economy will continue to benefit from several years of wage moderation, fiscal consolidation and structural reforms in the labour market and the social security system, which have enhanced job creation and resulted in a return of persons on welfare to the active labour market. Also, the ongoing process of regulatory reform has already liberalised various activities and intensified competition in product markets. Finally, the current investment boom has significantly increased production capacity. All these factors have contributed to boost potential output and decrease the estimated level of the NAWRU, thereby reducing the risk of overheating. However, the positive impact of these factors on inflation is very difficult to quantify and should not be overstated: following a few major initiatives in the first half of the 1990s – notably the re-examination of disabled persons, the privatisation of the sick leave scheme, and the liberalisation of shop opening hours – the pace of structural reform has slowed in the past couple of years, and no new major initiatives are expected over the projection period. Also, while the pool of inactive persons on welfare is still large, many of them are hardly employable or require a lengthy period of retraining. Economic activity should increasingly be underpinned by foreign trade. Spurred by the depreciation of the guilder in effective terms and the acceleration of the upturn in continental Europe, exports are expected to strengthen and take over as the driving force of the expansion. On the other hand, as house and equity prices are unlikely to keep rising as fast as in the recent period, wealth effects should progressively wane, restraining the rise of private consumption; and, reflecting the completion of a few major projects, business fixed investment should also be somewhat less

dynamic. Finally, at this stage, the economic and financial crisis in south east Asia seems likely to have only a small impact on Dutch trade and output.

As discussed in Chapter II, macroeconomic policy, on balance, is not expected to have a major impact on growth and inflation over the projection period. Due to the policy of linking the guilder closely to the Deutschemark, there is virtually no room for manoeuvre for Dutch monetary policies to tighten independently in response to the risk of overheating. Nonetheless, interest rates are projected by the OECD Secretariat to rise next year – in line with German rates – and move up further in 1999, especially at the short end of the market, mainly as a result of strong economic growth in EMU countries generally. On the other hand, the stance of fiscal policy seems to be broadly neutral. The 1998 budget, which includes tax cuts and spending initiatives, can be expected to underpin domestic demand, but it may also curb inflation since tax cuts tend to restrain wage increases.

Real GDP growth is projected to rise to nearly 3¾ per cent a year in 1998-99, with stronger exports and a larger contribution of the foreign balance to growth more than offsetting a modest deceleration in private consumption and business fixed investment. With job creation remaining robust, unemployment should continue to trend down despite a labour force growing at some 1½ per cent a year, and the unemployment rate is projected to fall to 4½ per cent in 1999 – compared with a NAWRU estimated by the OECD Secretariat at around 5 per cent in 1999. The effect on prices of the recent depreciation of the guilder in effective terms should fade out but inflation is expected to rise, albeit only moderately. Compensation per employee may accelerate to around 3¼ per cent and the rate of increase of the private consumption deflator may edge up to nearly 2½ per cent in 1999. The current-account surplus is projected to widen, from an estimated 6¼ per cent of GDP in 1997 to nearly 7½ per cent in 1999.

The major risks and uncertainties concern the behaviour of wages and prices, especially in view of the recent hike in inflation as a result of the depreciation of the guilder in effective terms. There is a risk that the favourable outlook for employment and income might induce households to consume more and keep the saving ratio at an historically low level for longer than envisaged in these projections, thereby resulting in some inflationary pressure. And, given the difficulty of assessing the restraining effect on wages and prices of structural

reform and other factors discussed above, the margin of error attaching to these inflation projections is especially large.

The ‘‘Dutch model’’

An historical perspective

A proper assessment of the economic situation outlined above and the so-called Dutch model requires, first, an historical perspective. In the 1970s and early 1980s, the Dutch economy performed dismally and significantly worse than other European economies. As a result of a wage explosion, the two oil shocks and misguided policies, inflation accelerated, output and employment growth slowed, and the welfare system was expanded. At first, this expansion could be financed through growing gas revenues[10] but eventually it led to a sizeable increase in the tax burden and to a sort of vicious circle – which came to be called the ‘‘Dutch disease’’.[11] Real labour costs increased sharply, exceeding productivity gains; the profit position and the international competitiveness of firms deteriorated; real investment and net exports (excluding natural gas) collapsed; house prices dived; and the economy finally went into a severe recession (1981-82). The standardised unemployment rate approached 10 per cent – compared with an OECD average of a little over 8 per cent. These major imbalances, entailing a large margin of unused capacity, created the potential for a sustained expansion of output and employment, and a catching-up with other countries – provided the right conditions were put in place.

Such a change in conditions was initiated in 1982 (see below), and the economy began a recovery and expansion which, despite some cyclical ups and downs, has continued to the present. For about a decade – *i.e.* over the 1983-93 period – real GDP growth, although picking up markedly, remained broadly in line with the EU average and below the OECD average (Table 2). Reflecting a relatively rapid increase in population, real GDP per capita, which in the early 1970s had been nearly 15 per cent above the EU average, continued to fall relative to the other EU countries until the late 1980s (Figure 3). But the economic downturn of 1993 was considerably milder in the Netherlands than in the rest of the European Union[12] and the subsequent recovery has been significantly stronger, reflecting, as noted, the buoyancy of business fixed investment

Table 2. **Real GDP growth in the Netherlands and selected countries**

Average annual rates of growth; percentages

	1983-1993	1994-1997[1]	1983-1997[1]
Real GDP			
Netherlands	2.7	2.9	2.8
Germany[2]	2.8	1.8	2.6
(Western Germany)	*(2.6)*	*(1.7)*	*(2.4)*
United States	2.9	2.8	2.9
EU average[2]	2.3	2.3	2.4
OECD average[2]	3.1	2.6	3.0
Memorandum items:			
Private consumption			
Netherlands	2.4	2.6	2.5
Germany[2]	3.0	1.4	2.5
United States	3.0	2.8	2.9
EU average[2]	2.6	1.9	2.4
OECD average[2]	3.2	2.5	3.0
Business fixed investment			
Netherlands	3.6	8.5	4.4
Germany[2]	3.1	0.7	2.6
United States	2.8	9.6	4.6
EU average[2]	3.2	4.6	3.5
OECD average[2]	4.1	6.8	4.7
Net exports[3]			
Netherlands	0.5	0.2	0.4
Germany[2]	–0.1	0.4	0.1
United States	–0.1	–0.3	–0.2
EU average[2]	0.1	0.5	0.2
OECD average[2]	–0.1	–0.1	–0.1

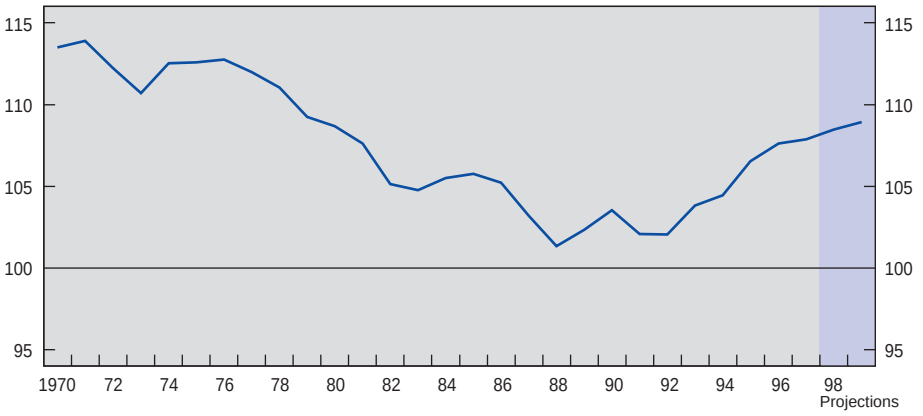
1. 1997: estimates.
2. Western Germany up to 1990 (included).
3. Contribution to changes in real GDP (as a per cent of real GDP in the previous period).

Source: OECD Secretariat.

and private consumption. Hence, over the 1994-97 period, in terms of GDP growth, the Dutch economy has clearly outperformed other EU economies on average; and its GDP per capita has rebounded relative to the EU average, without however returning to the relative level of the early 1970s.[13] Similarly, despite remarkable progress in fiscal consolidation, the general government deficit, public spending and the tax burden – all as a percentage of GDP – remain higher than in 1970.[14] Finally, labour market outcomes have also recovered only partially.

Figure 3. **DUTCH PER CAPITA GDP RELATIVE TO THE EUROPEAN UNION AVERAGE**[1]

European Union average = 100



1. The OECD Secretariat has estimated GDP for the whole of Germany for 1970-1990.
Source: OECD, *National accounts* and OECD Secretariat.

Indeed, the labour market still presents a sharply contrasting picture. On the one hand, in terms of employment creation – in persons – its performance since 1982 has been very good and markedly better than most other countries, except the United States (Table 3 and Figure 4, panel B). Since over two-thirds of net jobs created over this period have been on a part-time basis, in full-time equivalents the employment performance has been somewhat less impressive, although still significantly better than that of most other European countries. On the other hand, ‘‘broad unemployment’’ – *i.e.* unemployed and inactive persons of working age receiving a social security benefit and persons enrolled in special job creation programmes – at over 25 per cent of the broad labour force, has barely edged down from its peaks and is still well above the level of the early 1980s (Table 4 and Figure 4, panel D).[15] While the number of unemployed persons looking for a job (registered unemployment) and persons receiving a disability benefit has declined, the number of older unemployed not looking for a job, persons in early retirement, on social assistance or in subsidised employment programmes has either increased or broadly levelled-off. There are no

Table 3. **Employment growth: 1983-1996**

Average annual rates of growth

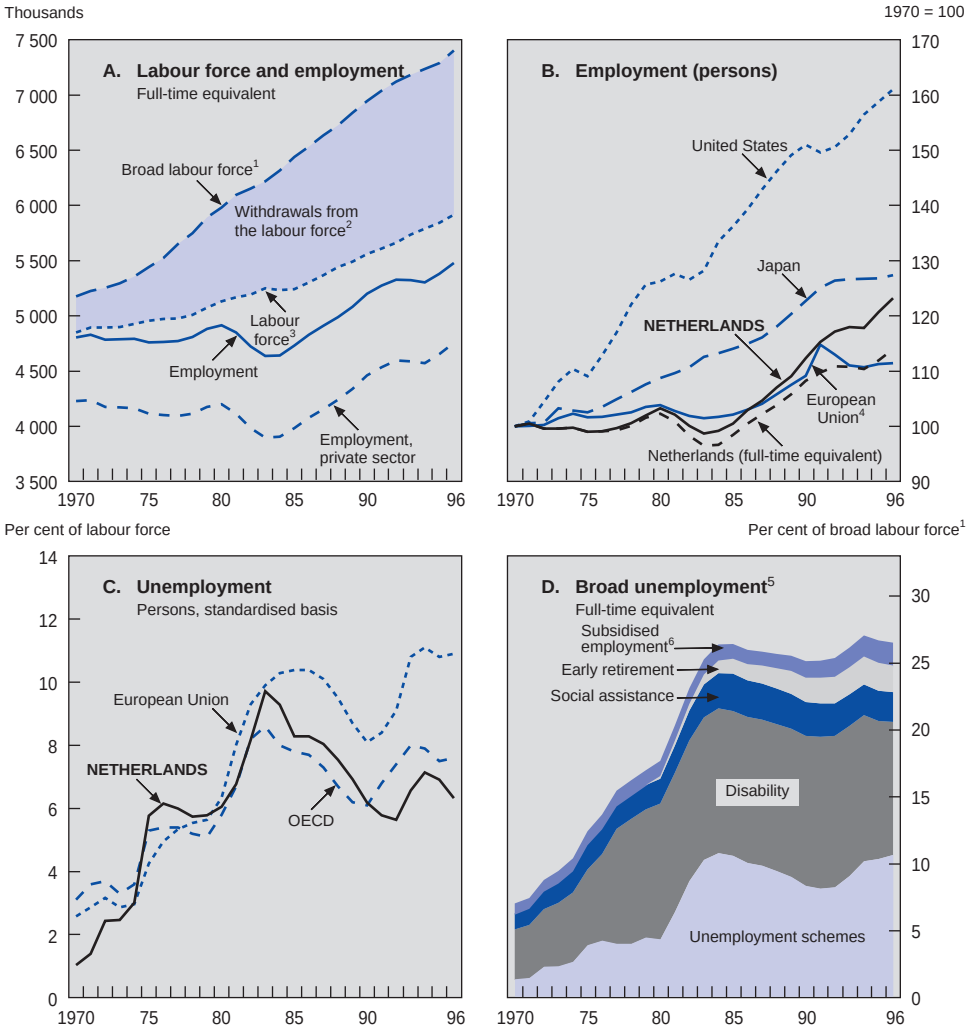
	In persons	In full-time equivalents[1]
Netherlands	1.7	1.3[2]
Germany[3]	0.7	0.1
France	0.2	–0.1
United Kingdom	0.8	0.9
Denmark	0.4	..
Japan[4]	1.0	0.4
United States	1.8	2.0
Memorandum items:		
EU average	0.5	..
OECD average	1.9	..

1. Calculated on the basis of annual average hours actually worked by employees.
2. Central Bureau of Statistics.
3. Western Germany.
4. 1983-1994.

Source: Central Bureau of Statistics, *National Accounts 1996*; OECD, *Employment Outlook*, July 1997; and OECD Secretariat.

standardised calculations of ''broad unemployment'' that would serve as a basis for international comparison, but the ratio of people of working age on social benefits to active working-age persons shows that, at around 40 per cent in 1995 (in full-time equivalents), the Dutch ratio seems to be broadly in line with that of most other European countries, although well above that of the United States and Japan.[16] Broad unemployment and, to a lesser extent, part-time work help to explain why the rate of employment in full-time equivalents[17] – the broadest indicator of the degree to which a country uses its potential labour force – has risen only moderately over the past 15 years and, at 52 per cent, remains well below the level of 1970 (nearly 60 per cent). The problem with this indicator, however, is that it does not show the extent to which low employment is due to individual choices – that is, the preference between working and not working (or working only part-time) – or to market imperfections. Moreover, in full-time equivalents international comparisons are particularly difficult. Nonetheless, it would seem that the degree of utilisation of potential labour is higher in most other EU countries than in the Netherlands – it is 60 per cent in the United

Figure 4. **OVERVIEW OF THE LABOUR MARKET**



1. Employment and broad unemployement (excluding JWG and job pools).
2. Beneficiaries under disability, early retirement schemes, and social assistance.
3. Total employment (including JWG and job pools) plus unemployment.
4. Western Germany up to 1990 (included) and the whole Germany afterwards.
5. Inactive people of working age receiving social security benefits and people in subsidised employement.
6. Social job creation, Youth Work Guarantee Law (JWG) and job pools.

Source: Netherlands Bureau of Economic Policy Analysis, Ministry of Social Affairs and Employment; OECD, *Main Economic Indicators* and OECD Secretariat.

Table 4. **Employment and unemployment**

In full-time equivalents, thousands

	1970	1975	1980	1985	1990	1994	1995	1996
1. Working-age population	8 156	8 728	9 362	9 922	10 305	10 535	10 569	10 603
2. Employment[1]	4 806	4 759	4 916	4 730	5 203	5 305	5 380	5 477
of which: Sickness	269	334	370	310	409	336	352	334
3. Broad unemployment[2]	371	682	1 065	1 710	1 755	1 967	1 955	1 971
Beneficiaries of social security	327	626	991	1 630	1 662	1 845	1 824	1 838
Unemployment schemes	68	211	259	682	580	738	756	788
Social assistance	63	105	112	180	176	167	164	164
Early retirement	..	..	12	70	128	151	152	149
Disability	196	310	608	698	778	789	752	737
Subsidised employment	44	56	74	80	93	122	131	133
Social job creation	44	56	74	80	82	86	86	87
Youth Work Guarantee Law (JWG)	..	..	..	..	7	16	22	23
Job pools	..	..	..	..	4	20	23	23
4. Inactive people without social security benefits	2 979	3 287	3 381	3 482	3 358	3 299	3 279	3 201
of which: In full-time education	664	923	1 098	1 228	1 144	1 147	1 145	..
Memorandum items:								
5. Broad unemployment rate[3]	7	13	18	27	25	27	27	27
6. Employment rate[4]	59	55	53	48	50	50	51	52

1. Including JWG (Youth Work Guarantee and job pools).
2. Inactive people of working age receiving social security benefits and subsidised employment.
3. Broad unemployment as a percentage of broad labour force (*i.e.* employment and broad unemployment, excluding JWG and job pools).
4. Employment as a percentage of working-age population.

Source: Ministry of Social Affairs and Employment, *Sociale Nota 1998*; Netherlands Bureau of Economic Policy Analysis, *Macroeconomic Outlook* 1998; Central Bureau of Statistics, *Statistical Yearbook 1997;* and OECD Secretariat.

Kingdom and 67 per cent in Denmark – and much higher in countries outside Europe, such as the United States and Japan – about 70 and 80 per cent, respectively.

This broad-brush analysis suggests that the Dutch performance over the past 15 years or so has been largely a catching-up process, following a drastic deterioration of relative performance in the 1970s and early 1980s. Confronted with a deeper crisis than most other European countries, the Netherlands started its reform process earlier, with a greater scope for improvement. While, in many respects, the catching-up is far from complete, what has already been accomplished looks nevertheless remarkable: it might be useful to briefly discuss its

main determinants, but also to consider some further qualification of observed results.

Main determinants and qualifications

The major reorientation of economic policy decided in 1982 by the newly-formed coalition government represented a move away from demand management towards a more medium-term, supply-oriented approach, stressing fiscal consolidation – with the emphasis on control of public spending, followed by tax cuts – a progressive overhaul of the social security system, and regulatory reform (see Chapters III and IV).[18] An additional important element of the government strategy was wage moderation[19] which was secured in a path-breaking agreement between employers and trade unions – the so-called ''Wassenaar agreement''.[20] The agreement also included, as a counterpart, a reduction in working time. These measures were later followed by temporary job provisions as an additional means for providing young newcomers access to the active labour market, and a range of other measures entailing a progressive increase in the differentiation of terms and conditions of employment and, hence, greater labour market flexibility. Finally, in early 1983, monetary policy opted for a stable guilder exchange rate within the Exchange Rate Mechanism, and especially *vis-à-vis* the Deutschemark.

While the Wassenaar agreement and subsequent agreements between the social partners at the national level have provided broad guidelines, actual wage negotiations have taken place at the sectoral level – a mix of centralised and decentralised negotiations which seems to have served the Netherlands well. Hence, over the past 15 years or so, wage moderation has been largely consensual, although in 1982 the government did threaten employers and unions with a wage freeze unless they agreed on ways to moderate wage increases and promote employment; and several policy measures which have supported wage moderation – such as freezing, in nominal terms, the legal minimum wage, cutting social security benefits and tightening eligibility conditions in the disability scheme – have often been strongly opposed. Nonetheless, the overall economic strategy underpinning the ''Dutch model'', which throughout this period has been highly pragmatic, has consistently enjoyed a broad consensus.

Among the various measures originally intended to increase employment, removing obstacles to temporary work and especially promoting part-time work

have been remarkably successful. Both the government and the social partners focused on part-time work already in the early stages of the new economic strategy. It was decided that persons with part-time jobs would get full social security coverage[21] while their wages would depend on the amount of work they actually provided. This has made part-time work quite attractive for many employers – since it allows them to be more flexible in adjusting their work force to fluctuations in work load – and greatly contributed to its success. Whether the rapid development of part-time work has also reflected the preference of employees – as noted in previous surveys (OECD, 1996, pp. 45-46) – is more difficult to assess. Recent survey data show that only 6 per cent of part-time workers above 25 wish to work full time, a much lower percentage than in most other EU countries (Eurostat, forthcoming). Other surveys (for instance, Kunnen *et al.*) show that while 30 per cent of men and 7 per cent of women working part time wish to work full time, 15 per cent of men and 35 per cent of women working full time wish to work part time.

While these figures suggest that current work arrangements still do not fully satisfy employees' preferences, on balance, they seem to confirm that in the Netherlands, on the supply side of the labour market, part-time work is largely based on individual free choice, and reflects the flexibility of the Dutch labour market in accommodating socio-cultural values which may be oriented more towards leisure and family activities than in many other Member countries. But part-time work may also be the result of institutional features of the Dutch economy, such as tax distortions and the limited provision of child-care facilities. Part-time work has met the need of parents with young children and facilitated the access of women to the labour market – a development which, by providing many households with a second income, may have made wage moderation more acceptable to the primary wage earners in these households. The female participation rate, which in the early 1980s was sharply below the OECD average, has risen steadily, approaching this average, with 67 per cent of working women holding a part-time job. The surge of part-time work has coincided and interacted with the rapid expansion of the service sector. It has thus largely represented the creation of new, different jobs mostly filled by younger and middle-aged women, rather than a redistribution of existing full-time jobs. The increase in the number of households with two wage earners – from a little over 10 per cent in 1983 to 67 per cent in 1994 – and the fact that highly-educated women with young

children are more likely to participate in the labour market and have longer part-time jobs than other women seems to have been an important contributing factor to the widening of the income distribution recorded in the Netherlands over the past decade or so.[22]

More recently, as the government has deregulated or eased restrictions on working hours, the renewal of fixed-term contracts, and the licensing of temporary work agencies, flexible contracts – *i.e.* contracts with a limited duration (fixed-term) or a variable number of working hours – have grown rapidly in number. Work through temporary work agencies now accounts for almost 3½ per cent of total working hours – a significantly higher proportion than in other OECD countries. This success of flexible contracts has reflected, among other factors, the need of employers to cope with fluctuations in work load, as well as their desire to lengthen probation periods and screen new employees before offering them permanent contracts.[23] Hence, to a certain extent, flexible contracts – and the rather liberal Dutch legislation in this area – may be seen as a second-best arrangement: they alleviate the negative impact on job creation of the still-restrictive legislation governing permanent employment; but they reduce the degree of job security for workers on flexible contracts relative to that achieved by workers on permanent contracts – and also relative to what workers on flexible contracts might achieve in a non-segmented market. The average job tenure is thus lower than both the EU and OECD averages.[24]

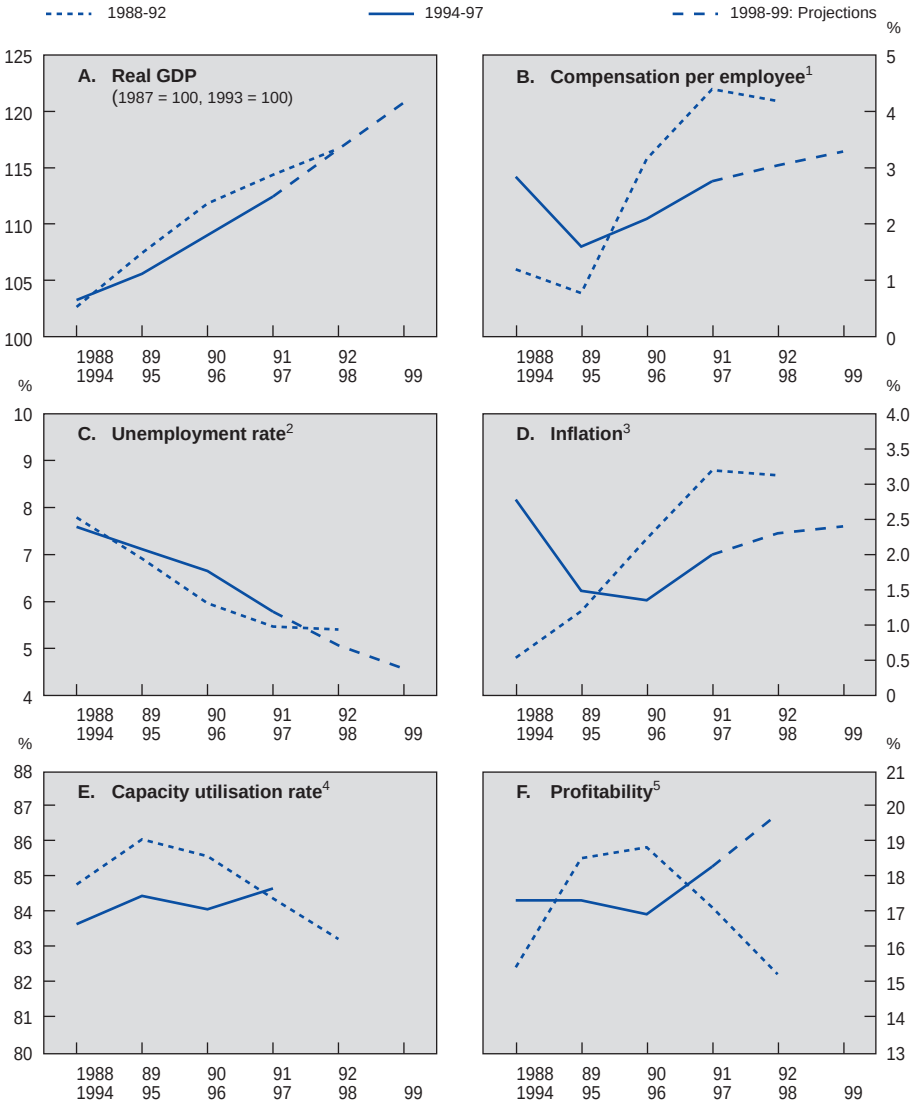
The impact of other structural reforms in the labour market, social security system and product markets (discussed in Chapters III and IV) is more difficult to assess but it seems that they have all contributed to the improved performance of the economy, especially in the more recent period. Some of these reforms have probably strengthened demand and directly created jobs – like the liberalisation of shop opening hours which, according to calculations of the Netherlands Bureau of Economic Policy Analysis, could eventually result in the creation of 15 000 jobs. Other initiatives may have primarily boosted potential output growth and lowered the NAWRU. The introduction of the new Establishment Law and the tightening of competition legislation, as noted, may have limited the cost-price ‘‘pass-through’’ of the recent effective depreciation of the guilder. The privatisation of the sick-leave scheme has significantly reduced labour absenteeism, and the progressive tightening of the disability scheme has resulted in a non-negligible return of previously inactive persons to the labour force. Even if many

of them have ended up in the unemployment schemes, this enlarged pool of available resources may have exerted a restraining influence on wages.

A comparison of the current upswing with the previous one in the late 1980s-early 1990s may provide a rough indication of the combined impact of all these factors. The two conjunctural episodes show strong similarities in terms of real GDP growth, employment creation, and the unemployment rate – although growth was highly concentrated in two years in the previous episode while it has been more spread out in the current one (Figure 5). On the other hand, cost-price inflation – as measured by the wage rate, compensation per employee and the consumer price deflator – has been much more subdued in the recent period. Despite a pick-up in 1997 as a result of higher import prices, consumer price inflation on the whole has actually decelerated over the current episode, rather than accelerating as in the previous one. Another important dissimilarity between the two episodes, which may help explain the current favourable inflation performance, is the level of capacity utilisation in manufacturing. As noted, the ongoing boom in capacity-expanding investment has contributed to avoiding major bottlenecks and keeping the level of capacity utilisation significantly below the levels prevailing in the previous episode.

As for the role of the external sector in the Dutch model, the positive impact of wage moderation on competitiveness has been accentuated by the exchange rate regime – *i.e.* the decision to tie the guilder firmly to the Deutschemark[25] – and by the fact that the Netherlands is a small, very open economy. The firm link with the Deutschemark was a hard-currency option, but in fact over this period Germany has had a much less favourable labour cost performance than the Netherlands and, by following the Deutschemark, the guilder, in effective terms, has appreciated by ''only'' 20 per cent, despite a fall in unit labour costs relative to partner countries of nearly 30 per cent (Figure 6, panels A and B).[26] Hence, in terms of unit labour costs, the international competitive position of Dutch firms has improved – that is, the real effective exchange rate of the guilder has depreciated – by over 10 per cent (Figure 6, panel C).[27] While the Dutch model undoubtedly rests on domestic factors, the external sector has played a major supporting role. Net exports have contributed, on average, nearly ½ of a percentage point a year to GDP growth and the current-account surplus has averaged 4 per cent of GDP over the past 15 years.

Figure 5. **COMPARISON OF TWO BUSINESS CYCLES**

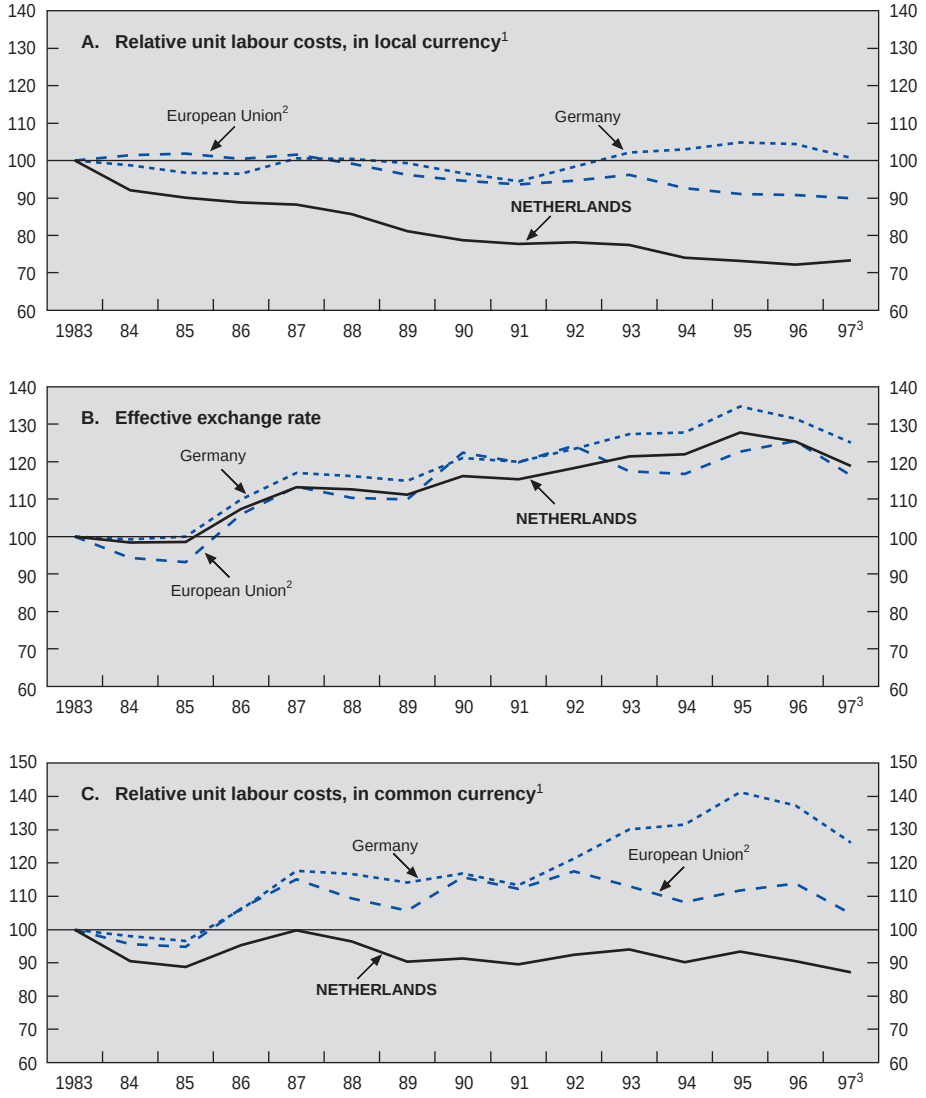


1. Business sector.
2. National definiton.
3. Private consumption deflator.
4. Manufacturing.
5. Share of capital in business GDP (excluding mining and housing).

Source: Netherlands Bureau of Economic Policy Analysis, *Macroeconomic Outlook 1998,* and OECD Secretariat.

Figure 6. **INTERNATIONAL COMPETITIVENESS**

Index 1983 = 100



1. In manufacturing.
2. Excluding Denmark, Sweden, Greece and United Kingdom.
3. Provisional figures.

Source: OECD Secretariat.

All considered, the ‘‘wage moderation for jobs’’ approach pioneered in the Wassenaar agreement may have been the single most important element of the ‘‘Dutch model’’. It ensured pay restraint and social peace, with Dutch wages increasing less than in partner countries on average, and the Netherlands losing proportionately fewer days to strikes than any other European country. This set in motion a ‘‘virtuous circle’’ of good international competitiveness, high profitability, strong investment and rapid job creation, with feedback effects on household confidence, asset prices and private consumption. Moreover, the favourable performance of the private sector has interacted positively with fiscal consolidation, facilitating the government efforts to simultaneously reduce the budget deficit and the tax burden. Tax relief has underpinned disposable income, making wage moderation more acceptable, and reduced non-wage labour costs. Wage moderation has enhanced employment not only by restoring firms’ profitability and competitiveness, thereby boosting investment and exports and hence the demand for labour, but also through a substitution of labour for capital, which has made economic growth more labour intensive. The counterpart of this, however, has been a reduction in productivity gains – a trend which has been accentuated in recent years by the emphasis on providing employment to low-skilled workers. Nonetheless, Dutch productivity levels have remained very high by international standards.[28]

II. Economic policies

Rigorous economic policies with a medium-term orientation have long been a hallmark of the Netherlands, and have undoubtedly been a major contributing factor to the success of the ''Dutch model''. A hard-currency policy centred around a close link with the Deutschemark has enhanced confidence in the guilder and secured low interest rates. Since the 1994 Coalition Agreement, a strict public expenditure norm has been the centrepiece of fiscal policy, and has allowed the simultaneous pursuit of the two major policy objectives – *i.e.* reducing the budget deficit and the debt/GDP ratio to meet the Maastricht criteria, and cutting taxes and employers' non-wage costs to alleviate the ''collective burden''[29] and promote employment. At the same time, there has been significant progress in structural reform in the labour market and the social security system, as well as in deregulating and strengthening competition in the product market and the economy in general (Chapters III and IV). The following sections, first consider monetary policy and monetary conditions, notably liquidity creation. Thereafter, recent and prospective trends in fiscal policy are reviewed.

Monetary policy

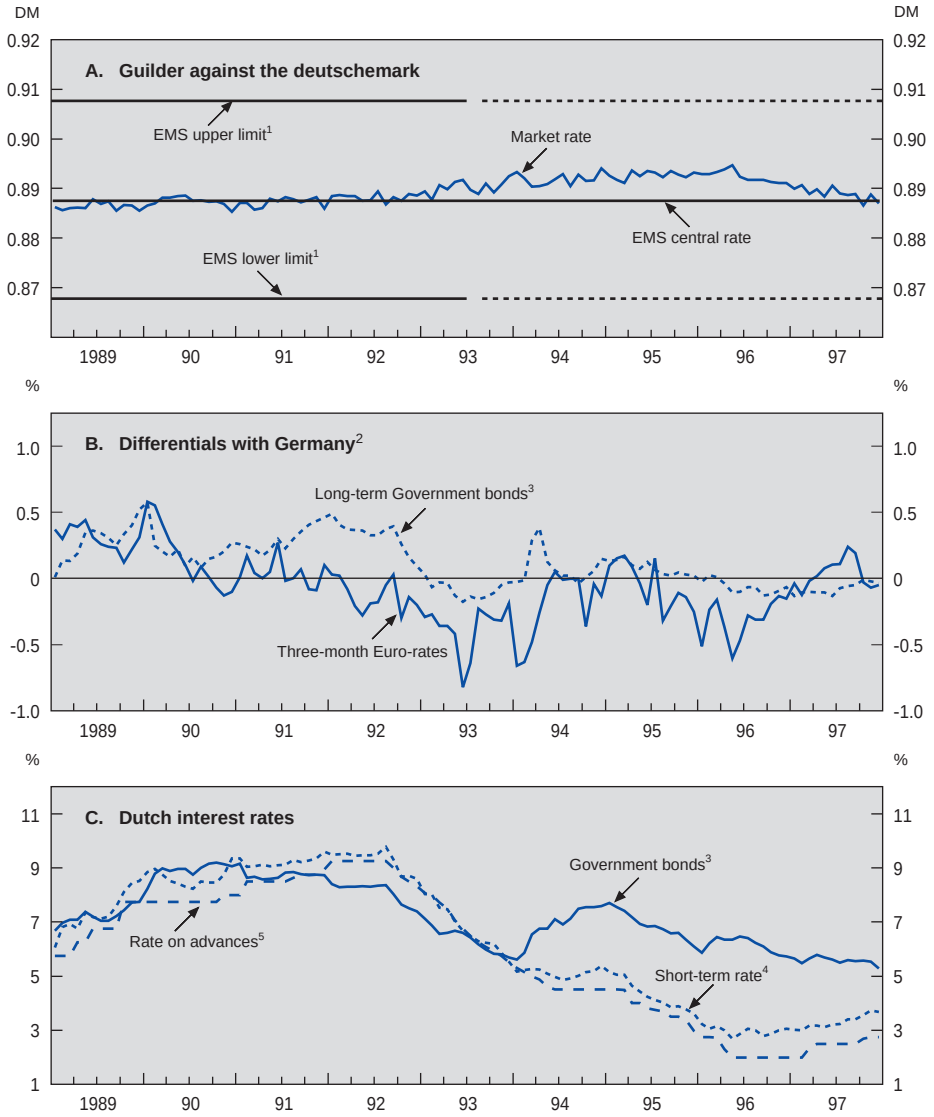
The intermediate aim of the Dutch monetary authorities is to maintain a stable exchange rate link between the guilder and the Deutschemark. In a bilateral agreement between the Netherlands and Germany – concluded in August 1993 when the Exchange Rate Mechanism (ERM) fluctuation margins were widened to plus/minus 15 per cent of the central rates – it was decided to keep the guilder-Deutschemark fluctuation margins unchanged at 2¼ per cent. In practice, the Dutch authorities enforce an even narrower fluctuation band for the guilder, with deviations from its central rate *vis-à-vis* the Deutschemark rarely exceeding ½ of a percentage point. Decisions concerning the money market and policy-

determined interest rates are made with a view to maintaining this link. Over the years, this strategy has proven to be an effective way of achieving a low rate of inflation, which is the ultimate goal of Dutch monetary policy.

For most of 1996, the guilder was above (*i.e.* stronger than) its central rate *vis-à-vis* the Deutschemark by an unusually wide margin (Figure 7, panel A); at the same time, both short-term market rates and policy-determined interest rates were significantly lower in the Netherlands than in Germany (Figure 7, panel B). For instance, the rate on special loans of the Netherlands Bank, at 2.5 per cent in the second half of 1996, was 50 basis points below the German repo rate. Towards the end of 1996 and in early 1997, the guilder weakened against the Deutschemark, approaching its bilateral central rate, and Dutch money market rates edged up, closing the differential with corresponding German rates. In this period, the Netherlands Bank raised the rate on special loans twice: first, at end-February, to 2.7 per cent, and then again in mid-March, to 2.9 per cent. The rate on advances – the main official rate in the Netherlands – was raised by 50 basis points, to 2.5 per cent (the same level as the German discount rate). Although this hike in official interest rates was motivated by the weakening of the guilder *vis-à-vis* the Deutschemark, it seemed appropriate in the light of domestic cyclical considerations. Monetary conditions then broadly stabilised for several months, with Dutch interest rates very close to German rates, both at the short and long end of the market, and the guilder comfortably above its central rate *vis-à-vis* the Deutschemark. In July 1997, the guilder weakened somewhat against the Deutschemark and the rate on special loans was raised to 3 per cent. In early October, following a 30 basis points increase in the German repo rate, the Netherlands Bank raised again the rate on special loans – to 3.3 per cent – and, citing domestic conditions, it also raised the rate on advances, from 2.5 per cent to 2.75 per cent.

Over the last year or so interest rates have, on average, been at the lowest level in a decade, especially in real terms. For instance, real long-term interest rates[30] are currently around 3 per cent, compared with a 1988-96 average of 5½ per cent.[31] Global exchange rate developments have also contributed significantly to the easing of overall monetary conditions. Reflecting the appreciation of the dollar as well as the rebound of several European currencies – notably the pound sterling, the Italian lira and the Spanish peseta – the guilder, in effective or trade-weighted terms, depreciated in both 1996 and 1997, by 1½ per cent and an

Figure 7. **INTEREST RATES AND EXCHANGE RATE AGAINST THE DM**



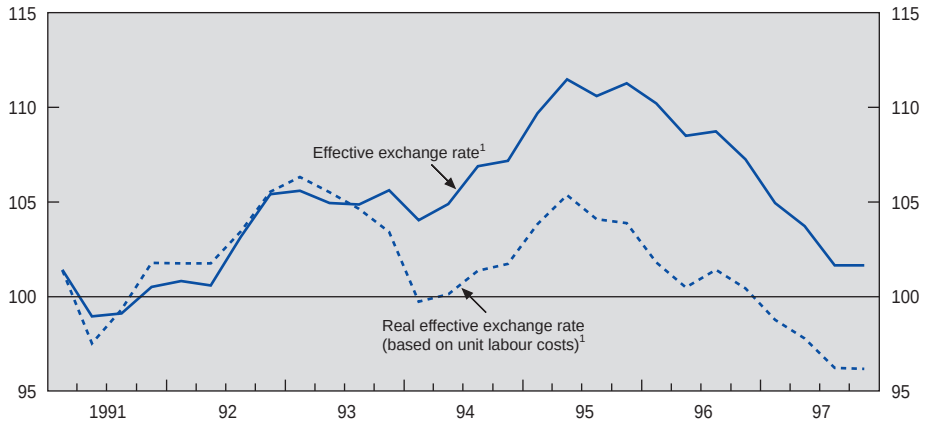
1. Since August 1993 this is a bilateral German-Dutch arrangement.
2. Dutch rates minus German rates.
3. Ten years.
4. Three-month loans to local authorities.
5. Main official rate of Central Bank.

Source: Netherlands Bank and OECD, *Financial Statistics Monthly*.

estimated 4½ per cent, respectively.[32] This has more than offset the appreciation of 1995, and has reduced the cumulative effective appreciation since 1991 to less than 2 per cent. With a labour cost performance better than that of trading partners on average, the real effective exchange rate of the guilder (on the basis of unit labour costs in manufacturing) has dipped to 4 per cent below the level of 1991, after having reached a peak appreciation of 5 per cent in early 1995 (Figure 8). A crude financial conditions indicator, combining real long-term interest rates with the real exchange rate of the guilder, confirms that by the standards of the last 10 years or so, current financial conditions are indeed quite easy (Figure 9).

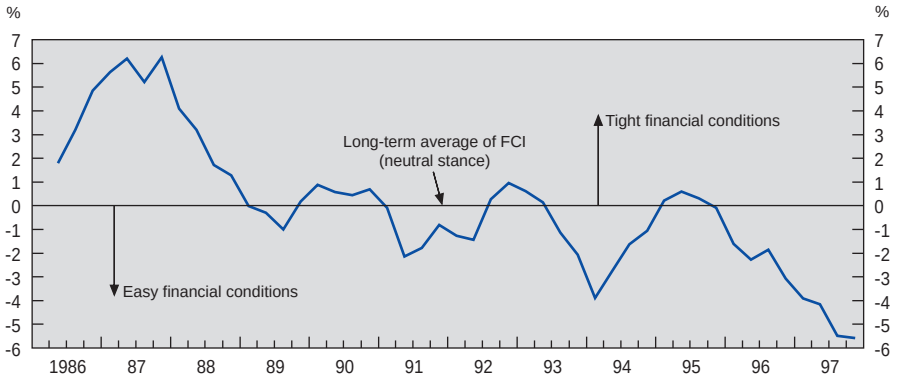
Another factor pointing to relatively easy monetary conditions and sustained output growth in the coming period is the acceleration in domestic credit creation and in the money supply which, according to empirical research of the Netherlands Bank, is a leading indicator of economic activity.[33] M3 growth has increased from 4 per cent in 1995 to 6 per cent in 1996 and 6.5 per cent in the second quarter of 1997 (year-on-year). This acceleration has been the net result

Figure 8. **EXCHANGE RATES OF THE GUILDER**
Index 1991 = 100



1. Same series as those plotted in Figure 6.
Source: OECD Secretariat.

Figure 9. **FINANCIAL CONDITIONS INDICATOR**[1]



1. The Financial Conditions Indicator is defined as FCI = (r – r*) + (e/e* – 1)/w, where r is the real long-term Government bonds rate (CPI deflated), r* the long-term average of r (over the 1986-1997 period), e the real effective exchange rate (ULC based), e* the long-term average of e (over the 1986-1997 period) and 1/w the weight of the exchange rate (w = 2). A positive value of the FCI implies relatively (compared to a long-term average) tight financial conditions.

Source: OECD Secretariat.

of strong domestic liquidity creation – contributing 14.9 percentage points to M3 growth in the second quarter – only partially offset by capital outflows and a deficit in the balance on non-monetary transactions – reducing M3 growth by 8.4 percentage points. While favourable cyclical developments typically stimulate the transaction demand for money by households and enterprises, by far the most important reason for the recent surge in domestic liquidity creation has been the growth in mortgage credit to households (a 20 per cent increase in the second quarter). This has reflected several factors, including: a sharp increase in house prices – some 50 per cent over the past five years; low mortgage rates combined with an easing of qualifying conditions for mortgage credits and the introduction of new types of such credits that are fiscally attractive to the borrower; a shortage of new building sites for construction; and a strong increase in rents, including regulated rents. Another important reason for the domestic creation of liquidity has been the extension of credit to enterprises eager to take advantage of historically low interest rates and to invest in plant and equipment to meet buoyant demand.

Whether the recent large outflow of liquidity has been caused by the strong domestic creation of liquidity is an unsettled question: empirical research does not clearly indicate the existence of a pertinent causal link in the Netherlands. The monetary authorities regard the recent liquidity outflow as the result of buoyant direct foreign investment and portfolio diversification policies of Dutch pension funds and insurance companies, which increasingly invest in foreign securities. This diversification process has been made possible by the liberalisation of financial markets and international capital movements in general, combined with the relaxation of regulation concerning investments of Dutch pension funds in the past few years. In this environment, the Netherlands Bank considers that any attempt to intervene in the money creation process must be undertaken with the greatest possible caution. Only in cases of grave dislocations in the real economy or a serious threat of such dislocations, combined with excessive domestic money creation and persistent outflows of money, might the Netherlands Bank consider intervening in money creation. Recent developments are certainly far from these extreme conditions, and the authorities feel that, while the evolution of house prices and the growth of mortgages to households warrant careful monitoring, no specific measures should be taken at the moment.

Monetary and financial conditions are likely to tighten over the next two years, but only moderately. Short-term interest rates are expected by the OECD Secretariat to rise by some ¾ of a percentage point to 4 per cent in 1998, on average – in tandem with German rates – and to move up to 4½ per cent in 1999 as the expansion in EMU countries gains momentum. Long-term rates are expected to rise by ½ of a percentage point to 6¼ per cent in 1999. Given the risk of overheating, this interest-rate outlook – combined with a broadly neutral stance of fiscal policy (see below) – points to a possible conflict with immediate domestic requirements.

Fiscal policy

Since 1994, Dutch fiscal policy has been centred around a strict public expenditure norm in pursuit of the twin objectives of, first, reducing the budget deficit and the debt-to-GDP ratio to meet the Maastricht criteria and, second, cutting taxes and social security contributions to alleviate the collective burden and bolster employment. At the time of the 1994 Coalition Agreement, the

authorities decided that the tax burden was excessive and entailed behavioural responses that were reducing efficiency and undermining the operation of market forces, particularly in the labour market. Hence, expenditure ceilings were set for the central government, the social security and the health care sectors, implying a fall in these expenditures in real terms by 0.4 per cent a year on average over the coalition period (1995-1998). Combined with a cautious scenario of 2 per cent growth a year, this approach was aimed at allowing both a cumulative tax cut of around 1½ per cent of GDP over the whole period and a reduction in the general government deficit to well below the Maastricht ceiling of 3 per cent of GDP.

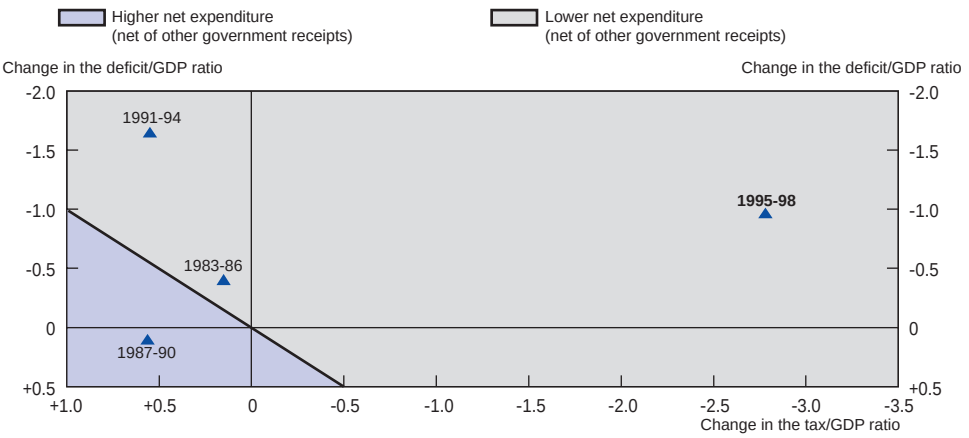
Thus far, the new budget policy has worked well and resulted in a smoother and more predictable budgetary process than in previous coalition periods. Unlike in the past, the need for corrective measures has been avoided by basing the coalition programme on a cautious growth scenario. Indeed, economic conditions during the current government period have until now been more favourable and resulted in substantial (cyclical) windfall tax receipts and expenditure shortfalls. Moreover, because of a strict application of the expenditure norm, the authorities are expected to achieve a simultaneous reduction of the government deficit and the tax burden (Figure 10). In the past, budget policy was primarily focused on deficit targets. Slack economic conditions had often required the introduction of supplementary budgets to keep fiscal consolidation on track. This budget process may have skewed budget savings toward tax increases and expenditure items over which the government had the best control, such as government investment. Hence, although tax stabilisation had been an objective in previous government programmes, the tax burden had steadily gone up.

Despite the positive experience, a possible drawback of the current fiscal policy framework is that it may have a pro-cyclical character. In a cyclical upswing, there is the temptation to use available budgetary room below the ceilings for additional spending programmes, and on the receipt side cyclical (and other) tax windfalls may be used for additional tax reductions. This is problematic since, with monetary policy directed at keeping the guilder close to its central rate *vis-à-vis* the Deutschemark, the use of fiscal policy – within the limits of its medium-term orientation – could be especially useful in cushioning the effects of asymmetric shocks or differences in the cycle with Germany.

However, from the experience of the past two decades, the authorities have concluded that in the Netherlands the impact of fiscal policy on economic activity

Figure 10. **CHANGES IN THE BUDGET DEFICIT AND TAX BURDEN**[1]

Per cent



1. The average general government budget balance and tax burden (taxes and social security contributions) as a percentage of GDP over a four year period compared to the previous four year period.

Source: OECD Secretariat.

is limited. First, the openness of the economy has increased its exposure to external influences and reduced the power of a fiscal stimulus to boost domestic activity. Second, expansionary policies, as in the 1970s, would quickly become unsustainable as an increase in the national debt would result in a sharp rise in interest payments. Hence, the emphasis of economic policy has shifted toward the improvement of the structure of government expenditure, with a view to enhancing the functioning of the supply side of the economy, *i.e.* creating a more flexible labour market and competitive product markets. Finally, as noted, current fiscal policy is based on a cautious economic growth scenario. Revenue windfalls have been used both for tax cuts and additional deficit reductions. Windfall saving in expenditure, subject to the ceiling, has not been automatically used for other spending categories. Under such a regime, the automatic stabilisers can be allowed to work more freely than in the case of a deficit target. While these points are well-taken, it is still an open question whether in the current situation the automatic stabilisers should not be allowed to work fully and the stance of fiscal policy should not be unambiguously restrictive.

Recent developments

Most of the governing principles concerning the 1996 budget were already set out in the 1994 Coalition Agreement. In addition, larger-than-expected expenditure reductions, notably in the social security sector, created room for the full linkage of social security benefits and the legal minimum wage to contractual wages in the private and the public sector – a measure contingent on the fall of the ''dependency ratio'' below its reference value.[34] Other new spending initiatives were taken in areas such as public safety and the strengthening of river dikes. The budget also allowed for tax reductions, notably affecting employers' non-wage labour costs and tax credits for low-wage earners – *i.e.* for wages up to 115 per cent of the legal minimum wage. Other measures included an energy tax on electricity and natural gas consumption, the revenue effect of which was offset by a set of tax reductions.

The 1996 budget outcomes were slightly better than projected, and the general government deficit declined to 2.3 per cent of GDP, down from 3.7 per cent in 1995 (Table 5 and Figure 11). This important reduction in the deficit was mainly the result of discretionary measures, notably in the social security sector, but it also reflected the favourable cyclical development. Most expenditure categories remained well below the ceilings, except in the health care sector, and the total expenditure to GDP ratio fell by more than 1 percentage point, to slightly below 50 per cent. The growth of central government expenditure slowed as government employment continued to decline and contractual wages lagged behind developments in the private sector. In the social security sector, benefits were fully linked to contractual wages in the private and the public sector as the ''dependency ratio'' did fall below the reference level. Nonetheless, expenditure in this area slowed, reflecting reform measures in disability, sick leave, unemployment, and social assistance schemes which curbed the increase in the number of benefit claimants (see Chapter IV). Other saving in public expenditure resulted from delays in the construction of some large infrastructure projects such as the Betuwe railway,[35] and reduced payments to the EU budget.

On the revenue side, tax receipts, and notably company taxes, were boosted by a strong economy. However, income tax revenue was substantially lower than projected, which also resulted in lower contributions for the social security sector.[36] This shortfall was caused not only by higher tax deductions (mortgage interest, company saving plans, etc.) but also by a growing number of self-

Table 5. **Appropriation account for general government**

Percentage of GDP

	Average 1990-94	1995	1996	1997[1]	1998[2]	1999[2]
Current receipts	46.6	44.8	44.5	44.5	43.5	42.9
Total direct taxes	15.8	13.0	13.4	12.6	12.7	12.4
On households	12.3	9.6	9.1	8.2	8.5	8.4
On business	3.3	3.3	4.1	4.2	4.1	3.9
Social security contributions	18.2	18.9	18.0	18.6	17.6	17.5
Indirect taxes	12.6	12.8	13.2	13.3	13.2	13.0
Current disbursements	48.2	46.7	45.3	44.7	43.5	42.6
Government consumption	14.6	14.3	14.0	14.0	13.9	13.6
Wages and salaries	9.9	9.8	9.4	9.2	9.1	8.9
Non-wage expenditure	4.7	4.6	4.6	4.8	4.8	4.8
Subsidies	3.0	1.9	1.9	2.3	1.8	1.8
Interest payments (net)	2.2	3.1	2.8	2.7	2.9	2.5
Current transfers	28.4	27.4	26.6	25.8	24.9	24.5
Net capital outlays	2.2	1.8	1.5	1.8	1.9	2.0
of which: Gross investment	2.7	2.7	2.7	2.7	2.7	2.7
Net lending	–3.8	–3.7	–2.3	–2.0	–1.9	–1.6
Memorandum items:						
Cyclically-adjusted net lending[3]	–4.0	–3.2	–2.0	–1.9	–2.1	–2.0
Debt/GDP[4]	79.0	78.5	76.6	71.9	69.4	68.5

1. Partly estimated.
2. Projections.
3. As percentage of potential GDP.
4. General government gross public debt (Maastricht definition).

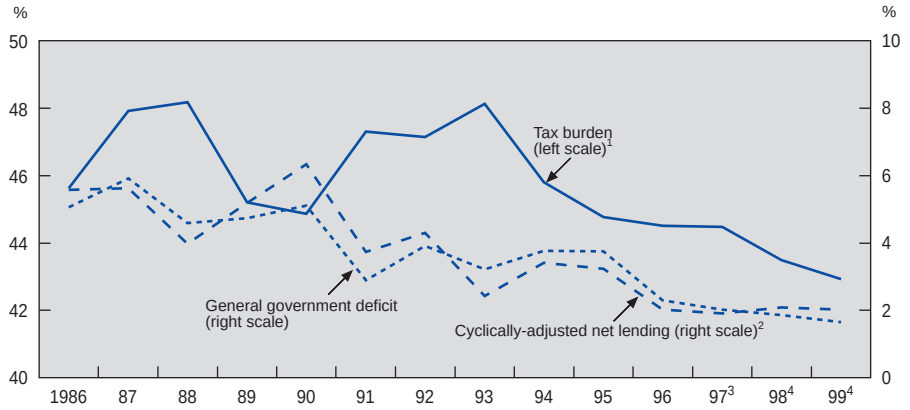
Source: OECD Secretariat.

employed who became incorporated.[37] Natural gas revenues were substantially higher than projected as sales were buoyed by cold weather and a one-off payment for the delivery of the so-called Common Area gas.[38]

The 1997 budget was seen by the government as crucial for the admission of the Netherlands to the EMU from its inception. The general government deficit was projected to edge down to 2.3 per cent of GDP (compared with a 1996 deficit estimated at that time at 2.6 per cent), and the public sector debt to decline to 72 per cent of GDP, compared with 77 per cent in 1996, mainly as a result of changes in accounting rules, such as a reduction in the Treasury's account with

Figure 11. **FISCAL CONSOLIDATION AND THE TAX BURDEN**

As a per cent of GDP



1. Taxes and social security contributions.
2. As a percentage of potential GDP.
3. Partly estimated.
4. Projections.

Source: OECD Secretariat.

the Central Bank by Gld 14 billion (2 per cent of GDP). The budget included several measures to stimulate employment through cuts in non-wage labour costs, and a few measures to improve households' purchasing power, thereby supporting wage moderation. To promote employment of low-skill workers, the special tax reduction for low wage earners, introduced in the 1996 budget, was increased. Social security contributions were raised to reduce the deficits of the general social funds, but the resulting effect on disposable income was compensated by lowering the tax ratio in the first income bracket which was further lowered to compensate for an increase in the energy tax. In addition, the tax-free allowance for wage-earners was increased, a measure especially favourable for people with low salaries, such as part-time workers and young people. The favourable budgetary situation again made it possible to fully link social security benefits and child benefits in accordance with the Linkage Law. With these measures the authorities intended at least to maintain the purchasing power of all income groups, that had been stagnant or – for some groups – had even fallen in 1996.

Owing to stronger-than-anticipated economic growth in 1997, budget outcomes will be better than projected, and the general government deficit is estimated by the OECD Secretariat to have been 2 per cent of GDP both in actual and cyclically-adjusted terms, slightly lower than in 1996 (reflecting additional tax revenues which were not reported until very recently, the Dutch government expects the 1997 deficit to have been 1.5 per cent of GDP). Receipts of VAT and company taxes have outstripped expectations by about Gld 7 billion (1 per cent of GDP). However, as in previous years, lower tax receipts in the first income tax bracket have resulted in shortfalls in social security contributions. The financial position of the social security funds was further weakened as the outflow of beneficiaries from the unemployment scheme has fallen short of expectations, despite declining unemployment.[39] In order to bring the social funds back into surplus, the government increased the unemployment insurance premium by 1 percentage point in July 1997, and augmented its transfers to the general pension and survivors' schemes by Gld 3 billion.

Central government spending has been kept just below the expenditure ceiling, even though unexpected expenditures owing to the outbreak of swine fever (Gld 1.8 billion) were only partly offset by a Gld 0.6 (0.4) billion reduction in interest payments and EU contributions, respectively. Departmental spending has remained subdued as contractual wage increases in the public sector have again lagged behind the private sector. Moreover, the reduction in weekly working hours to 36 hours from 38 hours for most civil servants has not resulted in a proportionate increase in employment. However, due to the creation of jobs for the police, the judiciary and the tax office, government employment has stopped trending down. Also, additional subsidised jobs, the so-called Melkert 1 jobs (see Chapter IV), have contributed to employment growth in the public sector.

The 1998 budget

The 1998 budget, presented in September 1997, conforms to the budgetary framework of the Coalition Agreement. Faster growth than assumed in the Coalition Agreement and expenditure shortfalls over the previous years have given the authorities more leeway for expenditure increases and tax reductions in the final year of the agreement. Hence, although falling as a percentage of GDP, government expenditure is projected to move up to the ceilings set in the Coalition Agreement, despite significant savings, notably on interest payments and in the

social security sector. Additional funds will be made available for new expenditure programmes in areas such as social assistance, education and environmental protection. Furthermore, social security benefits will continue to be fully linked to the rise in the contractual wage index.

In the social security sector, the disability scheme will be significantly revised by the introduction of premium differentiation and a partial opting-out possibility in the disability scheme for employees, the PEMBA law (see Chapter IV). Social security expenditure is also expected to slow down as some previous initiatives, such as the 1996 Survivors' Law, will become fully effective. However, in the health care sector, despite corrective efforts, including efficiency measures and the law regulating prices for medical drugs, expenditure targets have been exceeded in each year since 1995, and for 1998 the government has decided to increase the budget of this sector by Gld 0.6 billion.

The collective burden is projected to fall by 1 percentage point, 0.5 percentage point of which is due to tax relief measures. Household taxes are lowered by 0.4 per cent of GDP, mainly in the form of lower social security contributions, and compensated by increases in government transfers to the social funds, specifically to the general pension fund, and the disability funds for young disabled and self-employed. Furthermore, the government will increase its funding of the local authorities, thereby allowing them to reduce local taxes on households. Company taxes will be lowered by increasing tax credits for employing low-skill employees, and by fiscal measures to promote research and development and lifelong learning, targeted on older workers. The authorities expect the pro-cyclical impact of these measures to be partly offset by its dampening effects on wage demands.[40] All considered, the OECD Secretariat expects the general government deficit to edge down to 1.9 per cent of GDP in 1998;[41] on a cyclically-adjusted basis this corresponds to a small increase – from an estimated 1.9 per cent in 1997 to 2.1 per cent in 1998. However, as noted above, the Dutch government has recently identified additional tax revenues for 1997 which were not reported in the budget proposals for 1998. Hence, they expect the 1998 deficit to be lower than projected by the OECD Secretariat. But both projections point to a broadly neutral stance of fiscal policy in 1998.

On the basis of the 1998 budget, the OECD Secretariat expects the targets set out in the 1994 Coalition Agreement to be achieved. As expenditure for existing programmes has been kept below the ceilings, the room for manoeuvre

so created has been used for additional measures, such as public security. Some saving initiatives have been implemented later than planned (such as the PEMBA law) but the resulting slack in expenditure restraint has been largely offset by some important investment projects running behind schedule, and by lower interest payments. Retrenchment measures in the social security sector have been rather effective in reducing the number of benefit claimants, and the ''dependency ratio'' – *i.e.* the ratio of dependent people to the active labour force (in full-time equivalents) – has fallen well below its reference level.[42] Although partly offset by unexpected spending in the unemployment insurance scheme, saving in the disability and sickness schemes as well as in the social assistance schemes has made it possible to fully apply the Linkage Law without requiring additional spending cuts. However, expenditure targets in the health care sector have been substantially overshot. Overall, the ratio of total government expenditure to GDP is expected to decline by more than initially projected (Table 6). Taxes and social security contributions have been reduced more than initially agreed – to around 43½ per cent of GDP – through general tax reductions and specific tax cuts aimed at reducing wage costs for the lower income groups in the labour market. On the other hand, the general government deficit, projected by the OECD Secretariat to fall to 1.9 percentage point of GDP in 1998, may be only slightly below the 2 per cent projected in the Coalition Agreement, despite the more favourable economic environment. However, taking into consideration the additional tax revenues in 1997 which were not reported in the 1998 budget

Table 6. **Coalition Agreement 1995-1998: projections and outcomes**[1]

	Projections (Cautious scenario[2])	Likely outcomes (OECD Secretariat projections)
Economic growth (period average)	2.0	3.1
Employment growth (1 000 persons)	352.0	550.0
Reduction in:		
Government expenditure/GDP	4.7	5.3
Taxes and social security contributions/GDP	1.7	2.3
General government deficit/GDP	2.0	1.9
General government deficit/GDP (1998 level)	2.3	1.9

1. Changes over the period 1994-1998.
2. Netherlands Bureau of Economic Policy Analysis (1994).
Source: Netherlands Bureau of Economic Policy Analysis, *Macroeconomic Outlook 1995*; OECD Secretariat.

proposals, the Dutch authorities expect the fall in the general government deficit to be approximately 0.7 per cent of GDP more than in the coalition Agreement.

Fiscal consolidation beyond 1998

The Study Group on the Budget Margin has recently advised the government to continue the current budget policy – based on a strict real expenditure norm and a cautious growth scenario – in the period 1999-2002 (Studiegroep Begrotingsruimte, 1997). A relevant consideration for fiscal policy over this period is the expected participation of the Netherlands in the EMU from 1999. To avoid excessive deficits in the EMU area, EU countries have agreed on the so-called Stability Pact, requiring general government deficits above 3 per cent of GDP to be subject to fines, except in the case of severe recession. Therefore, as a safety margin, the Study Group suggests setting the ceiling of the Dutch general government deficit at 2½ per cent of GDP. The actual deficit should normally be well below this ceiling to allow the built-in stabilisers to work, in the case of a downturn, without having to take restrictive measures.

According to the European Commission, the Netherlands has, after Sweden, the most cyclically-sensitive tax revenues among EU countries: a 1 per cent fall in GDP increases the budget deficit to GDP ratio by 0.6 percentage point (European Commission, 1995*a*). On the other hand, cyclical GDP variations have been among the smallest in EU countries. The maximum cyclical variation over the period 1975-1997 was about 5 per cent of potential GDP and the maximum output gap was 3 per cent over this period. Hence, based on these calculations and given the strict expenditure norm, a structural deficit of 1 per cent would seem sufficient for the actual deficit to remain below the 3 per cent ceiling in the case of a recession, while permitting automatic fiscal stabilisers to operate. This is in line with calculations made by the Study Group on the Budget Margin.

Over the longer term, the objective of further fiscal consolidation is also motivated by the ageing of the population and the related projected increase in social expenditure, notably for old-age pensions and health care. Demographic projections show that the number of pensioners in relation to the active population will double over the next 50 years, to around 40 per cent. On the basis of a generational accounting framework, the Netherlands Bureau of Economic Policy Analysis (1997*a*) has concluded that the severity of the ageing problem in the Netherlands compares favourably with that in other OECD countries, because of

both demographic factors and the fact that an important proportion of Dutch pension schemes are funded. Nonetheless, for current pension and health care arrangements (benefit and contribution rates) to be more or less maintained in the future without incurring a steep rise in the deficit, other general government expenditure needs to be drastically reduced in coming years. The recently formed investment fund for the general state pension scheme is a step in the direction of fiscal prudence, as it helps to ensure that the additional budget flexibility created by lower interest payments is not used for new spending initiatives. In addition, according to the Netherlands Bureau of Economic Policy Analysis, the current policy of raising the participation rate should be intensified to broaden the basis of the social security system.

A substantial reduction of the general government deficit may be difficult to achieve in the next government period (1998-2002). The Netherlands Bureau of Economic Policy Analysis (1997*b* and 1997*c*) has presented a medium-term scenario based on a 2 per cent average GDP growth rate and unchanged policy assumptions. In this scenario, the number of social benefit recipients increases again, largely as a result of the ageing of the population. In particular, the number of persons in the general state pension scheme is expected to increase by 25 000 each year, and the number of people entitled to disability benefits is also projected to rise as the labour force ages. Moreover, with the scenario's weak employment growth and owing to the recent tightening of other schemes, notably the disability and early retirement schemes, the number of unemployment benefit recipients, and in particular those receiving unemployment insurance benefits (WW), would start rising again. Although interest payments are projected to fall in real terms in the next four years, the resulting expenditure reduction may be offset by a sharp decline in government net receipts from natural gas sales, as demand is increasingly met by supply from less profitable smaller gas fields and imports. Reflecting the government's commitment to improve the infrastructure, investment spending is expected to increase further, but substantial private financing is assumed in the terminal phase of some large projects such as the Betuwe railway[43] and the high-speed rail link with Belgium. Overall, government expenditure is projected to grow by almost Gld 20 billion (in 1998 prices) or 2.6 per cent of GDP. On the assumption of constant tax rates, total revenue is estimated at Gld 25½ billion, leaving less than Gld 6 billion, or 0.7 per cent of GDP, for either tax relief or deficit reduction over the four-year period.[44] All considered,

the Study Group has recommended to balance the budget within eight years and, as an intermediate target, to reduce the deficit to a maximum of 1 per cent of GDP in the next legislative period.

This scenario points to the difficulty of simultaneous achieving the multiple goals the Netherlands has set for fiscal policy – *i.e.* reducing the deficit and the debt to GDP ratio, alleviating the collective burden through tax cuts, stepping up investment in infrastructure, and preserving the purchasing power of low income groups by, among other measures, the full indexation of social security benefits. Of course, stronger economic growth and a higher employment rate would greatly help in achieving these competing objectives simultaneously, but it would be unwise to rely on this for the formulation of longer-term policies. If developments in this area should not meet expectations, further measures could be considered, as discussed in Chapters III and IV.

III. Implementing structural reform: a review of progress

Within the framework set out by the *OECD Jobs Study*, the 1996 *OECD Economic Survey of the Netherlands* provided a set of detailed policy recommendations[45] to boost non-inflationary economic growth and create sufficient jobs not only to absorb the large number of prospective new entrants into the labour market but also to reduce the level of inactivity – *i.e.* to facilitate the return of a significant proportion of persons in social security programmes to the active labour market and allow people with part-time jobs to work more if they wish to. These recommendations were derived from a review of structural features of the Dutch economy which determine growth and the incidence of non-cyclical unemployment. The analysis emphasised that in the Netherlands, as in other European countries, the emergence and persistence of unemployment in various forms has been the result of a variety of complex and often interacting features.

On the supply side, the working-age population has grown rapidly, partly due to an important inflow of immigrants, and the number of women seeking employment has increased steadily; on the demand side, a need for a more skilled and qualified labour force has emerged as a result of technological change and, more recently, heightened competition from non-OECD countries. Institutional and market rigidities have prevented the economy from adjusting to the extent required by these structural changes. With respect to the labour market itself, the main impediments to employment growth identified by the analysis were the rigid wage formation system and heavy non-wage contributions resulting in high labour costs – notably for low-skilled workers; insufficient incentives to work, reflecting generous social welfare benefits and high effective marginal tax rates; and certain aspects of employment security rules – especially those governing probation periods and the extension of fixed-term contracts – as well as a lack of appropriate skills and qualifications, insufficient assistance from public employ-

ment offices, and low labour mobility as a result of some of the previous factors and exacerbated by housing policy. It was also noted that impediments to growth in other areas – primarily an insufficient degree of competition in goods and services markets, and rigidities in financial markets – have undoubtedly hindered the efficient functioning of the economy and possibly contributed to the unsatisfactory labour market outcomes.

After acknowledging the importance of the measures already taken by the authorities and the distinct improvement in labour market outcomes in the recent period, the 1996 *Survey* argued that the complexity and long-lasting character of the unemployment and non-employment problems pointed to the need for a wide-ranging, multi-year programme of action, focused on the labour market, the social security system and the tax system, but extending to the rest of the economy to make it more competitive, dynamic and responsive to change. Such a ''package deal'' was also desirable on other grounds: to exploit synergies resulting from the mutually reinforcing character of most of the specific measures suggested; to soften the human and equity impact of some liberalisation measures; and to preserve social consensus and cohesion which, by giving explicit attention to equity issues, has served the economy quite well. Among the many specific suggestions, the *Survey* stressed the need to:

- make the wage formation system more flexible, including permitting a widening of the wage structure (corresponding to skill differentials);
- tighten further the unemployment insurance schemes and, more generally, the welfare system, which remains among the most generous in the OECD area, with strong disincentives to active job search on the part of the unemployed and other inactive persons in social security programmes;
- step up active labour market policies and improve co-operation among the institutions in charge of implementing social security law, to provide persons in welfare programmes with the necessary guidance and qualifications to return to the active labour force.
- introduce institutional and tax reforms in order to give financial companies both the scope for action and the incentive to play a more dynamic role in the Dutch economy – *i.e.* to provide risk capital and support the commercialisation of private research.

Progress in structural reform[46]

Increasing wage and labour cost flexibility

The authorities have made no attempt to revise directly arrangements concerning the administrative extension of sectoral wage agreements, trying instead to make wage agreements more flexible and less damaging for job creation. In the Netherlands, the administrative extension of labour agreements (CAOs) is bound by the condition that such agreements should not be contrary to the general interest, and should directly cover the majority of employees in the branch concerned. Moreover, the 1994 Coalition Agreement included the proposition that the administrative extension should no longer apply to the lower end of the labour market. Hence, the government has threatened to introduce legislation curbing administrative extension, unless employers and employees create and use bottom pay scales which are close to the legal minimum wage. Representatives of employers and worker organisations agreed in October 1995 to reduce the gap between the legal minimum wage and minimum wages set in collective labour agreements, either by creating new, lower wage scales or by extending downwards existing wage scales. As a result, about 60 per cent of new labour agreements contain lower bottom wage scales. However, as noted in Chapter I, in 1996, only about 15 per cent of the enterprises concerned used them, the main reason being that collective agreements restrict the kind of work that may be paid according to these new wage scales. Moreover, many new bottom scales stipulate that workers have to be promoted to a better paying scale within one or two years. There are still few scales which provide the possibility of paying workers close to the legal minimum wage for an indefinite period. Nonetheless, reflecting the creation of lower wage scales, the gap between the negotiated and the legal minimum wage has decreased, from 11.8 per cent on average at end-1994, to 9.9 per cent at end-1995, and to 8.3 per cent at end-1996.

Another important way of increasing the flexibility of wage agreements is through the so-called ‘‘opening clauses’’ which allow firms, under certain circumstances, to negotiate with their work force to pay below the minimum set in collective contracts at the branch level. According to the authorities, the acceptance of opening clauses has grown rapidly, and currently some 70 per cent of all labour agreements include them. But there are no data on the number of workers

affected, and it seems that the effective use of opening clauses is still rather limited.

To cushion the impact of the legal minimum wage on employment, the government has suggested allowing employers to hire members of certain target groups – notably long-term unemployed – at 70 per cent of the legal minimum wage (for adults) for a maximum period of two years, after which the worker concerned would be offered a job for at least twice that period at the legal minimum wage or at a normal wage rate. During the first two years, the employers would also provide education and training. But, in view of political opposition, the government has recently withdrawn a proposal along these lines which had also been disapproved by the Social Economic Council (SER). The SER, which is an advisory body composed of the social partners and independent members nominated by the Crown, stated that, under present conditions, a derogation to the legal minimum wage would lead to little additional employment.

Another way of alleviating the impact of legal and contractual minimum wages on employment is through reductions in non-wage labour costs for low-paid workers. In 1996, Dutch employers' social security contributions for workers with wages representing 115 per cent or less of the legal minimum wage were cut, implying – according to the authorities – a 5 per cent permanent reduction in the total minimum wage cost. This tax cut will be doubled in 1998. Moreover, if these workers' wages increase above 115 per cent of the legal minimum wage, employers are still entitled to one-half of the 1996 tax cut for a maximum of two years. Finally, additional temporary tax cuts have been introduced for employers hiring long-term unemployed.

Reforming job protection legislation

A new law on fixed-term contracts, probation periods and dismissal procedures has come into force at the beginning of 1998. It has eased restrictions on the renewal of fixed-term contracts, with a maximum of two renewals in three years. The maximum probation period – currently two months – has not been modified, but in the case of fixed-term contracts the actual length of the probation period has become dependent on the length of the contract of employment. Dismissal procedures for permanent workers have been eased somewhat. Moreover, the government has proposed to Parliament to abolish altogether the licensing system for temporary work agencies. However, no further action is envisaged

concerning the employment protection for permanent employees, which is still relatively stringent.

Expanding and enhancing active labour market policies

A true ''one-counter system'' integrating the payment of benefits, placement and counselling services, and the management of training programmes has not yet been implemented. However, the Public Employment Service (PES) and the agencies in charge of the payment of unemployment benefits and social assistance have recently formed a steering committee for a nation-wide project – Co-operation Work and Income (or SWI)[47] – aimed at:

- facilitating labour market participation of social benefit recipients;
- increasing administrative efficiency by reducing duplication of procedures and introducing a common electronic communication and information system;
- ensuring a more effective input of human and financial resources as well as a better matching process.

The steering committee has encouraged the creation of a large number of local pilot projects, and from their experience it has prepared recommendations for the Ministry of Social Affairs and Employment. The key recommendation is that the regional PES, a number of municipalities (that deal with social assistance) and the administration offices of employees' social security laws (UVIs) should co-operate in the ''intake'' procedure of common clients – that is checking whether suitable vacancies are available, and estimating the ''distance'' of benefit claimants from the active labour market (or their ''employability''). In practical terms, the steering committee has advised on the creation of a series of common ''front offices'' to which staff from the PES, the municipalities, and the UVIs would be detached to perform the suggested ''intake'' procedure. The actual verification, calculation and payment of benefits as well as actual placement activities would remain separate ''back office'' activities, to be performed by the ''mother organisations''. As this project relies heavily on a spirit of co-operation and co-ordination, for the time being only minor legal and institutional changes are envisaged for its implementation. The structure of the three ''mother organisations'' will remain broadly unchanged, but the authorities hope that the creation of common ''front offices'' will promote some institutional bonding and foster co-operation and co-ordination.

Rather than introducing greater competition in the provision of placement services by permitting social security agencies to use either private or public employment services, the Dutch authorities prefer to keep all public placement within the PES. Nonetheless, steps have been taken to make the PES more effective in the reintegration of long-term benefit claimants. In addition to the SWI project discussed above, by force of a new law the PES will no longer receive all its income directly from the Ministry of Social Affairs and Employment. A limited amount (maximum Gld 150 million a year) will be received from unemployment benefit institutions (municipal assistance and UVIs), and contracts will have to be drawn up between these institutions and the PES, requiring the PES to reintegrate a certain number of claimants in specific target groups. For the next few years, the benefit institutions are obliged to choose the PES for the provision of placement services, but it is foreseen that after the year 2000 the PES will have to compete with private agencies. In this respect some competition already exists, since municipalities have some, albeit small, financial resources that they can use for a wide range of social purposes, including the purchase of services provided by private employment agencies. Moreover, the PES itself buys part of its services – especially training courses – from private providers.

In the area of surveillance of job search, a new PES law introduced in January 1997 included the obligation of the PES to inform the institutions in charge of unemployment benefits of insufficient job search efforts by benefit claimants. Also, the authorities expect that the closer co-operation of the PES and the social security administration in the framework of the SWI project will result in better surveillance of job search and increased acceptance of reasonable job offers. Finally, a new law on administrative penalties has changed the option of the institutions in charge of unemployment benefits to penalise the refusal of reasonable job offers into an obligation, and it has increased the sanction. Refusal of a suitable job now entails a complete and permanent loss of unemployment benefits.[48]

Concerning the institutional aspect of the social security system and control over benefit payments, the new Social Insurance Organisation Act (OSV) of March 1997 seems to have made the actual implementation of social security laws for employees' schemes effectively independent of the social partners (see Chapter IV).

Improving labour force skills and competences

In January 1997, almost all institutions delivering college-based courses for apprenticeship and training, as well as institutes for adult education, were merged into 61 mainly regionally based institutes, including 46 regional training centres (ROCs) to provide basic education, general adult education, apprenticeship and secondary vocational training. A new qualification structure with some 600 courses on four different levels has been defined and implemented. For each course, achievement targets are set by sectoral institutes for vocational training, representing both employers and workers. Achievement targets reflect the needs of specific sectors but also cover common skills and job requirements. All considered, by consolidating across sectors post-initial vocational training efforts, which used to be dispersed in sectoral institutions, the ROCs should achieve greater coherence of vocational training.

The government has recently presented an action plan or ''Lifelong Learning''. Its purpose is to enhance the participation in lifelong learning activities by both employers and employees. It also includes new policies to prepare teachers to do this job properly in a rapidly changing world. The plan is focused on achieving concrete results and fostering a dialogue among all parties concerned, starting in 1998. The project is managed by a board composed of all Ministers concerned, and chaired by the Prime Minister.

No major decisions have been taken concerning the relative sizes and respective functions of the dual system of higher education (university and non-university institutions). The Higher Education and Research Plan (HERP) of 1996 preserves the dual system broadly in its present form. There will continue to be no restrictions on the admission to and the number of students in the non-university institutions. On the other hand, the aim of the authorities is to make university education more selective, by discouraging double graduation – *i.e.* graduation at both university and non-university institutions – and stabilising the historically rising transfer rate from the secondary level to universities at around current levels. The actual duration of university studies – currently averaging 5.5 years – is to be reduced, to bring it closer to the theoretical duration of 4 years. Setting student fees in different sectors more in line with actual costs is currently not considered an option by the authorities. The HERP of 1998 includes proposals to encourage dual courses (combining study and work) at universities and non-university institutions of higher education.

Enhancing product market competition

The new Competition Act – which declares both abuses of dominant positions and restrictive agreements and practices illegal, and includes a system of preventive merger control – has come into force at the beginning of 1998. It is implemented and enforced by the Director-General of the Dutch Competition Agency who is subordinate to the Minister of Economic Affairs but exercises the powers assigned to him by the Act in his own name. According to the Competition Act the Competition Agency will become completely autonomous after three years. The Act represents a major change as, in principle, it covers all sectors of the economy.

Various measures have been taken, or have been proposed, to increase the exposure of a number of sectors to market discipline:

- **public transport:** in a proposal recently sent to Parliament, the government has suggested granting concessions for private operators for periods of 5 years, to be allocated by public auction;
- **health care:** to increase efficiency, several measures have been introduced or are being considered. For instance, executive bodies of the social health care insurance have been ''budgeted'', implying that these bodies will become subject to explicit budgetary controls. Also, ways to stimulate competition between hospitals, dentists, physiotherapists and pharmacists are being considered;
- **electricity:** Parliament is discussing a new law which will enable competition between energy producing companies. Energy users will be free to choose among suppliers which have equal access to the distribution grid; initially this option will be available only to large users;
- **gas:** a law similar to that under discussion for the electricity industry is being prepared for this sector;
- **water:** the government is considering ways to foster competition in this sector. A possible option is the introduction of a licensing system in which water companies would competitively bid for the right to supply a certain region over a given period;
- **mail:** the mail monopoly has been lifted for printed material and letters weighing more than 500 grammes. A further limitation of the monopoly is under consideration;

– **housing:** the social housing corporations have been allowed more freedom in the determination of rents. This has resulted in greater differentiation in annual rent increases which eventually should lead to a more rational rent structure, better reflecting quality differences.
– **telecommunications:** in July 1997, two new national telephone operators were allowed to enter the market. In the mobile telephony market the government plans to auction additional frequencies.

In the field of regulatory reform, the Dutch government has embarked on a comprehensive policy of reassessing existing regulations and reducing the administrative burden, thereby strengthening product market competition. This policy also includes a systematic assessment of the impact of draft legislation on business and the environment. The special Ministerial Commission – chaired by the Prime Minister – created for this purpose, has continued its work. So far, 26 areas of legislation have been considered, including the Shop Hours Act and the lawyers' monopoly, resulting in a major liberalisation of shopping hours and the introduction of more competition among lawyers. Notwithstanding various favourable results, experience with the on-going process of re-assessing legislation has shown that it takes considerable time for the Commission's recommendations to be implemented, and for this to translate into concrete economic results.

Making financial markets more dynamic

The authorities have also focused on structural characteristics of financial markets likely to have an impact on efficiency and possibly employment.[49] In May 1996, at the initiative of the Amsterdam Stock Exchange and the Association of Securities Issuing Companies, a committee (often referred to as the Peters Committee after the name of its chairman) was appointed to consider the future of corporate governance in the Netherlands. The Peters Report, of which a draft version was presented in October 1996, contains 40 recommendations aimed at helping Dutch financial markets to compete for a viable position in an increasingly international environment emphasising shareholder value. The appointment of the Peters Committee was an attempt by the Amsterdam Stock Exchange to avoid ''exogenous'' legislation on corporate governance, by recommending self-regulatory action to its members. The report has triggered a public debate on the key issues involved which the government has welcomed. For the time being,

concrete proposals for legislation are not to be expected, except for the Act on anti-take-over devices (see below).

Following an earlier agreement between the Amsterdam Stock Exchange and the Association of Securities Issuing Companies, in January 1997 the government proposed a bill on anti-take-over devices. The bill is based on the principle that a shareholder owning more than 70 per cent of the outstanding share capital of a listed company for a period of over 12 months should be able to challenge in court the limitations on voting rights resulting from anti-take-over devices. A serious acquirer should be able to exercise voting rights proportional to its shareholding, unless there is a reason to believe that the acquirer has intentions which entail a threat to the interests of the target company. Such intentions will not be assumed but will have to be proven by the target company. The main criteria on which the court's ruling will be based are:

- the manner in which the shares of the company were acquired;
- the extent of consultation with the management of the target company;
- the reputation of the acquirer; and
- the duration of the shareholding (a minimum of 12 months will be required).

The court will not rule without consulting the executive board and the work council of the target company, and it can appoint a committee of specialists to obtain competent advise on the take-over plans.

Reform of collective (private) pension funds is currently under discussion. The need for reform is primarily related to the ageing of the labour force which is expected to put substantial upward pressure on pension contributions. Among the various options considered, there is a reduction in collective pension provisions which would allow an increase in individual pension plans offering a wider range of choices. Also, the government has prepared a memorandum for Parliament on the future of the Dutch tax system. One part of the memorandum considers the ways in which the tax systems deals with various forms of savings.

Assessment and scope for further action

Over the past two years or so, progress in structural reform has continued and, combined with earlier efforts, this has contributed significantly to the good

performance of the Dutch economy in the recent period (Chapter I). While the pace of reform may seem rather slow, it is in line with the Dutch consensus approach, which tends to be painstaking and time consuming but, by avoiding confrontation and preserving social cohesion, ultimately makes significant changes possible with a minimum of disruptions and costs. Over the period under review, various reforms have taken place in the social security system where, among other initiatives, the process of privatising sick-leave insurance has been completed (Chapter IV). As for the labour market itself, the government has introduced permanent tax relief for firms hiring low-wage workers and temporary tax reductions for hiring long-term unemployed. It has also encouraged the creation and use of both bottom pay scales, which are close to the legal minimum wage, and ''opening clauses'', which allow workers to be paid below the minimum wages set in collective agreements. In this last respect, however, progress has been limited. A relaxation of employment security provisions has recently been introduced, but it has not greatly affected permanent workers. On the other hand, it is too early to assess the effectiveness of various measures aimed at streamlining and making more efficient the implementation of labour market policies – for instance, by moving towards a ''one-counter system'', enhancing the surveillance of job search and availability rules, and introducing greater competition in the provision of placement services. Outside the labour market, the introduction of the new Competition Law, which includes control of mergers and acquisitions, represents a major effort. Combined with the ongoing process of reassessing regulatory legislation, and initiatives to increase exposure of a number of sectors to market discipline, it should strengthen competition in product markets.

Given the strength of the economy and the rising number of vacancies in the labour market, present conditions would seem both to require and facilitate an acceleration of structural reform. The low-wage end of the labour market and the small outflow from social security schemes should remain the focus of policy attention. Over the longer term, the preferable solution is to raise the productivity of low-skilled workers through education, training, and life-long learning towards levels consistent with socially acceptable wages. Over the short to medium term, the creation, through normal market forces, of an important number of permanent low-skilled jobs, many of which have progressively disappeared over the years, may require labour costs to fall further to match the level

of productivity of workers currently ''unemployable''. The previous Survey suggested that if the level of wages required to employ low-skilled workers and people who have prematurely withdrawn from the labour force were unacceptable on grounds of social equity, wages could be complemented by targeted in-work (or employment-conditional) benefits. This form of transfer aims at overcoming work disincentives and dealing with ''unemployment traps''.[50] Whenever possible, priority should be given to moving people to the active labour force, lest they become permanently unemployable because of age, obsolete qualifications, and a general deterioration of work attitude. If, for various socio-political reasons, a major relaxation of the legal minimum wage were impossible, the government as an alternative approach could subsidise firms even more to hire workers who are unemployable at wages around the legal minimum, though this approach may entail substantial ''dead-weight losses'',[51] given the difficulty of measuring and observing employees' skills and productivity levels directly.

The approach followed by the Netherlands, as noted, relies on a permanent tax relief for firms hiring workers at wages up to 115 per cent of the legal minimum wage – a measure which has already reduced labour costs for low-wage workers by 5 per cent and which will be doubled in 1998 – combined with temporary tax reductions for hiring long-term unemployed. Moreover, to enhance incentives to work and increase the low outflow from the unemployment scheme and other welfare schemes, the authorities might consider the introduction of in-work benefits, such as targeted tax relief for wage-earners at the lower end of the wage scale. To prevent ''poverty traps'',[52] it should be combined with a substantial reduction in marginal tax rates in the framework of a comprehensive tax reform, aimed at broadening the tax base through the reduction of various loopholes. Concerning other labour market arrangements, progress made in reducing the negative impact on employment of the administrative extension of collective agreements should be monitored, and this practice – which in the past has often run counter to attempts to increase wage flexibility – should be reconsidered.

As regards the implementation of labour market policies, recent initiatives may have to be strengthened and complemented by other measures to move more forcefully toward a ''one-counter system'', ensuring an effective surveillance of job search, the enforcement of availability rules, and making the provision of placement services a more competitive process. The possibility of further easing

Box 1. **Implementing the OECD Jobs Strategy – an overview of progress**

Since the previous Survey, a wide range of policy measures in the spirit of the OECD Jobs Strategy has been either implemented or prepared. However, progress has been slow and a few important measures have not been considered.

Job strategy proposal	Action taken	OECD assessment/ recommendations
1. Increase wage and labour cost flexibility		
– Consider revising arrangements concerning the administrative extension of sectoral wage agreements; during a transition period, make greater use of ''opening clauses''	The social partners have agreed to fill the gap between the legal minimum wage and minimum wages set in collective labour agreements; and the introduction of ''opening clauses'' in collective contracts has grown rapidly. although their effective use has been limited	Press for a further reduction of the gap between the legal minimum wage and bottom wage scales as well as for an increase in the use of these bottom scales and ''opening clauses''
– Relax further the legal minimum wage – Preserve equity or social goals through in-work benefits such as means-tested earned income tax credit	The government has recently withdrawn a proposal to Parliament to relax the legal minimum wage requirement for certain target groups. The Social Economic Council (SER) had earlier disapproved such a proposal. However, the impact of the legal minimum wage has been cushioned by reductions in employers' social security contributions for low-wage workers	Continue to explore ways to cushion the impact of the legal minimum wage on employment, either by reducing the minimum wage in combination with in-work benefits for employees, or by further relying on subsidies to employers
2. Reform employment security provision		
– Ease restrictions on the renewal of fixed-term contracts, extend probation periods and simplify dismissal procedures – Deregulate the licensing system of temporary work agencies and private counselling agencies	A new law has eased restrictions on the renewal of fixed-term contracts, and the government has asked Parliament to abolish the licensing system for temporary work agencies	Simplify dismissal procedures for permanent workers and extend probation periods
3. Expand and enhance active labour market policies		
– Integrate the payment of benefits, placement and	The Public Employment Services (PES) and the	Review results of the joint nation-wide project and

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counselling services, and the management of training programmes, by introducing a ''one-counter system''	agencies in charge of the payment of unemployment benefits and social assistance have started a joint nation-wide project to increase administrative efficiency, ensure a better matching process and facilitate the reintegration of social benefit recipients	consider moving further towards a ''one-counter'' system
– Introduce greater competition in the provision of placement services by permitting social security agencies to use either private or public employment agencies	As the Dutch authorities prefer to keep all public placement within the PES, little has been done to increase competition in this area	Reconsider whether all public placement should remain within the PES
– Enhance surveillance of job search and availability rules and penalise the refusal of reasonable job offers, allowing for suitable appeal procedures	Several steps have been taken to tighten surveillance of job search and availability rules and to penalise the refusal of reasonable job offers	Assess whether recent steps have been sufficient to ensure an appropriate degree of surveillance and sanctions
– Revise the tripartite structure of the PES and the role of the Industrial Insurance Boards – controlled by the social partners – with a view to making the implementation of social security laws independent of the social partners	Following an institutional overhaul, the implementation of social security laws, which was the responsibility of the Industrial Insurance Boards (run by the social partners), has been entrusted to a tripartite national public body and the actual implementation is carried out by private organisations	Assess whether the implementation (although not the elaboration) of social security laws has effectively become independent of the social partners
4. Improve labour force skills and competences		
– Improve links between initial and post-initial vocational instructions by integrating colleges (MBO) which provide only full-time courses, with those delivering the college based elements of apprenticeship training – Continue with the creation of the Regional Training Centres (ROCs) to achieve greater coherence of vocational	Almost all former institutions delivering college based courses for apprenticeship and training as well as institutes for adult education were merged into 46 regional training centres (ROCs) to provide basic education, general adult education, apprenticeship and secondary vocational training	Review results of the recent merger of education institutions

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training. Those elements of post-initial vocational training which cut across sectors but are currently dispersed in sectoral institutions, should be provided by ROCs.		
– Carefully evaluate the feasibility of decisions about the relative sizes and respective functions of the university and non- university sectors. Alternatives to be considered include: improving contact between the universities, business and labour market actors; setting student fees in different sectors more in line with actual costs; ensuring that institutions have more flexibility to adapt to changing student preferences	No major decisions have been taken concerning the relative sizes and respective functions of the university and non-university sectors	
5. Reform unemployment and related benefit systems		
– Consider further reductions in the generosity of unemployment insurance schemes and impose stricter sanctions to increase the incentive to search for and accept available jobs; and avoid this scheme becoming an alternative to the disability and early retirement schemes	The government has introduced a law to curb the use of the unemployment scheme for older workers. Sanctions for the refusal of suitable jobs have been tightened	The effectiveness of the new law seems to be limited, and further measures may be necessary. Give to the administrative bodies financial incentives to reduce the amount spent on social benefits by promoting reintegration
– Ensure a further reduction in the number of beneficiaries of the disability scheme, if necessary through tighter eligibility conditions and implementation – Introduce suitable and well-focused programmes complementing financial incentives to facilitate the return to the active labour force of persons excluded from the disability scheme	The re-examination of disabled persons (younger than 50) on the basis of a more stringent definition of ''disability'' has resulted in a significant reduction in the number of disability claimants, although some of them have apparently moved to other welfare schemes The PEMBA law, which has come into force in January 1998, establishes a system of	Over the medium-term, the medical (re-)examination process may have to be tightened. Reintegration efforts, especially for older disabled, need to be stepped up and include, in addition to financial incentives, suitable and well-focused programmes of retraining and counselling. For some older disabled, however, the only realistic possibility of reintegration

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	premium differentiation (experience rating). Employers are given the possibility of partially opting out of the public disability scheme. At the same time, measures to enhance the reintegration of partially disabled persons have been taken	into normal jobs may be via subsidised jobs
6. Enhance product market competition		
– Step up implementation of the recently strengthened competition legislation; secure the introduction of the new Competition Law, including control of mergers and acquisitions; and establish an independent competition agency with adequate staff	The new Competition Law, which has come into force at the beginning of 1998, prohibits abuses of dominant positions as well as restrictive agreements and practices. It also includes a system of preventive merger control. It is implemented and enforced by the Competition Agency	Monitor the implementation of the new Competition Law and its effectiveness. Make sure that the Competition Agency is sufficiently independent
– Further increase exposure to market forces of the public sector, especially in public transport, health care, public utilities and housing	Steps have been taken, or are under consideration, to increase the role of market forces in a number of sectors, including: public transport, health care, electricity, gas, water, mail, housing, and telecommunications	Continue and step up these efforts
– Continue, and widen the scope of, the ongoing process of reassessing legislation in order to limit regulations, reduce the administrative burden and strengthen competition	The process of reassessing existing legislation is continuing	Continue and step up policy
7. Make financial markets more dynamic		
– Increase competitive pressure on pension funds by allowing companies and individuals greater choice in selecting pension schemes	Reform of the collective (or sectoral) pension funds is under discussion	Make sure the reform results in increased competitive ‘‘pressure’’ on pension funds
– Equalise the tax treatment for various forms of savings	The government has prepared a memorandum for	Accelerate the process of revision of the tax system

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	parliament on the future of the Dutch tax system, including the tax treatment of various forms of savings	
– Change corporate governance arrangements so as to enhance shareholders' rights, *i.e.* weaken anti-take-over devices	To make Dutch financial markets more competitive, the Amsterdam Stock Exchange and the Association of Securities Issuing Companies have appointed a committee to recommend self-regulatory action to its members	Assess whether self-regulatory action is sufficient
	The government has sent to Parliament a bill on anti-take-over devices	This bill may not go far enough, but press for its implementation and monitor the results

job protection rules – which have been liberalised somewhat in 1998 – should also be explored, especially concerning dismissal procedures of permanent workers, and probation periods.

In the area of regulatory reform, notwithstanding the progress made, more needs to be done: the special regulatory reform project should be pursued, and the process of implementing proposals resulting from the related Commission should be stepped up. More specifically, several sectors could benefit from increased exposure to market forces. Despite a recent deregulation of driving hours, current rules, especially concerning night transport, might still be over-restrictive. Significant gains might also be achieved in the waste disposal sector by contracting out public waste collection and reassessing the rules governing incineration and land filling (Gradus and Dijkgraaf, 1997 and Dijkgraaf and Vollebergh, 1997). Moreover, it might be appropriate to enquire whether land designation policies are indeed over-restrictive and a barrier to growth, as sometimes claimed (McKinsey Global Institute, 1997). Overall, significant scope would seem to exist for strengthening competition in product markets, and the potential benefits of further regulatory reform could be high (Haffner and van Bergeijk, 1997).

In the social security sector, as noted in Chapter IV, the major remaining problem which needs to be addressed is that of older persons in the disability and unemployment schemes – which can be referred to as the ‘‘stock aspect’’ of the problem. Because of many age-related arrangements, the Dutch social security system is especially attractive for older persons, which may largely explain the very low outflow from social security schemes for this group and its participation rate being well below that of most other Member countries. The reintegration of these persons into the active labour force is a major challenge with no obvious solution. The ‘‘flow aspect’’ has improved in the recent period, but the inflow into the disability and unemployment schemes is projected to increase again in coming years as a result of the ageing of the workforce.

IV. Reform of the social security system

The Netherlands has been engaged in a process of reforming its social security system and, more generally, its public sector since the early 1980s, when overall economic policy changed course. This process has been closely linked with fiscal consolidation and efforts to improve outcomes in the labour market – two key aspects of the successful ''Dutch model''. After briefly reviewing the reform process, this chapter considers specific areas of the social security system, *i.e.* the disability scheme, the sick-leave scheme, the unemployment compensation schemes, social assistance, and special subsidised jobs. The health insurance scheme and the public old-age pension schemes are not covered here since health care and old-age pensions are major self-contained topics which – given their importance – are normally treated as separate structural chapters in OECD Economic Surveys.

Overview

The on-going process of reform of the Dutch social security system has been motivated by the conviction that strengthening the operation of market forces by making social security activities contestable, *i.e.* introducing private initiative and competition, leads to important efficiency and welfare gains. At the same time, the principle of solidarity and equity objectives characterising Dutch economic policy seems to have remained intact over the past 15 years: the view that anybody incapable of earning an income through labour market participation should be assisted through various social security programmes has remained unchallenged. What is new, is the notion that solidarity is to be ensured first and foremost by providing a reasonable chance for everybody to earn an income by working, and relying on the welfare system only if this fails. Hence, the primary goal of reform has shifted from merely cutting costs to reducing the high level of

inactivity – *i.e.* the number of persons in welfare programmes – and providing employment opportunities. In this context, over the past few years, policy initiatives, in addition to reducing non-wage labour costs for low-wage workers, have included the creation of a large number of subsidised jobs at the lower end of the labour market – the Netherlands being one of the few Member countries moving forcefully in this direction. A lack of jobs for low-skilled workers (at prevailing minimum wages) has been one of the factors hindering the reintegration of persons receiving welfare benefits and may partly explain why, until recently, job-search enforcement has been rather lax. Reintegration efforts have also suffered from an insufficient co-operation between the Public Employment Service, the social security administration and the pertinent services of municipalities.

In the 1980s, reform proposals were driven mainly by budgetary considerations and the need for fiscal consolidation. The generous social security system built up during the period of rapid economic growth in the 1950s and 1960s could not cope with the growing demand for assistance which followed the economic slow-down and the sharp deterioration of the labour market in the second half of the 1970s and the early 1980s. The ''dependency ratio'' – *i.e.* the ratio of full-time equivalent social security beneficiaries to full-time equivalent employed persons – soared, and total social expenditure[53] exceeded 30 per cent of GDP, the second highest ratio in the OECD area after Sweden. The level of benefits was cut, both directly, by reducing replacement rates, and indirectly, by freezing for nearly a decade nominal benefits and the legal minimum wage on which minimum benefits have been based. Moreover, eligibility conditions were tightened for most programmes. These measures effectively reduced the degree of insurance provided, shifting part of the risk to employees and redressing somewhat the incentive balance between working and not working. Hence, in the 1980s, the aim of reform was primarily to influence the behaviour of employees. But the overall number of beneficiaries kept increasing.

In the 1990s, the main concern of reforms has been to redesign the social security system and the way it works, thereby influencing also the behaviour of employers and the administrative bodies. Employers, who can influence inflows into social security schemes, should have an incentive to minimise these inflows and facilitate outflows, for instance by carrying some of the financial burden in the form of higher contributions when employees join a welfare scheme or by

receiving a financial bonus when hiring disabled persons – an idea which has led to the recent revision of the sick-leave and the disability schemes. As for the administrative bodies responsible for the distribution of benefits, they should have an incentive to improve their performance, first, by limiting the inflow into the schemes to legitimate cases while promoting the outflow and reintegration of beneficiaries; and second, by reducing administrative costs.[54]

These considerations have provided the theoretical underpinning of and motivation for a new Social Insurance Organisation Act (OSV) which came into force in March 1997 and has entailed an overhaul of the institutions administering and supervising employees' social security schemes – *i.e.* unemployment, sickness and disability schemes. The implementation of social security laws in this area, which was the responsibility of the bipartite Industrial Insurance Boards (run by the social partners), is now entrusted to a tripartite national public body (LISV).[55] Its board consists of members appointed by the social partners and by the Ministry of Social Affairs and Employment. The actual implementation of the relevant social security laws is carried out by private organisations (UVIs)[56] which are contracted and supervised by the board of the LISV. While in the short term this re-organisation may lead to a slight increase in administrative costs, the authorities expect significant savings after a few years, especially since, starting in 2000, new entrants should be allowed to compete with existing UVIs. However, the main goal of the new Social Insurance Organisation Act is not only cost reductions, but also a better balance between administrative costs and the quality of implementation. This institutional overhaul – which is in line with the recommendations of the Buurmeijer Commission[57] – makes the actual implementation (although not the elaboration) of social security laws effectively independent of the social partners. This should keep vested interests at arm's length and make it harder to undermine the intentions of legislators at the implementation stage, in contrast to what seems to have happened in the past – when the social partners were in control of the Industrial Insurance Boards.

Finally, the government is investigating the possibility of changing the way financial resources are provided to local governments to finance social assistance expenditure. It has been proposed to move from the current system, which relies almost entirely on a declaration basis, to an incentive-based system using a number of additional factors which would financially reward local governments

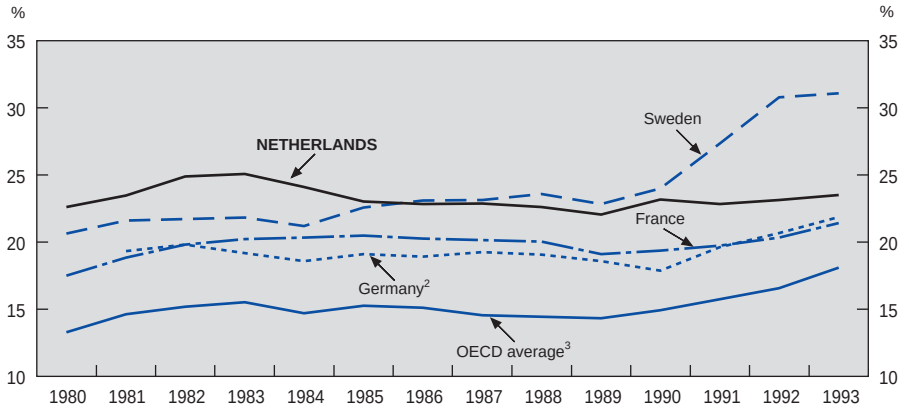
that have been successful in increasing employment and reducing welfare payments.

To sum up, since the early 1980s, the focus of the social security system has shifted from providing protection through passive income support to strengthening incentives for all parties involved to enhance labour market participation. Current views hold that every person should first and foremost seek to secure an income by participating in the labour market. Only for those who are unable to participate should welfare benefits be provided, at levels that are sufficient in terms of needs but in ways which preserve incentives to work. As for policy instruments, this evolution has led to more emphasis first, on measures which encourage beneficiaries to actively seek a job; and second, on measures which reduce labour costs in general and especially those of low-skill unemployed workers (see Chapter III). The authorities feel that these reforms, by injecting some market discipline and increasing the transparency of related expenditures, have created a more efficient social security system without jeopardising equity objectives: they view the present balance between equity and efficiency as broadly appropriate. Other observers, however, have noted that the generosity of the system has indeed been reduced, and that there has been a shift along the trade-off between equity and efficiency (Don, H. and P. Besseling, 1996).[58] Nonetheless, between the two options of a low generosity welfare system forcing people to look for jobs, and a generous system combined with tight monitoring, control and sanctions in the case of non-co-operation, the Netherlands has chosen to reduce somewhat the generosity of its system in the 1980s and supplement these measures with a tightening of social schemes and increased incentives in the 1990s.

Due to lags in the publication of aggregate data on social security spending, the overall impact of the corrective measures taken over the past few years can still not be documented comprehensively by internationally comparable statistics. At a little over 23 per cent of GDP in 1993, the non-health social expenditure ratio in the Netherlands was broadly at the same level as in the early 1980s and higher than the (unweighted) OECD average of 17 per cent (Figure 12). On a net basis – *i.e.* allowing for the effect of direct taxes on benefits, social security contributions, tax breaks for social purposes, indirect taxes and mandatory private benefits[59] – the variation between countries in social expenditure seems to be significantly smaller, and at a little over 15 per cent of GDP in 1993, the

Figure 12. **SOCIAL SECURITY EXPENDITURE (EXCLUDING HEALTH CARE)**[1]

As a per cent of GDP



1. Gross public expenditure.
2. Western Germany up to end-1990, and the whole of Germany afterwards.
3. Excluding Czech Republic, Hungary, Iceland and Poland. Unweighted average.

Source: OECD (1996*e*), Table 1.2.

Netherlands had the lowest non-health net social expenditure ratio of the five European countries for which such a ratio has been estimated (Table 7). The lower ranking of the Netherlands on a net basis reflects, among other factors, the relatively high taxation of Dutch social benefits.

Table 7. **Gross and net public social expenditure in selected OECD countries**

As a percentage of GDP, 1993

	Gross public social expenditure		Net public social expenditure[1]	
	Total	Excluding health care	Total	Excluding health care
Sweden	38.25	31.87	29.59	23.21
Netherlands	30.64	23.60	22.39	15.28
Denmark	30.51	24.89	23.04	17.42
Germany	28.66	21.87	24.88	18.05
United Kingdom	23.41	17.66	21.47	15.71

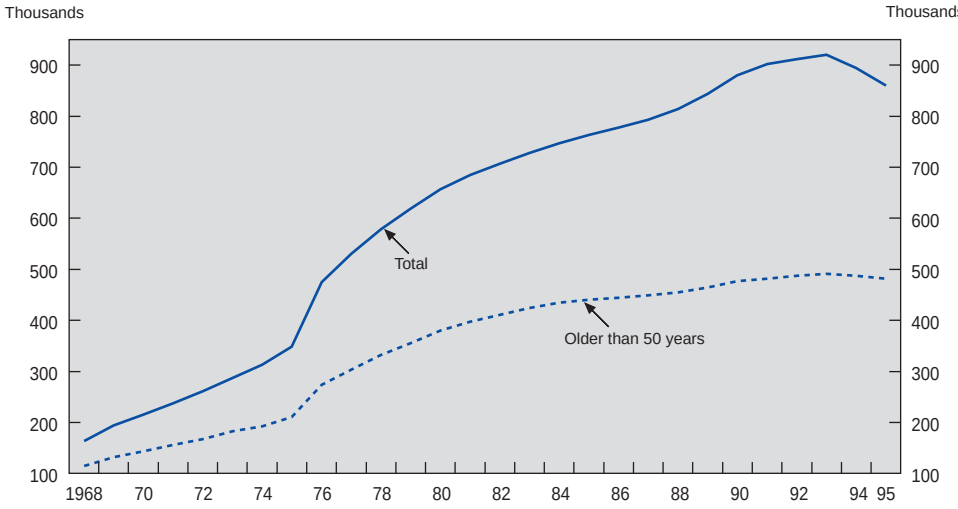
1. Allowing for the estimated impact of direct taxes, social security contributions, tax breaks for social purposes, indirect taxes and mandatory private social benefits.

Source: OECD (1996*e*), Tables 1 and 2; Adema *et al.* (1996).

The disability scheme

As noted in previous Surveys,[60] the abnormally high incidence of disability stands out as the weak spot of the Dutch welfare system, entailing detrimental effects on the country's labour market performance. The number of declared disabled persons approached 1 million in 1993 – nearly one adult person in seven – and public expenditure on disability benefits represented nearly 5 per cent of GDP, by far the highest ratio in the OECD area, and more than double the percentage in neighbouring countries such as Belgium, Germany and France (Figures 13 and 14). Clearly, the disability scheme has played a special role in the Netherlands as a cushion for unemployment.[61] In other European countries, this role has often been played by different social security schemes – such as early retirement. Nonetheless, careful international comparisons of single schemes may be useful for analytical and policy purposes – *i.e.* for identifying areas where there may be a need for correction. For instance, in the case of disability, the position of the Netherlands as an international outlier seems unjustified by conventional demographic and health factors. This situation may not

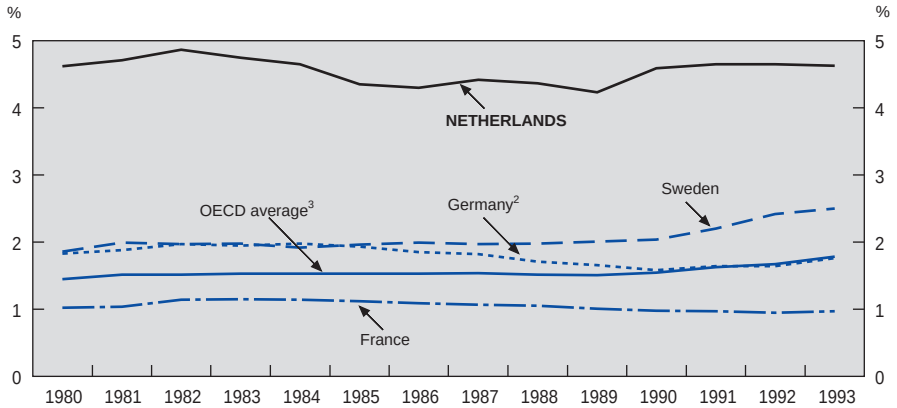
Figure 13. **DISABILITY INSURANCE: NUMBER OF CLAIMANTS**



Source: Ministry of Social Affairs and Employment.

Figure 14. **EXPENDITURE ON DISABILITY BENEFITS**[1]

As a per cent of GDP



1. Gross public expenditure.
2. Western Germany up to end-1990, and the whole of Germany afterwards.
3. Excluding Czech Republic, Hungary, Iceland, Mexico and Poland. Unweighted average.

Source: OECD (1996*e*), Table 2.2.

change greatly in the foreseeable future. Following several rounds of corrective measures, the number of disabled persons declined significantly in 1994-95, but it started rising again in the second half of 1996 and, without drastic new measures, the authorities project this trend to continue in the next two decades, largely as a result of demographic factors.

Recent corrective measures

Responding to a growing and widely-shared concern that the disability situation was becoming unsustainable, the government, in the early 1990s, presented two major legislative proposals which were adopted, albeit in a somewhat modified form. The TAV Act (Reduction of the Number of Disability Benefit Claimants) of March 1992 introduced a ‘‘bonus-malus’’ system in the disability scheme, as a financial incentive for employers to discourage the use of this scheme.[62] Moreover, to encourage reintegration, it introduced financial incentives for hiring disabled persons in the form of subsidies and the exemption for employers, for a three-year period, to pay sickness benefits.[63] The TBA Act

(Restriction of Claims on the Disability Benefit Regulations) of August 1993 had two major features. First, it introduced a new reduction in the generosity of the disability scheme, with benefits at the level of 70 per cent of last-earned annual salary limited to a fixed number of years, and then declining to only 70 per cent of the legal minimum wage plus an additional age-related allowance. Originally, this measure was intended to affect all claimants but, in view of strong opposition, it was limited to new claimants.

The second major feature of the TBA Act was the introduction of more stringent conditions for access to and permanence in the disability scheme, with a redefinition of ''disability'' combined with the obligation for beneficiaries already in the scheme and under the age of fifty to be re-examined on the basis of the new definition. In the Netherlands, disability has a wage-related definition, rather than a purely medical definition. The decision of whether, and the extent to which, someone should be declared disabled is based on what the person in question, given his or her medical limitations, is still capable of earning in relation to what he or she was formerly earning. Until August 1993, the degree of disability was determined on the basis of the concept of ''suitable work'', *i.e.* what a person was still capable of earning in his or her previous function or in an equivalent job. Since August 1993, the assessment has been based on the concept of ''acceptable work'' – *i.e.* the degree of disability now depends on the maximum income someone is still capable of earning, regardless of his or her former function or education.

The results of these various measures have been quite different. The bonus-malus system met with fierce opposition from employers who considered it unfair that they should be penalised for events completely beyond their control and responsibility, as in the case of employees being granted disability benefits for ''social risks''.[64] While the bonus system was retained, the malus system was abolished in July 1995 and, at the same time, a new law (AMBER) introduced a number of policy instruments to promote the reintegration of disabled persons. The results of the much fought over compromise to reduce the level of benefits only for new claimants are more difficult to assess, especially since the social partners have largely ''repaired'' – *i.e.* offset – this measure via collective agreements.[65] On the one hand, the impact may be considered non-negligible, since some of the cost of incremental disability is now part of the bargaining process and much more perceptible at the company level, which should result in

pressure to reduce the number of disabled persons. On the other hand, to the extent that these agreements are subject to administrative extension, they may be treated by employers and employees concerned as part of an exogenous wage/benefit package, not likely to affect the incentive to reduce the number of disabled persons. Finally, the results of the redefinition of ''disability'' and the re-examination obligation have been quite impressive, exceeding most expectations: more than 50 000 persons were re-examined in 1994 and nearly 40 000 in 1995, with a reduction or withdrawal of benefits in 52 and 35 per cent of cases, respectively, and an increase in benefits in only 2 and 4 per cent of cases, respectively (Table 8). The decline in the proportion of benefit reduction and withdrawals in 1995 compared with 1994 may reflect the fact that the re-examination process started with younger claimants and progressively moved to older ones.[66] Also, after the impressive early results, the standards of the re-examination may effectively have been somewhat relaxed.

The redefinition of ''disability'' is widely regarded as the main reason for the significant decline in the number of benefit claimants, from a near all-time high of 920 000 at the end of 1993 to around 860 000 at the end of 1995 and 850 000 in August 1996 – a drop of nearly 8 per cent in little over two and a half years, nearly entirely accounted for by a reduction in the number of claimants less than 50 years old (Figure 13). This drop – the first in over two decades – reflected both a major reduction in the number of persons entering the scheme (inflow) and a sharp increase in the number of persons leaving it (outflow). In 1993, the inflow was greater than the outflow, as had been consistently the case

Table 8. **Results of disability re-examination**

	1994	1995
Number of persons re-examined	53 000	38 500
Withdrawal of benefit	37%	18%
Reduction of benefit	15%	17%
Maintenance of benefit	46%	61%
Increase of benefit	2%	4%
Memorandum item:		
Partial or total withdrawal of benefit	52%	35%

Source: Ministry of Social Affairs and Employment.

for many years. In 1994, for the first time since 1963, there was a reversal of this situation which continued in 1995 and the first half of 1996. The new legislation is credited with having exerted favourable direct as well as indirect effects: in the case of inflows, because of the stricter eligibility criteria, fewer benefits were granted (direct effect) and fewer people were applying for a benefit (indirect effect). In the case of outflows, re-examination resulted in many exclusions (direct effect) but also in an increase in the number of spontaneous reports of recovery (indirect effect).

However, the number of withdrawals of disability benefits through the re-examination process did not represent an equal decrease in the overall number of persons receiving welfare assistance, since a significant number of persons who lost their disability benefit apparently moved to different welfare schemes. For instance, a survey carried out by the Ministry of Social Affairs and Employment in 1995 showed that of the 27 500 persons who had their disability benefit partially or totally withdrawn in 1994, over one-third (10 000 persons) were receiving another social security benefit; another third were not working more but were not receiving other welfare assistance; less than one-fifth (6 000 persons) were working more. The same survey showed that 54 per cent of those who had their benefit partially or totally withdrawn in 1994 were not working at all at the time of the re-examination. A year later, some 30 per cent of these (4 200 persons) were working again. While a proper assessment of the reintegration aspect of the re-examination process would require data in full-time equivalents, these figures suggest that, at least in the short run, the TBA act was less successful in returning ex-claimants to employment than in reducing the number of persons receiving disability benefits.

When the TBA act was introduced, it was assumed that, in due course, 50 per cent of those who had lost (partially or totally) their benefit would find a job. In fact, most of the persons who have returned to the labour market because of the re-examination process seem to have become unemployed. While this is a disappointing outcome, even a mere shift of ‘‘hidden unemployed’’ from the disability scheme to the unemployment scheme has positive aspects: it increases the transparency of the welfare system and, by swelling the number of unemployed, it may curb wage claims and reduce the risk of overheating for a given level of output – a positive aspect when, as in the recent period, output is close to potential. Moreover, such a shift may result in a reduction in overall social

security expenditure, since in most cases benefits are lower in the unemployment scheme than in the disability scheme.

The task ahead

Although the various measures introduced in the early 1990s have resulted in some decline in the number of ''disabled persons'', to a large extent this reflects a one-off factor – *i.e.* the re-examination process – and in the second half of 1996, partly for demographic reasons, the old pattern reasserted itself, with the inflow into the disability scheme exceeding the outflow, and the overall number of claimants rising again. In proportion to the working-age population, the number of claimants has stabilised, and this situation is expected to continue in the next few years. However, disability remains a major problem, both in terms of the number of persons disabled in relation to the working-age population or to the overall population, and in terms of disability expenditure as a share of GDP. On both accounts the Netherlands remains an outlier in international comparisons – a situation which seems unjustified by conventional demographic and health indicators.

To curb the number of disabled further, the PEMBA law on premium differentiation and competition in the disability insurance scheme was introduced in January 1998. Rather than again reducing the level and duration of benefits or tightening eligibility conditions, the new law aims at introducing market forces into the operation of the disability scheme and at changing its financing structure. To create incentives for employers to pursue a more active policy towards prevention and reintegration, PEMBA relies on a system of premium differentiation between firms according to the relative incidence of disability (experience rating). Moreover, employers are given the possibility of partially opting out of the public disability scheme, taking out a private insurance to cover the pertinent risks if they wish to do so.[67] And, along with PEMBA, the government has introduced new measures (Reintegration Act for Disabled Persons) to enhance the reintegration of partially disabled persons.

Premium differentiation – based either on actuarial risk or past experience – has both advantages and disadvantages. By reducing cross-subsidisation, premium rating reduces moral hazard and provides incentives to limit benefit claims. The disadvantage is that for some groups the premium may become unaffordable, and employers may become more selective in their hiring behaviour, increasing

the risk of labour market segmentation. Moreover, in the case of premium differentiation based on past experience (''experience rating'') – used by PEMBA – the insured party is always penalised for submitting a claim, even if it had no means whatsoever of prevention. For instance, with PEMBA, employers will be penalised even in the case of employees' disability caused by ''social risk'' – as was the case in the abolished malus system.

To cushion the impact of premium differentiation on small firms – which would be disproportionately affected by having one employee being declared disabled[68] – PEMBA has set a lower maximum contribution rate for smaller enterprises (up to 15 employees) than for larger firms: three times the average rate for the former and four times for the latter. If premium differentiation were nonetheless to prove a major burden for small and medium-sized firms which happen to be affected, they might be able to pool risks by collectively re-insuring (*e.g.* through the Small and Medium Enterprises umbrella organisation) in the private sector. Social and private insurance agencies will compete for the insurance of the disability risk since, as noted, employers can choose to pay the first five years of disability benefits themselves and cover the risk through a private insurance.

The scope for competition may be limited, however. First, even if firms choose to rely on a private insurer, they still have to contribute to the administrative costs of the public scheme through its basic rate (since the calculation of disability benefits continues to be performed by the public scheme, regardless of whether the benefits are insured in the private or public sector). Second, while the public scheme remains on a pay-as-you-go basis, private schemes will be funded, implying that in the start-up phase, private rates will tend to be higher than public rates. Nonetheless, the authorities feel that in the long run private rates can be expected to be lower than public rates, and that in the short run the difference should not be large. They see little danger of private insurers ''creaming off the market'' since in both the public and the private system rates will largely be based on the disability record of enterprises and there will be little difference between the contribution rate an enterprise will have to pay in the public sector and in the private sector.[69] Hence, in their opinion, factors other than contribution rates are likely to determine the choice between private or public insurance. But whether contribution rates will be lower in the private or in the public system would seem to depend crucially on the disability risk of the firm considered.

Firms with a large risk are likely to be better off in the public system as it has a maximum premium; smaller firms with a low risk are likely to be better off in the private sector since in the public sector there is a minimum premium for small firms. As for private insurers, they apparently do not expect to be able to compete with the public scheme under present conditions. However, they are developing insurance that softens the premium shocks caused by an employee becoming disabled, and see a potential in PEMBA as part of a global insurance package – also including sick-leave benefits, health insurance and pensions – for an enterprise or branch (Geleijnse *et al.*, 1997). Finally, to prevent experience rating from leading to discrimination based on health status, the government has introduced legislation limiting medical examination related to hiring.

It remains to be seen what the impact of PEMBA will be on the number of disabled, and whether it will impose an unreasonable burden on small enterprises. Including an estimate of the ''PEMBA effect'', the authorities project the number of disabled to continue to rise in the long term – again exceeding 800 000 persons (full-time equivalents) some time after 2010. This projection reflects the increasing size of the working population, and – more importantly – the ageing of the labour force. As a percentage of the working population, the number of disabled is expected to continue to decline for a few years – to 11 per cent in 2000 – and then stabilise at around this level, which would still be very high by international standards.

If developments in this area should not meet expectations, further corrective measures should be considered in order to reduce the number of disabled persons, over the medium term, to a level more in line with the situation in the Netherlands a few decades ago or in most other European countries today. To preserve an appropriate level and duration of benefits for the relatively few persons with a genuine need, the medical (re-)examination process may have to be tightened. Real progress will require not only a sizeable reduction in the number of disabled, but also the reintegration of as many of them as possible into the active labour force – lest new initiatives merely result in a shift of beneficiaries from one social security scheme to another. Hence, measures on reintegration should include, in addition to financial incentives as has been mostly the case until now, suitable and well-focused programmes of retraining and general counselling. The re-examination process has excluded persons aged above 50. This group, which represents nearly 500 000 persons or more than the total number of

registered unemployed, presents a real challenge (the ''stock problem''). With an official retirement age of 65, many of them have many years of potentially productive work ahead of them. For the members of this group who are active in the ''black economy'', the prospect of finding a regular job should be reasonably good, provided the right combination of incentives and controls are put in place. On the other hand, for those who have effectively been absent from the labour market for many years, it is doubtful whether they can be expected to find a normal job, even after extensive retraining. For some of them, the only realistic possibility of returning to the active labour market and finding normal jobs may be via subsidised employment.

The sick-leave scheme

The sickness benefit law has undergone a major reform over the past three years, strengthening incentives for employers to reduce sickness-related absenteeism and tightening occupational health and safety rules. However, this may also have led to some undesirable side-effects, mainly for employees. This reform was prompted by very high sickness-related absenteeism compared with neighbouring countries (Table 9), resulting in expenditure on this account of some 2¾ per cent of GDP, by far the highest ratio in the OECD area (Figure 15).[70] The original sick-leave scheme, administered by the Industrial Insurance Boards, proved to be rather inefficient, as uniform insurance arrangements in each sector did not provide sufficient incentives for employers to discourage abuse of the system. The incidence of sick leave was positively related to company size but signifi-

Table 9. **Sick leave and disability**[1]

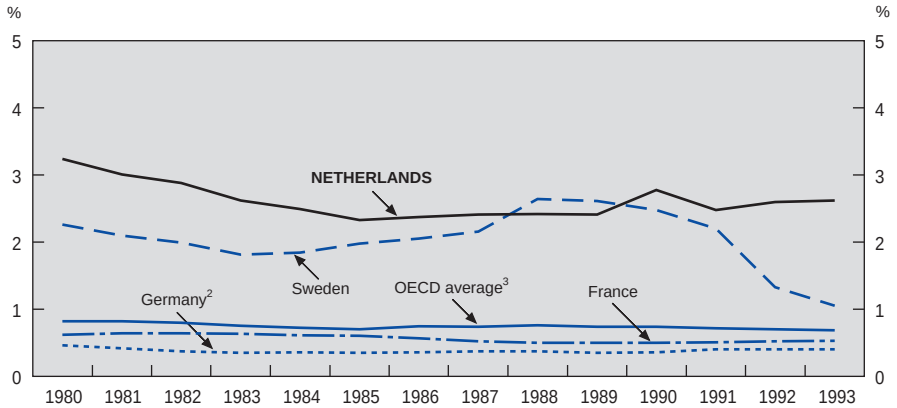
Percentage of working days lost, 1990

	Sick leave	Disability	Total
Netherlands	**7.1**	**8.9**	**16.0**
Belgium	3.8	4.2	8.0
Denmark	4.4	3.8	8.2
Germany	5.0	3.3	8.3
Sweden	6.1	3.5	9.6
United Kingdom	2.6	3.4	5.9

1. Standardised by age and gender.
Source: Einerhand *et al.* (1995).

Figure 15. **EXPENDITURE ON SICKNESS BENEFITS**[1]

As a per cent of GDP



1. Gross public expenditure.
2. Western Germany up to end-1990, and the whole of Germany afterwards.
3. Excluding Czech Republic, Hungary, Iceland, Mexico and Poland. Unweighted average.

Source: OECD (1996*e*), Table 2.4.

cantly lower in larger enterprises that had opted out of the public scheme and ran their own. Initial corrective efforts aimed at influencing the behaviour of employees by reducing the legal replacement rate to 70 per cent of the salary. However, most collective labour agreements provided a supplement, raising replacement rates to 100 per cent. Given the administrative extension of these contracts, the reforms were thus rendered ineffective.

To improve the incentive structure, the sickness-leave scheme has been privatised in two stages. Since 1994, enterprises with fewer than 15 employees have been required to continue the payment of wages during the first two weeks of sickness, and larger companies to do so during the first six weeks. In addition, enterprises can no longer insure payments above the statutory 70 per cent replacement level with the Industrial Insurance Boards. It also became easier for enterprises to completely opt out of the public sick-leave scheme. The objective of the first stage was to achieve a reduction in the sickness/employment ratio by 1 percentage point after three years. The result was indeed positive, with a sizeable effect on the incidence of sick leave, as the majority of sickness cases

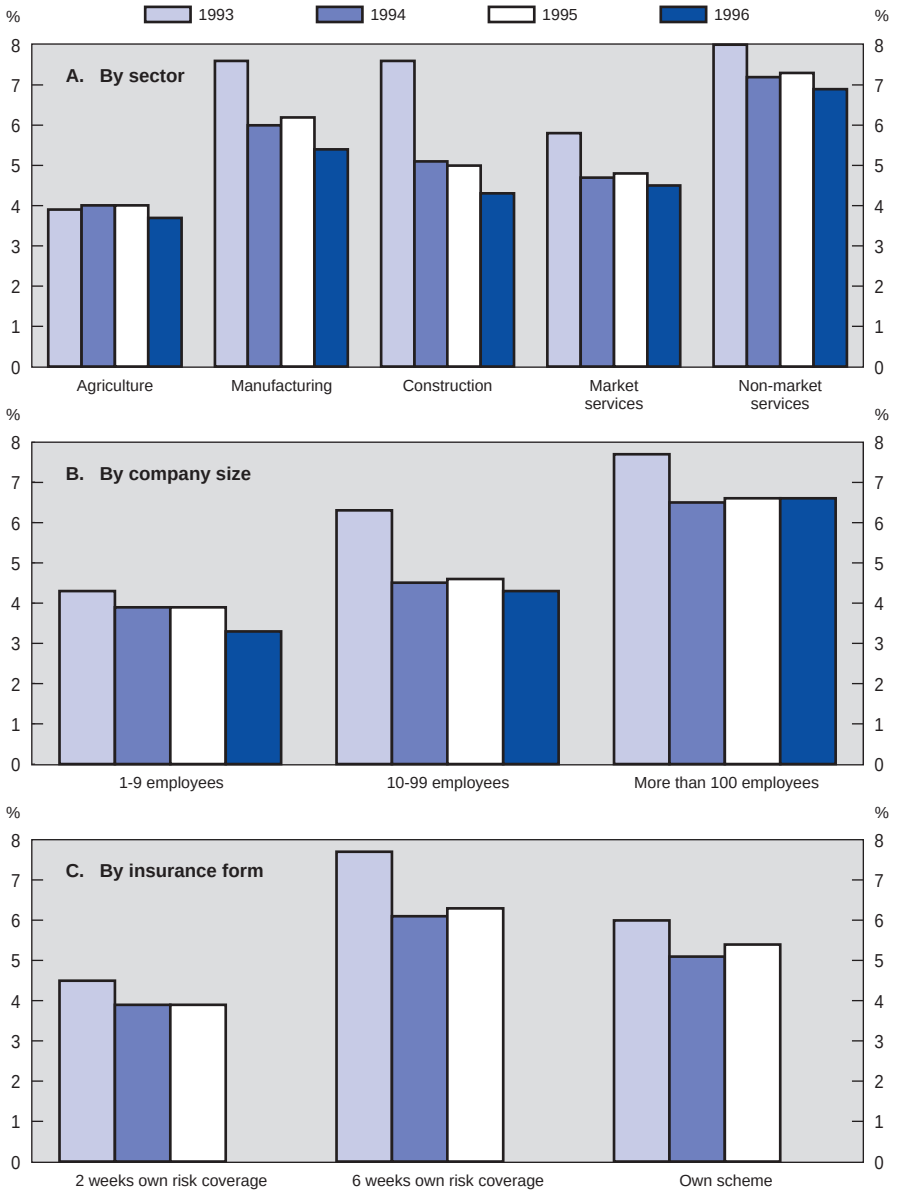
fall into this short duration category.[71] Following the introduction of the reform, sickness-related absenteeism dropped sharply, although this was partly due to under-reporting: many companies stopped reporting sickness leave to their Industrial Insurance Board if they expected the sick employees to be back at work within a couple of days. Moreover, a severe flu epidemic, which had affected outcomes in 1993, also contributed to the sharp decline in sick leave recorded in 1994.

According to survey data, sickness-related absenteeism declined to 5.5 per cent of working days in 1994, more than 1 percentage point less than a year earlier (Central Bureau of Statistics, 1995).[72] Thus the objective of the new law was already achieved in the first year. The decline in absenteeism was sharpest in enterprises with 10-99 employees but limited in small enterprises where sick leave was already low (Figure 16). The measures were most effective in the construction sector, where sickness-related absenteeism fell by almost one-third, and in the manufacturing sector. Curiously, sick leave also fell substantially in companies that had already opted out of the public scheme before the reform. This can probably be attributed to a change in mentality and the use of the improved infrastructure of Occupational Health and Safety services (OHS) (see below).

In the second stage, sick leave insurance was almost fully privatised as – with small exceptions – the public sickness scheme was abolished.[73] Since March 1996 employers have to continue to pay wages for their sick employees for a full year (after which sick employees move to the disability scheme). The employer can buy an insurance against this risk from private insurance companies, with premiums based on past sickness incidence in the individual companies (experience rating). Around 80 per cent of enterprises have taken out private insurance so far. The authorities estimate that, in due course, this new measure may reduce long-term sick leave (which had not been affected by first-stage measures) by around 10 per cent. The expected aggregate effect is more limited than the first stage impact since – as noted –- most sickness cases are within the first six week duration category, and many larger companies had already opted out of the collective scheme. In addition, long-term sickness-related absenteeism is more likely to be reduced by improvements in working conditions and workplace safety, which take some time to implement, than by tighter supervision of sick employees. Sickness-related absenteeism levelled off in 1995 and declined to

Figure 16. **SICK LEAVE**

Per cent of working days



Source: Central Bureau of Statistics, Ziekteverzuimstatistiek.

5.1 per cent of working days in 1996, largely on account of reduced sick leave in small enterprises.

The partial privatisation of the sick-leave scheme in 1994 was accompanied by the introduction of a new law (OHS law) which makes it mandatory for employers to use OHS services to improve working conditions (including safety) in their enterprises:[74] since 1996, enterprises affiliated to nine Industrial Insurance Boards with the highest sickness incidence have had to contract an OHS service; for other enterprises, this has become mandatory in 1998. One of the main tasks of the OHS service is to assist employers in the implementation of the new sickness benefit legislation. This has resulted in improvements in the sickness scheme administration and the supervision of sick employees. Therefore, private insurers often required the use of an OHS service for the administration of the sickness scheme even before it had become mandatory. However, the administrative workload resulting from compliance with OHS regulations is relatively high compared with other OECD countries.[75] It is a statutory requirement for employers to use an OHS service for a written risk analysis and evaluation, which forms the basis for an OHS policy. In 1996, about 70 per cent of enterprises with more than 100 employees had fulfilled this obligation, but small enterprises were clearly lagging behind.

The reform of the sick-leave scheme has entailed a number of other effects. Employers have taken measures to reduce the incidence of sickness-related absenteeism. A survey covering small enterprises has shown that employers have improved the supervision of sick employees by checking with them at an early stage (Table 10). Some employers have strengthened employees' incentives to return to work by reducing sickness pay, if allowed under collective labour agreements. Moreover, holiday entitlements or bonuses have sometimes been reduced for sick employees. A priori, one could also have expected employers to have become more cautious in recruiting – increasing the use of age and medical history (including pre-employment medical examinations) as selection criteria – but a recent study shows that this has (so far) not been the case.[76] To limit the use of pre-employment medical examinations, a code of conduct was drawn up soon after the privatisation of the sick-leave scheme, which allowed them only for certain specific jobs. Since 1998, pre-employment medicals are regulated by law (Van Boxtel Act) and only allowed when special medical demands exist for a specific job. Furthermore, the law forbids questions concerning the applicant's

Table 10. **Measures taken to reduce sickness leave**

Per cent of interviewed enterprises

	Before 1 March 1996	After 1 March 1996
Sickness leave policies		
Speedy control	17	27
Less than 100 per cent wage replacement	16	21
Incentives in bonus or holidays	9	13
Dismissal for high sickness leave	8	12
Recruitment policies		
Selection on age	19	27
Selection on medical history	18	27
Pre-employment medicals	13	19
Fixed-term contracts	14	32
Use of temporary work agencies	8	13

Source: MKB Nederlands (1996).

health status and sick-leave record.[77] As another effect of the reform, many employers have lengthened probation periods or made increasing use of temporary and fixed-term contracts to monitor the employee's health status before offering a permanent position.[78]

In conclusion, the privatisation of the sick-leave benefit scheme has resulted in a significant reduction in sickness-related absenteeism. While a further decline may be expected as a result of recent measures, additional initiatives appear feasible. For instance, the incentive of employees could be strengthened by shifting to them part of the income loss for the first couple of days of any sickness leave – a provision which is already possible under current legislation. The legal replacement rate has been reduced from 75 to 70 per cent of last earned wages, but it is generally raised to 100 per cent in most collective wage agreements, which are then legally extended to all firms in the sector. Even if they are not prepared to generally discontinue the practice of administrative extension of collective agreements, the authorities could consider limiting the legal (administrative) extension of these supplementary payments, allowing firms that are not part of the collective agreement to negotiate their own conditions.

A drawback of the reform seems to have been the increased risk selection in recruitment, which has weakened the position of certain groups such as older workers. This may have created an additional obstacle to the reintegration of

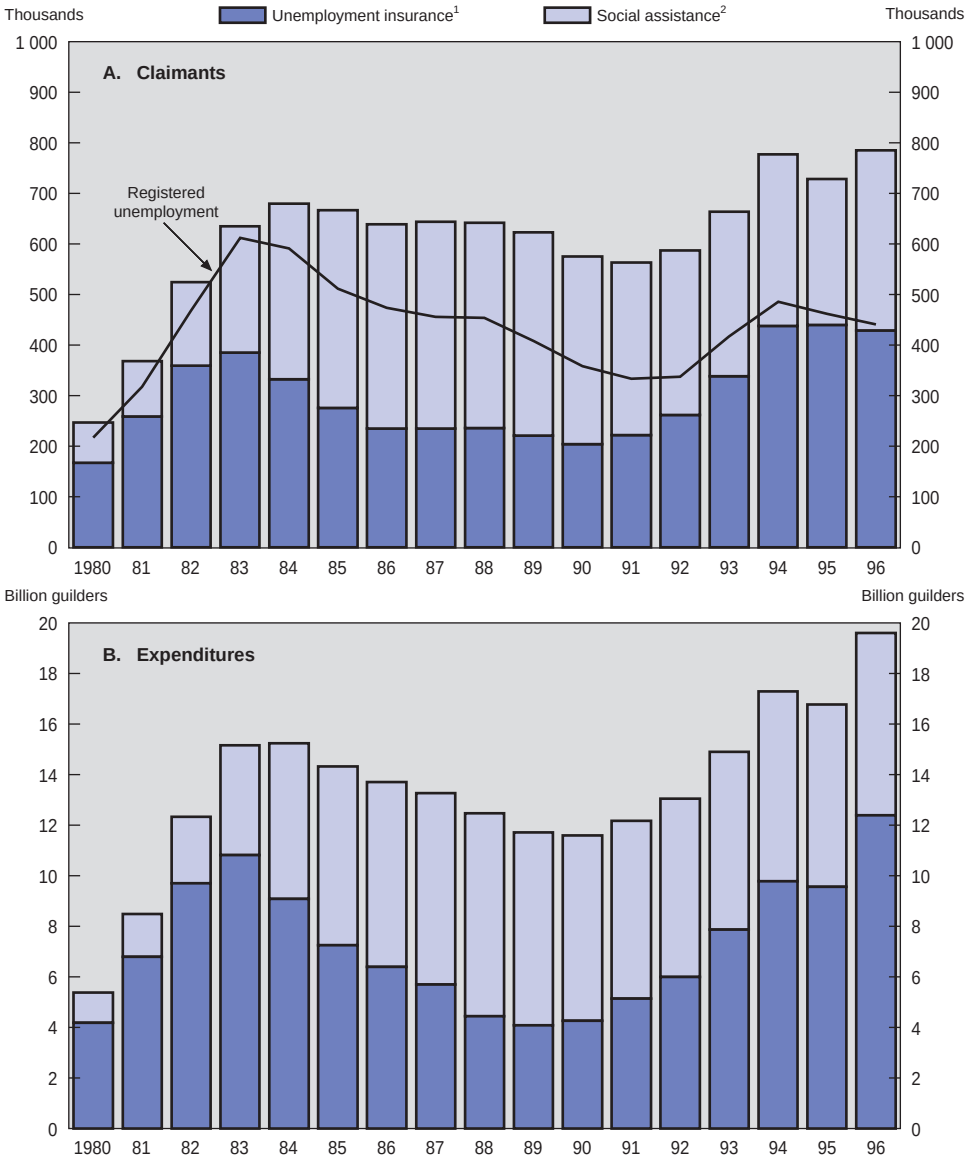
formerly disabled persons. There are no obvious solutions to this problem. The authorities, as noted, have tried to limit selection on medical grounds by banning pre-employment medical examination for most jobs; and they are actively promoting the employment of formerly disabled people by instruments such as the AMBER law and the recent Reintegration Act for Disabled persons. To enhance job prospects of older workers, they might consider the use of fiscal incentives, *e.g.* subsidies for employers hiring persons in this group.

The unemployment compensation schemes

The main income support schemes for the unemployed are the unemployment insurance scheme (WW) which provides benefits for unemployed persons in the private sector for a limited period,[79] and the social assistance scheme (ABW) – discussed in the next section – which provides benefits to unemployed persons who are no longer entitled to ''normal'' unemployment benefits. Despite the strength of the economy in recent years and the trend decline in the number of registered unemployed (or job seekers)[80] since 1983, the number of persons in unemployment compensation schemes has increased to nearly 800 000 in 1996, significantly above the level of the mid-1980s (Figure 17). The growing gap between the number of registered unemployed and the number of persons receiving unemployment benefits largely reflects, among other factors, the rising number of benefit claimants over 57½ years of age who are not required to look for work and hence are not included in registered unemployment. In the first half of 1997, however, the number of unemployment benefit recipients (WW scheme) declined and the number of social assistance recipients (ABW scheme) edged down.

The number of unemployment benefit recipients (WW scheme) has remained high over the past few years as the progressive tightening of eligibility conditions, notably for younger persons,[81] has been offset by other factors. As noted, a significant proportion of persons who lost their disability benefit as a result of the 1994-95 re-examination have joined the unemployment scheme. Moreover, the scheme's benefits have remained relatively generous for older workers, effectively providing them with an alternative route to early retirement.[82] In the case of restructuring, it has thus become standard practice for firms to dismiss workers over 55 years of age and, through social plans agreed with

Figure 17. **UNEMPLOYMENT COMPENSATION SCHEMES**



1. Data before 1990 include the WWV scheme.
2. RWW, IOAW and IOAZ schemes.

Source: Bureau Central of Statistics, *National Accounts 1996;* Netherlands Bureau of Economic Policy Analysis, *Centraal Economisch Plan 1997*; and OECD, *Main Economic Indicators.*

trade unions, pay an additional bonus to supplement public sector benefits, bringing total benefits to 75-80 per cent of last-earned salary. This policy was officially authorised by the government in the so-called older workers' directive (*ouderenrichtlijn*). Also, entry to more favourable social schemes, such as early retirement and disability, has been tightened, and the privatisation of the sick-leave scheme and the forthcoming introduction of premium differentiation in the disability scheme have increased the potential cost of older employees, thus giving employers a further incentive for laying them off. Finally, as many of these older unemployed are not effectively obliged to seek a job, the outflow from this scheme has been very low.

The government has tried to curb the (mis-)use of the unemployment scheme for older employees. The so-called older workers' directive was repealed in 1994. The new law on administrative penalties,[83] which came into force in August 1996, has banned unemployment benefits in cases of voluntary unemployment, which may contribute to a reduction of abuse. However, according to the Netherlands Bureau of Economic Policy Analysis (1997*a*) the practice of dismissing workers over 55 has continued, and since employers and employees can usually claim that a dismissal is unavoidable, the effectiveness of the new law on administrative penalties is likely to be limited.[84]

The law on administrative penalties also promotes the outflow from the unemployment scheme by reducing benefits for those who violate the rules. Penalties, which already existed in the old unemployment law, but were applied at the discretion of the benefit administration, have been made mandatory. Refusal to accept a suitable job results in a complete and permanent withdrawal of an unemployment benefit, and exemptions are only possible under special conditions. Research on the previous penalty system showed that penalties are effective for certain categories of unemployed (Mullenders, 1996). The new Social Insurance Organisation Act (OSV), which came into force in March 1997, may also enhance the outflow from the unemployment scheme by promoting closer co-operation between benefit offices and public employment services. However, the effectiveness of both laws would probably be greater if the administrations directly in charge also had more financial incentives to reduce abuses and promote reintegration.

Despite these reforms, the unemployment scheme still faces the risk of moral hazard from employers as well as employees, and it can still be used as a

substitute for or a complement to expensive private redundancy packages or early-retirement schemes. A possible response might be premium differentiation – based on experience rating – which by giving employers more incentives to develop career paths for older employees or to find suitable positions for them elsewhere, possibly by using job agencies, might reduce the use of the unemployment scheme. According to some estimates, premium differentiation in the United States has resulted in a significant decline in temporary unemployment.[85]

Premium differentiation already exists between sectors, as the initial unemployment period is covered by sectoral insurance schemes. From January 1998, the period covered by the sectoral scheme has been extended from 13 to 26 weeks. Although this measure does not affect the behaviour of individual firms, as the sectoral risks are pooled, it reduces the cross-subsidisation between sectors.[86] A kind of premium differentiation is also present in the unemployment scheme for the government sector, where benefits are directly charged to the departmental budgets. In response, the Ministry of Education has developed a programme to reduce unemployment payments by an active reintegration policy for older teachers to limit budgetary costs. However, this programme seems to have led to some inflexibility in the hiring and firing of teachers.

The authorities do not see a role for private insurance companies in the area of unemployment insurance. Unlike disability and, to a lesser degree, sickness, unemployment is not a random occurrence: during cyclical downturns, many firms have to lay-off workers, resulting in a substantial increase in claims. Such correlated risks are difficult to insure in the private sector, and premium differentiation seems possible for only a limited period and within a public system using experience rating. In any case, premium differentiation is of limited use in preventing the improper use of the scheme in the case of restructuring. According to the Netherlands Bureau of Economic Policy Analysis (1997*a*), once having reached the maximum premium, employers are not further discouraged to use the unemployment scheme as a supplement to their redundancy packages. As for experience rating, the Netherlands Bureau of Economic Policy Analysis notes that this is likely to affect hiring and firing policies. Employers may become more reluctant in hiring new workers, owing to the threat of higher premia if these workers were subsequently fired. For the same reason, the position of ‘‘insiders’’, *i.e.* those with a job, may be strengthened, thus leading to higher wage demands. Hence, premium differentiation may make employment of

incumbent workers more secure, without getting those unemployed back into activity; it may thus worsen the prospects of the long-term unemployed. Therefore, the Netherlands Bureau of Economic Policy Analysis favours an alternative package of measures for promoting the participation of older workers – such as a reform of the Public Employment Service – and enhancing the reintegration of disabled persons.

Social assistance

The main social assistance scheme (*Algemene Bijstandswet* or ABW) was introduced in 1965 and was revised in 1996 (nABW).[87] The scheme is meant to assure a subsistence income for people who are no longer entitled to other social insurance benefits (such as unemployment and disability), school-leavers or people who suddenly lose their income provisions (mainly divorced people). Initially, assistance norms were formulated by the municipalities, who also administered the scheme and provided the necessary funding. As benefit norms and conditions quickly started to diverge, the system was substantially revised in 1972, giving the central government the authority to decree national assistance norms. The administration of the scheme remained with the municipalities, but the central government undertook to reimburse 90 per cent of the benefits paid out. Only administration and special assistance[88] costs remained fully at the charge of the local authorities, for which they received compensation from the Municipal Fund.[89]

In the 1980s, the number of social assistance recipients nearly doubled – to 580 000[90] – and the share of long-term social assistance claimants steadily increased. By the early 1990s, almost 50 per cent of the claimants has been in the scheme for more than three years. The long benefit duration was partly due to the fact that many claimants were exempted from looking for work[91] and benefits had an unlimited duration. Moreover, financial incentives to look for work were weak, notably for low-skilled people, with means-tested benefits (including the income of the partner) close to the statutory minimum wage and claw-back clauses that reduced benefits when income rose. To soften the impact of these arrangements and encourage benefit recipients to accept regular or subsidised work, the local authorities could make exceptions in the case of income from

employment, but apparently this was insufficient to redress the incentive balance between working and not working.

The outflow from the scheme was also sluggish due to loose control on job search activity, and notably a lack of co-operation between the municipal social services (GSD) and the Public Employment Service (PES). The PES reported to the benefit administrations only 35-40 per cent of the cases of benefit claimants being negligent in actively looking for work.[92] In some municipalities, separate departments had been set up to promote reintegration into the active labour force, but the effectiveness of these departments was hardly ever monitored.[93] Also, high unemployment of low-skilled workers apparently made local authorities more lenient in enforcing the obligation to look for work.

At the same time, the scheme became more complex, partly because of the growing variety of household situations, which made it more susceptible to fraud. Municipalities had hardly any financial incentive to combat abuse, as they funded only 10 per cent of benefits granted. Moreover, remittances from the Municipal Fund partly depended on the number of social assistance claimants. Hence, for the municipalities the cost of more supervision or the development of reintegration programmes could easily exceed the actual saving.

These shortcomings were highlighted by a research committee and in parliamentary hearings.[94] The committee recommended stricter procedures to reduce fraud and more co-operation between the municipal social services and the Public Employment Service to promote the reintegration of social assistance claimants. These recommendations were largely incorporated in a new social assistance law (*nieuwe Algemene Bijstandswet* or nABW), which came into force in January 1996. The new law gives more responsibilities to local authorities for assistance policies and benefit settlements, thus reversing the trend of the past two decades towards centralisation.

A first objective of the law is to improve the reintegration of benefit claimants in the active labour market. Therefore, the exemption from looking for work is restricted to single parents with children younger than 5 years. However, local authorities can grant temporary exemptions for special social and medical reasons. New instruments to promote the outflow from the social assistance scheme include the legal obligation for co-operation between the municipal social services and the Public Employment Service. The former has to classify every recipient according to his/her ‘‘distance from the labour market’’ (or

‘‘employability’’). If possible, a reintegration plan – in co-operation with the local Public Employment Service – is made, and a refusal to accept training or education, will normally result in a cutback of benefits. In addition, the local governments are obliged to draw up a local outflow plan.

Second, with a view to improving supervision and reducing fraud, the law requires the local authorities to formulate a so-called ‘‘combat-abuse-plan’’. Eligibility criteria and procedures have been tightened, and local authorities can only grant a benefit if a specific number of requirements have been fulfilled. In addition, more opportunities to identify fraud have been created by exchanging information with the Tax Collector’s Offices, Health Insurance and local registers of the population, in order to control the income and general situation of benefit claimants.

Third, the benefit structure has been simplified, with only three benefit levels set nation-wide. The benefit level for families is equal to 100 per cent of the net minimum wage, the so-called social minimum. Single parents and singles (including persons in other types of households) receive 70 and 50 per cent of the social minimum, respectively, but this will be increased by 20 per cent of the social minimum if a claimant cannot share living costs. Moreover, the local authorities have some discretion to grant additional allowances of up to 20 per cent of the social minimum to other single parents and singles. However, these allowances are subject to strict guidelines. Hence, while actual benefit levels may differ between municipalities, the variation should be limited.

While the new social assistance law is, in many respects, a distinct improvement, its implementation has met with many difficulties. It has taken a long time for local authorities to formulate local social assistance policies under the new law, since they have been wholly engaged in reassessing the position of existing claimants according to the new benefit regulations. In particular, the automation process appears to be very complex, and many social services have been confronted with computer problems. Moreover, budget allocations by the central government to implement the new act seem to be insufficient.[95] A task force has been set up to help local authorities to overcome these problems which, according to the authorities, may take several years to solve.

The next step will be to increase financial incentives for the local authorities by changing the way the social assistance scheme is financed. As a temporary measure, a new distribution system for the Municipal Fund will be applied in

1997 and 1998, based on the volume of social assistance claimants at the end-1995 level. From January 1999, the budget for additional assistance (Gld 1.5 billion), will be decentralised, reducing the central government's share in social assistance financing from 90 per cent to 78 per cent. An interdepartmental research report recently advised on the introduction of a distribution system independent of the municipalities' social assistance expenditures,[96] the aim being to reward local authorities that succeed in getting social assistance claimants back to work. It further recommended the introduction of performance indicators and bench-marking to compare the efficiency and effectiveness of social assistance policies in different municipalities. These would be steps in the right direction since they would give local authorities more incentives to improve their integration and social assistance performance.

Subsidised jobs and reintegration

The Netherlands has a long tradition of direct job creation (or subsidised jobs) as part of an ''active'' labour market policy. In the early 1970s, ''active'' measures were mainly focused on the demand side, and particularly on job creation with public support in labour intensive sectors, such as public infrastructure or construction, as well as on job preservation through subsidies to firms in financial difficulties. From the late 1970s, these policies were significantly scaled down, and both were largely abandoned by the mid-1980s. In the early 1990s, as ''active'' programmes gained popularity again, the focus shifted to the supply side and the improvement of job-related skills as a way to enhance reintegration. The ''labour pools'' introduced in 1990 were targeted at specific groups with high unemployment rates and little chance of getting a job through the regular matching process in the labour market. The Youth Work Guarantee Law of 1992 addressed the problem of youth unemployment by offering youngsters a combination of training and work experience, the final goal being the transition to a permanent job. In 1994, this law was complemented by a new programme to train those youngsters who are not adequately prepared to move directly to a ''normal'' job. However, for various reasons,[97] the proportion of youngsters actually getting a job when leaving this programme has been relatively low.

The limited success of these programmes and, more generally, the difficulty of implementing effective ''active'' policies combined with the concentration of

unemployment among low-skill workers, has led the authorities to revise their approach. To promote reintegration it has been decided, among other things, to create new subsidised jobs for the long-term unemployed. These ''Melkert Jobs'' (named after the Minister of Social Affairs and Employment) are divided into four programmes. First, the government decided on the creation (by the end of 1998) of 40 000 permanent new jobs in the public sector and health care sector for long-term unemployed generally receiving social assistance benefits (Melkert-1). Participants in the ''labour pools'' are also eligible for these jobs. Wages in the first year equal the legal minimum wage, and eventually may rise to a maximum of 120 per cent of this level. Average working time is 32 hours a week, compared with a general average working time of 36 hours a week. The total cost of the programme is estimated at Gld 1.6 billion a year.[98] The jobs are created in municipalities[99] – in the fields of security, maintenance of public areas and monuments, education, child care and sports – and in health care – in hospitals, nursing homes, homes for the elderly, home care and day care. This programme is monitored on a quarterly basis. At end-1996, nearly 17 000 jobs had been filled.

Moreover, the government, in co-operation with local authorities and institutions, has introduced three other programmes (Melkert-2, 3 and 4) for the creation of temporary jobs on an experimental basis. The Melkert-2 programme – which started in January 1995 – intends to create 20 000 special jobs, for a maximum duration of two years, for long-term unemployed, in 135 projects at 63 organisations. These jobs are mainly in the private sector, and are financed mostly through the related saving in social security benefits and partly through a contribution from the central government (Gld 720 million has been earmarked for this purpose for the 1995-99 period). This programme has so far resulted in the creation of some 12 000 jobs. Five large private temporary work agencies participate in the programme and have reportedly filled some 20-50 per cent of the jobs so far created (official figures are not available). As this seems to be a rather lucrative aspect of their activity, there is a lot of competition among work agencies to fill Melkert jobs. Although these jobs are temporary, work agencies claim that a large proportion – up to 70 per cent – of the persons they select for this programme ends up holding a normal job – a much higher proportion than for most non-commercial projects. A government assessment of Melkert-2 is due at the beginning of 1999.

Also, as part of the new social assistance law, local authorities have the possibility to experiment with projects to activate long-term benefit claimants who have very limited perspectives of finding paid work (Melkert-3). Participants in these projects receive a small extra compensation for doing voluntary work in areas such as care for the elderly. It enables them to gain work experience and move closer to the normal labour market. Finally, in June 1996, another temporary experiment (Melkert-4) was initiated to explore the market for domestic services in three cities (Rotterdam, Eindhoven and Arnhem). The goal of the experiment is to tap demand from households and transform part of the informal market (or ''underground economy'') for domestic services into formal employment. Private companies for cleaning services covered by a collective labour agreement can receive a subsidy (a maximum of Gld 18 000 per year) if they hire a long-term unemployed person with a social security benefit and conclude cleaning contracts with private households. The budget for the scheme is Gld 126 million for the 1996-99 period, aiming at the creation of 5 000 jobs (of 32 hours per week). By end-1996 only 50 jobs had been created, as the scheme has faced start-up problems.

While it is too early for a full assessment of these programmes, even at this early stage several problems have been identified.[100] They include:

- insufficient co-operation between the relatively large number of institutions in charge of implementing and co-ordinating these programmes;
- a large proportion of people in the target groups have proved to be either unemployable or hard to motivate even for the kind of jobs offered by these programmes;
- the eligibility criteria for different programmes in some cases have been overlapping, so that the same candidates have been proposed by different institutions to more than one programme;
- the programmes were meant to create additional jobs but, at times, the job description has overlapped with that of ''normal'' jobs, leading to crowding-out of non-subsidised employment;
- the budgetary structure is rather complex, with different specific funds and additional funds.

As a complement to the Melkert jobs, the government has prepared the Job Seekers Employment Act (WIW), which is expected to come into force in January 1998. It will consolidate the various programmes for subsidised jobs

– but not the Melkert jobs – with all responsibilities decentralised and entrusted with the local authorities. These will be enabled to use an appropriate mix of education, training, work experience, social activation and financial incentives to help the long-term unemployed and unemployed youngsters up to the age of 23. For this latter group, there will be a so-called ''tight fitting approach'', meaning that for every youngster asking for benefits, or registering as a job-seeker, the local authorities in co-operation with the Public Employment Service will have to set up a plan leading to job-finding. The two key instruments in the WIW are subsidised employment (which already existed under the ''labour pools'' and the Youth Work Guarantee Law) and the ''work experience place''. This is a new instrument for local authorities to help job-seekers acquire experience with a regular employer by subsidising labour costs. By eliminating or greatly reducing the gap between the productivity of participating persons and their labour costs, this approach is expected to remove what the authorities consider to be the main reason for the lack of interest of employers for previous reintegration projects. In addition, the local authorities may also subsidise the extra costs to employers of on-the-job education and training. To ensure a full co-ordination and streamlining of subsidised jobs, ideally, the new Act should also have covered the Melkert jobs. However, differences between WIW jobs and Melkert jobs make this questionable: the latter are regular jobs, while the former are temporary, and aim at enhancing the return of long-term unemployed to the regular labour market or at curbing social exclusion. As with Melkert jobs, there seems to be a risk of WIW jobs crowding-out normal employment. Indeed, the National Audit Office has warned that the test on crowding-out proposed in the new Act is less stringent than that which existed in the ''labour pools'' and the Youth Work Guarantee Law.[101]

Conclusions

Progress in structural reform has been quite rapid in the social security sector in the first half of the 1990s, with a few major initiatives, such as the redefinition of ''disability'', the re-examination of a large proportion of disabled persons, and the privatisation of the sick-leave scheme. In the more recent period, however, the pace of reform has slowed, and no new major initiatives seem likely in the next couple of years. The most obvious and least contentious measures

having already been taken, progress may have become more difficult. Yet, the scope for correction remains large, and, if the structural measures already taken do not give sufficient results, further initiatives might be considered. The major remaining problem which needs to be addressed in this area is the slow outflow from social security schemes or, more generally, that of older persons in the disability and unemployment schemes – which can be referred to as the ‘‘stock aspect’’ of the disability and unemployment problem. It largely reflects various age-related social security arrangements, and is a challenge with no obvious solution. An approach combining stricter eligibility rules and effective controls with appropriate retraining and counselling programmes might be expected to return some of these persons to the active labour market. Some others, if able to work but unwilling to effectively seek a job, might be asked to leave the welfare system, provided they have sufficient financial resources. For a third group, the only possibility of becoming active again might be through subsidised jobs. Hence, despite some start-up problems and difficulties of implementation, ‘‘Melkert Jobs’’ and other subsidised job programmes should be pursued and some of them should be focused on older persons. Finally, for equity and humanitarian considerations, it might be deemed appropriate to leave on welfare older ‘‘disabled’’ and unemployed persons with little or no likelihood of ever having an active role again. In this case, however, for transparency’s sake, it might be desirable to move these persons to a special, well-identified pre-retirement scheme. The ‘‘flow’’ aspect of the problem – *i.e.* the inflow of new benefit claimants into the disability and unemployment schemes – has improved somewhat in the past few years in the disability area. But a further tightening of conditions may be needed in both areas, since population ageing is expected to increase the inflow into these two schemes.

V. Entrepreneurship

The Netherlands has a long and well established enterprise culture and commercial orientation, with an exceptionally open economy as measured – inter alia – by export and import shares in GDP. Nevertheless, concern has been expressed within the Netherlands about the depth and vigour of entrepreneurial activity and the extent to which policies and programmes may be reoriented to achieve a better economic performance. The OECD *Jobs Study* (OECD, 1994) also argued that entrepreneurship is one of the keys to a buoyant economy, capable of adjusting to economic developments and structural change. This chapter examines some aspects of the state of entrepreneurial activity in the Netherlands, the institutional framework within which Dutch businesses operate and the programmes and policies of the Dutch government aimed at stimulating entrepreneurship.

The state of entrepreneurship in the Netherlands

At its most general, entrepreneurship can be defined as the process of identifying economic opportunities and acting upon them by developing, producing and selling goods and services. As such it is central to the functioning of market economies. However, there are several more narrow definitions in common usage depending on the emphasis put on different aspects of entrepreneurial activity. Measuring the degree of entrepreneurship present in an economy is likewise very difficult and depends on the interpretation placed on a variety of imperfect indicators.

Small businesses and entrepreneurship

A commonly used proxy for entrepreneurship is based on the operation of the small business sector. As in all countries, the large majority of enterprises in

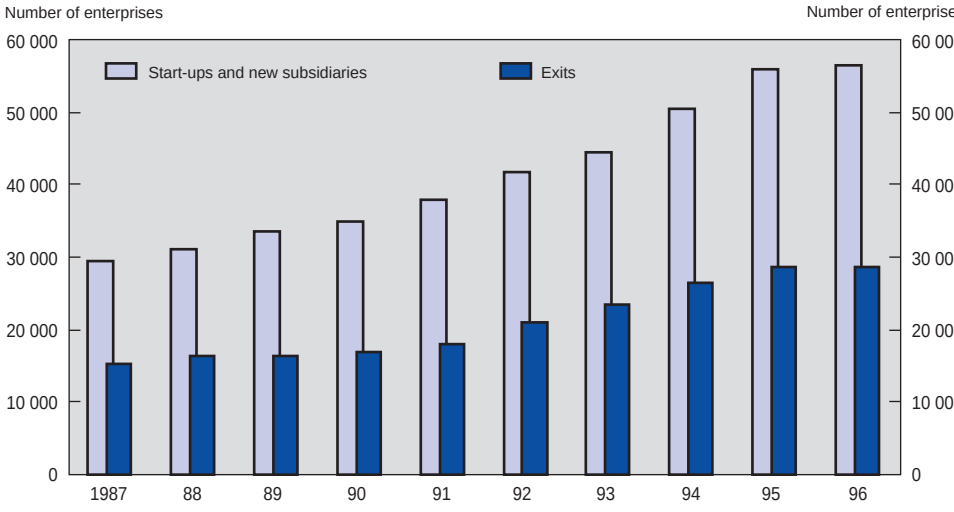
the Netherlands are relatively small: there are around 600 000 private enterprises and only around 700 of them employ more than 500 persons. According to this definition, in 1990 small and medium-sized enterprises (SMEs) accounted for 57 per cent of total employment[102] and produced exactly 50 per cent of GDP (OECD 1996*a*). Thus, an exclusive focus on SMEs would overlook the potential for dynamic and entrepreneurial activity in the rest of the economy. It is also often argued that overall, the small business sector must be entrepreneurial, because it generates most of the job growth in the economy. But measuring the contribution of small- and medium-sized enterprises to net job creation is fraught with conceptual and statistical difficulties,[103] and in any case many smaller enterprises are not new, nor particularly innovative or growth oriented, whereas large well-established firms can be highly innovative and entrepreneurial. Between 1989 and 1994, 975 000 new jobs were created in the business sector as a whole, compared with a total of 3 220 000 existing jobs at the beginning of the period (Bais *et al.*, 1997). At the same time 770 000 jobs were lost, resulting in a net increase of 205 000. Job creation was concentrated in starting SMEs or, more generally, in relatively few, fast-growing firms. On the one hand, starting firms with less than 100 employees (excluding subsidiaries) created 230 000 gross jobs between 1989 and 1994.[104] Nevertheless, most young firms do not grow any further after start-up: according to a survey among starters, only 17 per cent of these firms hired new employees within the first 2½ years of their existence (Van Dijkin *et al.*, 1997). On the other hand, ''fast-growing firms''[105] that existed throughout this period (representing only 8 per cent of total existing firms) accounted between them for 220 000 new jobs, of which a third were in SMEs. However, fast-growing firms (in terms of employment) in the Netherlands created comparatively fewer jobs than fast-growing firms in the United States (EIM, 1995).

Entrepreneurship and firm turnover rates

Another approach to the study of entrepreneurship emphasises firm start-ups and closures as an indicator of willingness to engage in risk taking activity and capacity to innovate, and as an indicator of the ease with which resources are able to move quickly from one activity to another. It is almost impossible to get a reliable cross country comparison of start up and closure rates, given large differences in institutional procedures. However, the ''natality rate'' – the num-

ber of new firms relative to the stock of existing firms – has grown steadily in the Netherlands from 6.7 per cent in 1987 to 8.6 per cent in 1993, although some of this growth is attributable to the particularly strong increase in new establishments created by existing enterprises (Figure 18).[106] Since 1994, the natality rate has stabilised. The total number of firms has risen by about 50 per cent in the period from 1987 to 1996, although the number of self-employed as a percentage of labour force remains below the rates experienced in the early 1970s. By international standards, the Dutch birth rate is about average and the exit rate is relatively low. This low exit rate may be an indicator of low competitive pressures. Although firm exit rates have also moved up, new enterprises in the Netherlands also have one of the highest survival rates in Europe, with around 60 per cent still in operation after 5 years. And those that survive generally expand: from 1½ working persons on average at the outset to 3½ working persons after 6 to 7 years operation (Kleiweg and Nieuwenhuijsen, 1996). Nevertheless, although start-ups may be taken as an important indicator of a dynamic business environment, entrepreneurial behaviour within well-established compa-

Figure 18. **ENTERPRISE START-UPS, NEW SUBSIDIARIES AND EXITS**



Source: Ministry of Economic Affairs.

Table 11. **Distribution of firms by employment growth characteristics and age**[1]

Employment growth	Age of the firms (per cent of total)				*Memorandum:* Number of firms
	5-9 years	10-19 years	20-49 years	Over 50 years	
Fast-growing	29	35	21	15	2 704
Normal-growing	24	39	22	14	10 714
Stable	20	39	26	15	2 881
Shrinking	20	35	26	19	7 117
Total	23	37	24	16	23 416

1. Percentage of firms with more than 20 employees in 1994, only firms that existed both in 1989 and 1994 are included.
Source: Bangma and Verhoeven (1997).

nies can also play an important role. Indeed, analysis of growth rates of firms over the period 1989 to 1994 shows that 15 per cent of the fast-growing companies in the Netherlands were more than 50 years old (Table 11). This relatively modest business dynamism in the Netherlands may have a negative impact on productivity and innovation.

The role of attitudes

There is an ongoing debate over whether cultural attitudes determine a society's legal and institutional framework or vice versa. It is however clear that if individualism, risk-taking or earning high returns are discouraged by the legal framework or by public policies, then less risk taking and innovation is likely to occur. Current social attitudes in the Netherlands seem to reflect some shift towards less reliance on social programmes and more emphasis on self-reliance and reward for effort (see Chapter IV). This shift is reflected in many areas of public policy in recent years and has probably also been spurred by the exposure of Dutch markets to greater competition. Attitudes towards going into business in the Netherlands seem relatively similar to those elsewhere in Europe, with a survey of Dutch inhabitants showing that some 30 per cent of those questioned had at some time thought about starting an enterprise (de Lind van Wijngaarden, 1995). For those who actually started a business, the most important motivating factors were independence and ''challenge'', and 30-40 per cent of starting entrepreneurs surveyed declared that they were not interested in seeking turnover growth.

Regional dimensions of entrepreneurship

The regional distribution of entrepreneurship in the Netherlands does not reflect strong imbalances. This is partially due to the fact that the country is densely populated and highly urbanised. The percentage of the population living in rural communities is the lowest in the OECD.[107] The main differences in entrepreneurship (as measured by firm turnover) can be observed between the less developed north/east as compared with the Randstad[108] area with a concentration of high value-added industries. Overall entrepreneurship measured by ''birth rates'' is relatively even among the larger provinces (Table 12). The most problematic territorial dimension of entrepreneurship and job creation in the Netherlands can rather be seen in increasingly spatially and ethnically concentrated socio-economic deprivation. The local social and economic environment related to high unemployment rates in problem neighbourhoods such as for example Spangen (Rotterdam) or Den Haag Zuidwest (Kloosterman, 1996), both reflect and reinforce weak entrepreneurial dynamics in particular areas. Indeed, suitable space for entrepreneurial activity is very limited in these ''urban renewal'' areas and the infrastructure needed to attract such activities is lacking.

Table 12. **Enterprise birth and death rates in Dutch provinces**

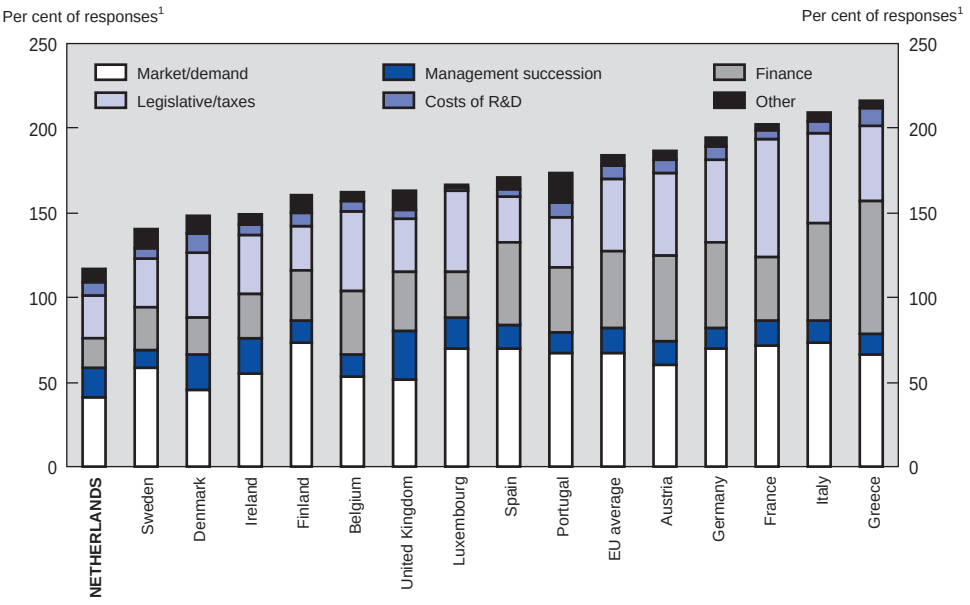
Province	Birth rate		Death rate	
	1995	1996	1995	1996
Groningen	13.7	12.7	6.9	6.7
Friesland	10.1	9.3	3.6	4.1
Drenthe	10.6	9.8	5.0	5.2
Overijssel	11.0	10.5	6.1	6.4
Flevoland	17.4	15.5	8.3	7.4
Gelderland	10.7	9.6	5.3	5.0
Utrecht	11.9	11.3	5.8	5.5
North Holland	11.9	11.1	6.3	6.1
South Holland	11.7	11.2	6.3	5.7
Zeeland	8.7	8.2	5.4	4.7
North Brabant	11.3	10.6	5.6	5.4
Limburg	10.2	9.7	5.7	6.0

Source: Vereniging van Kamers van Koophandel (1997).

Factors affecting entrepreneurship

While it is difficult to pin down precise and robust indicators of the amount or degree of entrepreneurial activity taking place, it is nevertheless clear that entrepreneurship is significantly affected by the overall business environment and the prevailing web of regulations and other institutional factors. Removing impediments to entrepreneurial activity and fostering a more favourable business environment would therefore form an important part of government efforts to stimulate entrepreneurship. The rest of this section considers the main institutional factors that affect new businesses and act as constraints on business expansion or more generally on the ongoing allocation of resources to their most productive uses. Dutch businesses do not seem to consider themselves significantly constrained, at least relative to their counterparts in other European countries. A pertinent European Business Survey found that existing Dutch businesses

Figure 19. **MAIN LONG TERM CONSTRAINTS ON BUSINESS EXPANSION**[1]



1. Sum of responses, given as percentage of respondents. Respondents were allowed to choose more than one constraint.

Source: Grant Thornton International Business Strategies, Ltd., 1997.

felt less constrained in expanding business activities than enterprises anywhere else in Europe (Grant Thornton International Business Strategies Ltd., 1997) (Figure 19). Furthermore, the main long-term constraints most often cited by Dutch firms related to lack of demand and/or management succession issues. The biases inherent in this type of survey should, however, be noted: surveys of existing firms exclude those firms that constraints have already forced out of business and potential start-ups that never materialised because the hurdles were too great.

Markets and competition

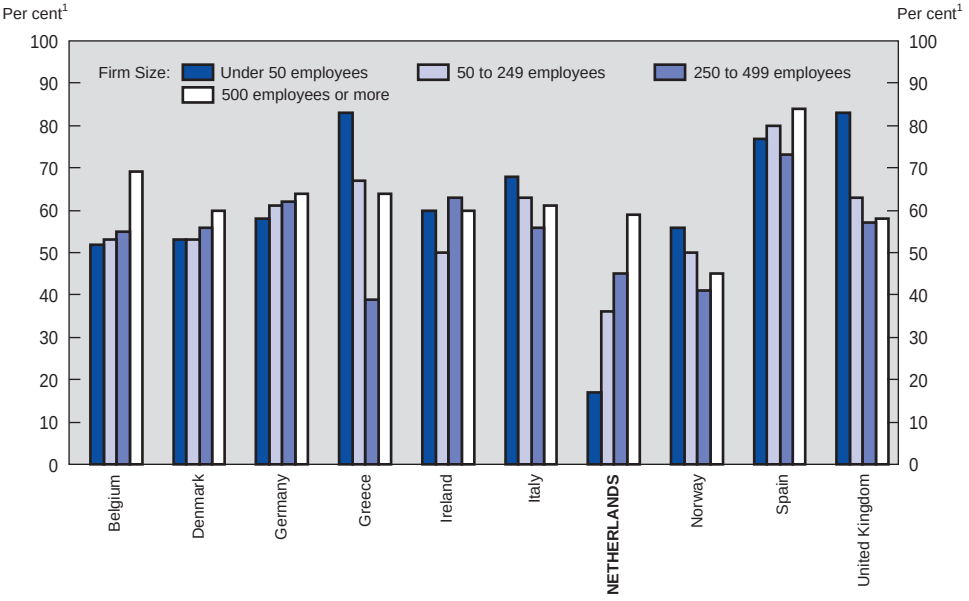
Although 26 per cent of the European Business Survey respondents considered limited market demand a main long term constraint, and 14 per cent considered accessing new markets a main constraint, Dutch firms nevertheless seem less concerned about these constraints than respondents in other European countries. As noted earlier, the Netherlands exports a relatively high proportion of its output, and its well-developed trading expertise helps to tap and exploit market potential. But the opportunities of increased market access provided by the development of the European Single Market, have not yet been fully exploited by Dutch SMEs. A recent survey shows that 9 per cent of Dutch micro-enterprises (1-9 employees) are exporting, as are 23 per cent of those with 10-19 employees, 32 per cent of those with 20-49 employees, and 47 per cent of those with 50-99 employees (EIM/ERBO, 1996). Nevertheless, recent further efforts to increase competition, as outlined in Chapter III, should help to increase market potential. Opening a wider range of government services to competition, and reducing the crowding out of private sector ventures by government provided or subsidised services would also provide more opportunities for entrepreneurial initiatives.

Finance

It is often argued that small businesses face major difficulties in getting the finance they need, but several surveys have illustrated that this is not considered a serious bottleneck for well-established firms in the Netherlands.[109] For example, according to one European Commission study, fewer Dutch respondents rated lack of finance as a barrier to innovation than in other countries, and within the Netherlands, firms with less than 50 employees experienced the least difficulty

(European Commission, 1995*b*) (Figure 20). Furthermore, in the most recent European Business Survey, only 18 per cent of respondents cited either the cost or the availability of finance as a main long term constraint, compared with 45 per cent in the European Union as a whole.[110] However, one very recent study has indicated that young and particularly innovative new firms may respond differently to initial difficulties experienced in obtaining finance. Although they do not face larger difficulties than their counterparts in the United States, for example, the Dutch firms are more likely to respond by modifying the investment project, whereas American firms are more likely to continue searching for other sources of finance (Ministry of Economic Affairs, 1997). In a private sector survey of businesses' assessment of total capital costs, the Netherlands ranked second only to Denmark, equal to Japan and Germany and only marginally ahead of the United States (Ministry of Economic Affairs, 1997). Although long-term

Figure 20. **LACK OF FINANCE AS PERCEIVED OBSTACLE TO INNOVATION**



1. Percentage of enterprises that consider a lack of finance as a major obstacle to innovation.
Source: European Commission (1995*b*).

Table 13 **Risk premia on debt and equity in selected OECD countries**

	Risk premium on debt[1]	Risk premium on equity[2]
Netherlands	0.9	6.3
Belgium	1.8	6.1
Denmark	n.a.	4.7
Germany	0.6	2.9
Japan	n.a.	8.0
United States	n.a.	2.9

1. Calculated as the average difference between interest on commercial bonds and long-term interest rates on Government bonds. Data refer to the period 1991-95.
2. Calculated as the difference between average total return on the equity market (including capital gains) and nominal long-term interest rates. Data refer to the period 1970-94.

Source: Ministry of Economic Affairs (1997).

nominal interest rates were the same as in Germany and lower than in the United States on average during the period 1983 to 1994, estimated risk premia on equity, at 6.3 per cent, were relatively high in the Netherlands, although risk premia on debt were similar to those in other countries (Table 13). This may in part explain why Dutch firms rely to a relatively high degree on financing through retained earnings: aggregate corporate saving amounts to around 13½ per cent of GDP, which exceeds the private sector investment ratio (excluding dwellings). The tax regime also favours internal financing, because with no imputation system, distributed earnings are taxed higher than retained earnings[111] and capital gains are not taxed.[112]

Venture capital

The formal venture capital market seems to be quite well developed in the Netherlands, and the amount of investments made, relative to GDP, is similar to those in the United States.[113] To some extent the relatively strong Dutch performance also reflects definitional differences, most notably concerning the inclusion of some debt instruments in the European data which are excluded from the US statistics. A closer look also reveals that the venture capital market in the Netherlands is investing a significantly smaller proportion of its funds in seed and start-up projects than is invested in similar stage projects in the United States (Table 14).

Table 14. **Venture capital in Europe and the United States**

1996, total investments, excluding institutional buy-outs

	Investments made in million ECU	Number of deals	Investments made, as a per cent of GDP	Seed and start-up investments as a per cent of total investment
United States	7 892.4	1 502	0.13	34.8
Total Europe	3 744.7	4 081	0.05	11.8
United Kingdom	840.4	1 014	0.09	4.9
France	746.4	1 000	0.06	13.0
Germany	564.0	708	0.03	16.8
Netherlands	**408.0**	**248**	**0.13**	**22.6**
Italy	356.0	174	0.04	12.7
Sweden	236.3	158	0.12	2.3
Spain	181.2	152	0.04	6.5
Belgium	105.8	153	0.05	19.2
Norway	82.2	150	0.07	6.9
Switzerland	55.6	21	0.02	9.6
Ireland	35.5	62	0.07	8.5
Finland	35.1	101	0.03	25.9
Denmark	34.0	38	0.02	6.8
Greece	32.0	23	0.03	19.5
Portugal	30.5	71	0.04	3.8
Austria	1.0	4	0.00	25.8
Iceland	1.0	4	0.02	0.0

1. Does not exclude buy-outs.
Source: EVCA (1997), Venture One (1997).

Anecdotal evidence points to a significant difference in attitudes towards control between American and European entrepreneurs. Venture capitalists generally want to exercise control over the companies in which they invest, and are willing to remove the founder-entrepreneur if they believe it would improve the performance of the company. While American entrepreneurs seem to accept this trade-off between making money from the investment and exercising control (OECD, 1997*c*), Dutch entrepreneurs seem less willing to accept the loss of management control that venture funding would entail. The cultural importance of keeping control, and the role of business in reflecting personal ideas and value systems, can be seen in the prevalence of family businesses in the Netherlands and the strong preference to keep the business within the family: almost 60 per cent of family businesses in the Netherlands are managed by second, third, or fourth generation family members (de Lind van Wijngaarden, 1996). In contrast,

only around one-third of family businesses pass to the second generation in the United States (Upton, 1995).

One explanation for weak early-stage venture capital activity may be a lack of expertise in putting together packages or deals that make a proposal attractive to venture capitalists. To some extent this may simply be a lack of opportunity to develop the pertinent expertise due to the small number of deals put together.[114] A related conjecture is that the Netherlands suffers from a scale problem in evaluating projects. According to this argument, there is an insufficient number of projects available in the Netherlands to make it worthwhile for Venture Capitalists to invest in developing the required technical, sector-specific expertise. One response, developed by the Technology Rating Foundation with assistance from the Dutch authorities, is the technology certification scheme.[115] This scheme is designed to reduce the costs associated with evaluating high-tech projects by providing an evaluation using a network of experts. It is difficult to assess whether in fact a scale problem exists in practice, especially in the context of the Single European Market, and if it does, whether the technology certification scheme can really be effective in remedying it.

On the supply side, an exceptionally high proportion of venture capital in the Netherlands is coming from banks – two-thirds of all venture capital funding, compared with a European average of just over one-third and an insignificant amount in the United States.[116] This may also explain why venture capital funding in the Netherlands is concentrated in later stage investments rather than seed and start-up financing. The bank-related funds may be investing in these companies in part to complement and support their parent company's traditional banking business by investing in more longer-term relationships than would be possible with early stage investments with a higher failure rate[117] (OECD 1996*c*). However, the emphasis on later stage investments may simply reflect greater caution in the Netherlands after the discouraging results of the last decade, where average returns from seed investment were negative[118] (McKinsey Global Institute, 1997). Another supply-side explanation is that venture capital companies tend to look for a larger deal size than is normal for early-stage investment (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996).

Ease of exit from the investment is generally an important prerequisite for a well developed venture capital market. In the Netherlands, as in much of Europe, the single most important exit route for venture capital is via ''trade sales'' – sale

of the company to another company. The number of trade sales increased from 50 in 1995 to 63 in 1996. But exit from venture capital investment through initial public offerings (IPOs) is also increasing, from 15 in 1995 to 47 in 1996. There are now four options for IPOs, through the Nieuwe Markt Amsterdam, (NMAX), through EASDAQ, through listing on NASDAQ in the United States (an option that has been chosen by some fast growing European companies[119]) or through listing on the regular Amsterdam Exchange. On balance there does not seem to be a visible difficulty for Dutch Venture Capitalists to exit from their profitable investments.[120]

Informal investors

The Dutch informal investor market is estimated to be at least as large as the formal venture capital market.[121] Informal investors, often known as ''angels'', play an important role in providing not only funding but also important management skills. They are generally relatively young, almost half are 50 years or younger, and 64 per cent are still active entrepreneurs (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996). On average they spend around 22 hours per month on ''supervision'' of their investment. Furthermore, half of the informal investors had founded their own successful businesses, giving them valuable experience about starting up. Informal investors stress the importance of building up a portfolio to spread the risk of failure, and three-quarters of informal investors co-invested with other investors, most often through syndicates.[122] Informal investors have in the past invested more heavily in the early stages of company development, with almost half the number of deals involving the pre-start or start-up phases.[123] However, despite estimated realised rates of return of around 17-20 per cent,[124] reported dissatisfaction with the rates of return on early stage funding is leading to a shift towards later investments. Anonymity and searching for opportunities through intermediaries seem to be important factors to informal investors. Main reasons for this seem to be a general reserve about personal wealth becoming known, and fear of either unwanted contacts or of being swamped by unsolicited investment proposals. Less than 10 per cent of informal investors contact entrepreneurs directly about investing in their business, with the remainder split more or less equally between those who actively approach intermediaries and those who take a ''wait and see what comes along'' attitude. Several private sector initiatives have been developed in the Netherlands to help entrepreneurs and angel investors to find each other. However, notwith-

standing these networks, the biggest single constraint identified by informal investors is the perceived quality of the proposals coming forward (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996). Nevertheless the same study indicates that there may be an additional Gld 10 billion of capital as yet untapped, in the form of supply of ‘‘angel investment’’.

Innovation

One important characteristic of entrepreneurship is innovation. Innovation can take place in processes (such as better marketing or stock management) or in the development of new products and services. One indicator of the degree of innovation might be the number of resident patent applications per head of population, the ‘‘inventiveness coefficient’’ (Table 15). On this basis, the Netherlands does not seem to perform well, with between 1 and 2 patents per 10 000 residents, compared with Australia, Finland, Germany, Sweden,

Table 15. **Inventiveness coefficient**

Resident patent applications per 10 000 population

	Average 1981-94
Switzerland	5.53
Germany	4.94
Sweden	4.36
Australia	4.25
Finland	3.83
United Kingdom	3.46
United States	3.14
New Zealand	2.99
Austria	2.93
France	2.18
Denmark	2.16
Norway	2.15
Ireland	1.95
Netherlands	**1.47**
Italy[1]	1.38
Canada	0.93
Belgium	0.90
Spain	0.50
Portugal	0.09
Mexico[1]	0.06

1. Average over the period 1992-94.

Source: OECD (1997*a*).

Table 16 **Protection of product innovations against imitators**[1]

Judgements by innovating firms about the effectiveness of various mechanisms

Mechanism of protection against imitators	Judgement about effectiveness (percentages)				
	Insignificant	Modest	Moderate	Very important	Crucial
Time lead on competitors	20.5	6.1	16.3	37.8	19.4
Keeping qualified people in the firm	17.1	5.5	21.6	39.6	16.1
Secrecy	33.2	13.3	20.8	18.9	13.8
Patent protection	47.0	14.9	12.6	15.1	10.3
Complexity of product or process design	47.6	11.8	19.5	15.1	6.0
Copyright and related laws	61.5	14.6	12.4	8.7	2.8
Certification, normalisation	47.4	16.5	17.6	14.9	3.6

1. Number of observations: 1 008.
Source: CIS-Netherlands, 1992, in Brouwer and Kleinknecht (1997).

Switzerland and the United States, which all have between 4 and 5 patents per 10 000 residents.[125] However, a study of innovating Dutch firms indicated a lack of confidence in protection offered by patents (Table 16), and experience suggests that smaller innovating firms are less likely to seek patent protection than larger firms[126] (Brouwer and Kleinknecht, 1997). Recent moves to streamline the patenting process and reduce the costs per patent from Gld 4 000 to Gld 1 000 should help. In contrast, the Netherlands has become one of the leading countries in buying foreign technologies, with spending on acquisition of licensed technology reaching 0.5 per cent of GDP in 1991 (OECD, 1996*d*).

As noted in last year's survey, research carried out in Dutch public institutions is highly regarded, with the citations rate of Dutch scientific publications being second only to the United States. While the relationship between basic research and commercial ventures is sometimes minimal, further efforts to find ways of commercialising the results of academic work seem warranted. Efforts are being made to improve the linkages between academic research and the business sector, with new incentive structures in place to ensure that the work in research institutes is more demand-driven and that their performance will be judged more on the marketability of their output (Ministry of Economic Affairs, 1995*b*). Providing more scope for scientific researchers to capture some of the financial benefits that would flow from future commercialisation of their work

would encourage more market-oriented research, as would encouraging a more entrepreneurial orientation in science and engineering courses.

Taxation and regulation

Taxation and regulation can have important effects on entrepreneurship, although relatively few Dutch businesses in the European Business Survey considered that they were a major long-term constraint, compared with their European counterparts. Statutory corporate tax rates in the Netherlands are in line with rates in most OECD countries, at 36 per cent for the first Gld 100 000 of taxable profits and 35 per cent for additional profits.[127] But statutory tax rates have generally been shown to be a poor indicator of marginal effective tax rates (METRs) on corporate earnings, which matter more for investment decisions (Leibfritz *et al.*, 1997). Although METRs on corporate income for various sources of finance are not available for the Netherlands, it seems likely that significant variations in METRs and associated distortions are likely to be present, because the Dutch tax system favours investment in owner-occupied housing rather than in production, debt financing rather than equity financing, and retained earnings rather than new equity investment, because of double taxation of dividends and the absence of a capital gains tax. Average effective tax rates on capital in the Netherlands seem to be close to the middle of the range of OECD countries (Table 17). And OECD Secretariat simulations indicate that a reduction in corporate taxes equivalent to 1 per cent of GDP (financed by reductions in transfer payments) would increase GDP in the Netherlands by nearly 3 percentage points and employment by almost 1 percentage point (Leibfritz *et al.*, 1997).

Many very small businesses in the Netherlands are unincorporated and profits are therefore taxed as part of personal income of the owners. In principle, the tax treatment is designed to be neutral with respect to incorporation. But the complex interplay of different personal and corporate tax rates, rules for carry-forward/backward of losses[128] and treatment of expenses, mean that in practice, the tax liability is not neutral and depends on the level of profits earned, according to estimates of the Ministry of Economic Affairs.[129] This makes it difficult for an entrepreneur to judge in advance which corporate form would suit him best.

There are a number of tax related issues that affect the ‘‘unofficial’’ equity market. A high profile has been given to the ‘‘Aunt Agatha’’ scheme, which has been in place since 1996 and is designed to encourage investment in start-up

Table 17. **Average effective tax rates on capital and labour income**

	Capital[1]			Labour[2]		
	1965-75	1975-85	1985-94	1965-75	1975-85	1985-94
United States	0.42	0.42	0.40[3]	0.17	0.21	0.23[3]
Japan	0.23	0.35	0.44	0.12	0.17	0.21
Germany	0.21	0.29	0.26	0.29	0.35	0.37
France	0.17	0.25	0.25	0.29	0.37	0.43
Italy	..	0.22	0.28	..	0.28	0.32
United Kingdom	0.50	0.60	0.52	0.24	0.25	0.21
Canada	0.41	0.38	0.44	0.17	0.22	0.28
Australia	0.34	0.42	0.45	0.13	0.18	0.19
Austria	0.17	0.20	0.21	0.33	0.38	0.41
Belgium	0.26	0.35	0.33	0.31	0.37	0.40
Denmark	..	0.42	0.42	..	0.35	0.41
Finland	0.22	0.32	0.41	0.23	0.31	0.38
Greece	..	..	..	..	..	..
Netherlands	**..**	**0.30**	**0.31**	**..**	**0.43**	**0.46**
New Zealand	..	..	..	..	..	..
Norway	0.25	0.38	0.37	0.33	0.34	0.35
Portugal	..	..	0.15	..	..	0.21
Spain	..	0.12	0.19[3]	..	0.25	0.29[3]
Sweden	..	0.45	0.58	..	0.46	0.48
Switzerland	0.17	0.24	0.25[3]	0.19	0.26	0.26[3]

1. Average effective tax rate on capital defined as household income taxes paid on operating surplus of private unincorporated enterprises and on household property and entrepreneurial income; plus tax on income, profit and capital gains of corporations; plus recurrent taxes on immovable property; plus taxes on financial and capital transactions; all divided by total operating surplus of the economy.
2. Average effective tax rate on labour defined as household income tax paid on wages plus payroll or manpower taxes, divided by wages and salaries (including income of self-employed) plus employers' contributions to social security and to private pension schemes.
3. Figure for 1993.

Source: Leibfritz *et al.* (1997).

companies. Capital returns of up to Gld 5 000 under this scheme are tax exempt, as long as the investment is held for 8 years, while losses up to Gld 50 000[130] on loans under these schemes may be written off against income tax. Special tax provisions also apply to recognised venture capital funds that invest at least 70 per cent in start-up companies, allowing them to deduct losses once the value of a participation falls below original cost price. Not withstanding these special schemes designed to encourage start-ups, there are significant differences in the tax treatment of different saving instruments. These differences are most significant for the taxation of new equity, which favours debt rather than equity financing, and retained earnings rather than new equity. This may tend to lock

funds into investment projects within the same companies rather than allowing funds to be allocated to higher return investments in other companies.[131]

Reducing the costs of compliance with taxation and regulation has become a major focus of attention in the Netherlands (for a summary of the history of efforts to reduce administrative burdens on business in the Netherlands, see OECD, 1997*d*). A number of efforts have been made to estimate the costs of compliance. The most recent and comprehensive study indicates costs associated with taxes and levies amounting to almost Gld 6.2 billion or 1 per cent of GDP, in 1993 (Table 18). Compliance with labour-related regulations amounted to another Gld 1.4 billion, while compliance with business-related regulations, including environmental regulation amounted to another Gld 1.7 billion. Preparation of annual accounts were surprisingly costly, amounting to Gld 3.8 billion, but much of these costs would probably be incurred anyway, even if not required by law. These cost estimates also do not take into account the value of cash-flow benefits, nor the reduction in profit taxes because of compliance costs. Both this

Table 18. **Administrative burden on business, 1993**

Cost related to	Gld billion	% of total
Taxes and levies	**6.16**	**47.0**
Wage tax, social insurance contributions[1]	2.34	17.8
VAT, excise duties	1.94	14.8
Corporation/personal income tax, dividend tax	1.68	12.8
Municipal levies	0.20	1.5
Labour-related regulations	**1.41**	**10.8**
Sick leave, deployment of special groups	0.54	4.1
Employment contracts, worker participation	0.47	3.6
Working conditions	0.40	3.1
Business-related regulations	**5.54**	**42.3**
Annual accounts	3.83	29.2
Information supply to Central Bureau of Statistics	0.55	4.2
Import/export regulations, transport permits	0.33	2.5
Government supervision and inspections	0.32	2.4
Environmental legislation	0.30	2.3
Chamber of Commerce regulations/levies[2]	0.21	1.6
Total	**13.11**	**100**
(% of GDP)	2.0	

1. Including government supervision and audits.
2. Including regulations and levies of other public law business organisations.
Source: EIM, cited in OECD (1997*d*).

study and earlier ones found that compliance costs were regressive, falling relatively more heavily on smaller enterprises than larger ones. Moreover, Dutch micro-entrepreneurs, self-employed and start-ups, suffer from non-harmonised and sometimes tight legal definitions of entrepreneurship, which hampers a further development of entrepreneurial activities. This is especially relevant in the tax and social security systems, where different criteria and definitions are used.

The present government has embarked on a concerted strategy to reduce the undesired economic side-effects of regulation, recognising that both compliance and the excess burden of regulation are damaging and discouraging to entrepreneurial activity. A number of simplifications to administrative regulations have been implemented as part of the programme ''Towards Lower Administrative Costs''. For example, simplifications to environmental legislation mean that some 60 000 retail, trade, hotel and catering businesses will no longer have to obtain licences that cost between Gld 2 000 and 15 000 and instead must simply comply with general rules and report to the local authority, at a cost of less than Gld 50. Another simplification is that the Central Bureau of Statistics will use electronic data from accountants instead of surveying 10 000 small firms, and ''delivery and distribution points'' (DDPs) have been established to provide a single collection point for all employee-related data. More broadly, the ''business effects test'' has been developed and is applied to assess the impact on businesses of draft legislation. Major efforts to reduce tax compliance costs are also being made, building on the work of the Van Lunteren Committee.[132]

Start-ups

Starting a company entails particular challenges. The Establishment Law, which covers approximately 50 per cent of all small and medium-sized firms, forbids the establishment of a new business without a proper licence. These licences are issued by the Chamber of Commerce and require that entrepreneurs starting a business meet minimum general, and sometimes profession-specific, qualifications (see OECD, 1993 for a more detailed description). Despite significant liberalisation of this law in 1996, reducing the establishment rules from 88 to eight, the law still presents a significant hurdle that can discourage start-ups. Because of concerns about the effect on start-ups, a review of the current law will be brought forward to 1998 (from 2001). Even where a licence is not required, obtaining loan finance is likely to be extremely difficult without the

''seal of approval'' of the local Chamber of Commerce. Setting up a limited liability company (Besloten Vennootschap, BV) takes a minimum of three months and requires a minimum capital of Gld 40 000. Costs of setting up a BV are estimated at 2 500 to 4 000 guilder and include taxes levied at 1 per cent of capital (Logotech, 1997). A further discouragement to new firms is the costs of learning about their obligations when they hire workers. One-off costs for hiring the first new employee in the Netherlands were estimated at Gld 2 800 of which 80 per cent is costs associated with finding out about the employer obligations (Table 19). These costs are higher than in other OECD countries examined. Remaining labour market rigidities (discussed in Chapter III) also make it difficult for new businesses to expand.

The unemployment risk and bankruptcy legislation in the Netherlands are also likely to discourage someone planning to start a business. The ''typical'' entrepreneur in the Netherlands (as in most other countries) is a person who has worked for a number of years, usually in two or three different jobs, and is around 35 to 40 years old. Given that only 60 per cent of start-ups survive the first five years, the typical entrepreneur faces a higher probability of unemployment than if he had remained with his former employers. Furthermore, if he becomes unemployed, he will have no unemployment insurance entitlement. And if the entrepreneur goes bankrupt, he is currently liable for his debts for the rest of his life, although a bill currently before parliament would reduce the pursuit of

Table 19. **Estimated administrative expenses related to hiring employees**

Country	Estimated expenses in Dutch guilders			
	First employee		Subsequent employees	
	One-time basis	First year	One-time basis	First year
Netherlands	2 800	3 300	150	210
Germany	1 800	2 800	100	250
United Kingdom	2 100	2 400	250	300
United States	1 900	2 100	200	300
Belgium	150	650	100	600
France	600	1 500	150	200
Denmark	500	1 300	100	130
Japan	900	1 200	150	200

Source: Hulshoff *et al.* (1997).

debts to a maximum of five years, but only if strict conditions are met. After the 5-year-period, a so-called ''natuurlijke verbinding (standby-claim)'' will nevertheless remain, implying sustained liability. The personal costs of failure are very high and are likely to strongly discourage would-be entrepreneurs from taking the risk. And, unlike in the United States, a second chance is virtually impossible. Although it is difficult to quantify, cultural attitudes towards failure in the Netherlands almost certainly compound these effects.

Policies and programmes to promote entrepreneurship

Job creation through the promotion of entrepreneurship has become a high priority in Dutch economic policy, as illustrated by the policy paper ''Jobs through Enterprise'' jointly published in June 1995 by the Ministries of Economic Affairs, Social Affairs and Employment, and Finance. The paper contains a wide range of policy proposals designed to generate more jobs by increasing the scope for entrepreneurship in general, and for the start-up and expansion of new businesses in particular. The proposals aim at providing both for a healthy general economic climate (fiscal and regulatory environment) and a number of specific measures to provide an extra stimulus to entrepreneurship.

In principle, the criterion for assessing policies and measures to promote entrepreneurship is simple: do the overall benefits outweigh the costs? But in practice this can be very difficult to determine, especially where policies aim at improving economic outcomes indirectly and are expected to have a complex range of effects over a long period, for example where efforts are made to improve the entrepreneurial orientation of the education system or where economic and social development objectives are combined in one programme. It is also difficult to assess the overall effectiveness of ''entrepreneurial policies'' when they have developed as a mix of policy initiatives taken over the years, rather than designed as part of an overall strategy. And some of these policies may represent ''second-best solutions'', as measures designed to offset the distortions or shortcomings of the overall institutional framework for business discussed above.

Yet the difficulties of making accurate cost-benefit analyses are not a valid excuse for public inaction: ongoing programme evaluation is important and can lead to more cost-effective measures. For example, an important public interven-

tion in the Netherlands has been the provision of ''first line advice'' and counselling for start-ups, on the assumption that without government intervention, the market would not provide these services adequately. Such advice can be critical for giving entrepreneurs a first orientation in matters relevant to starting a business as well as dealing with a somewhat opaque administrative environment. However in the early 1990s, evaluations showed that the way these activities were carried out was not satisfactory. It was unclear to entrepreneurs what services were offered, and advice given was not well adapted to needs. Responding to this finding, the government started pilot projects, the so-called ''Enterprise Houses'', in which services of the local Chamber of Commerce, the IMK (Institutes for Small and Medium-sized Enterprises) and the IC (Innovations Centres) were redesigned and integrated at the local level. This new approach was judged more cost-effective in an evaluation in 1996, and as a result will be applied nationally from the beginning of 1998.

Beyond the ongoing need of programme evaluation, this example shows that the promotion of entrepreneurship needs to involve a wide range of actors, coming from both a national and local level. Institutions concerned may be public, semi-public or private. The challenge to policy makers is to join these different actors in effective partnerships. Experience in OECD countries suggests that achieving this integration of resources through top-down intervention by the central government alone is difficult (OECD, 1996*a*). There is a need of both top-down and bottom up policy intervention. The Dutch Ministry of Economic Affairs is following this dual approach and is seeing itself increasingly as a facilitator of initiatives undertaken by a multitude of actors.

Another important area of entrepreneurship promotion in the Netherlands is built on the interaction between social and economic policies. Integration of the two policy areas can improve their effectiveness. Therefore governments increasingly seek to substitute passive income support policies by helping people to help themselves, for example through the promotion of self-employment. An essential question is whether society as a whole gains by providing special targeted support, other than that developed for normal business entrepreneurs, to specific groups like the unemployed, ethnic minorities, etc. The Netherlands is in fact developing such special programmes, which are extending the frontiers of traditional entrepreneurship policies. Three regional pilot projects were set up in 1996 to focus services more closely on the needs of unemployed who want to re-

enter the labour market as entrepreneurs. Following the same idea, the social security system facilitates self-employment by freeing those unemployed from job-search duties up to one and a half years. Loans up to Gld 40 000 are also available to this target group.[133] Moreover a national expertise centre is being set up to promote regional counselling services to would-be entrepreneurs pertaining to specific ethnic groups. An evaluation of these programmes is presently underway and should help to improve programme design.

Entrepreneurial culture has increasingly gained attention as a potential object of policy intervention. It shapes people's willingness to take initiative and, in the long run, also influences how the institutional setting supports entrepreneurship. The question is whether government has any effective levers to facilitate the transition to a more entrepreneurial society. Education could be such a critical lever, as the government traditionally has a strong role in this area. A recent survey showed that until now Dutch students have shown little interest in starting their own business (Universum, (1997). Dutch universities and professional schools have started to offer courses on entrepreneurship, for example a four year course on small business at the *Hoger Economisch en Administratief Onderwijs* (HEAO) in Harlem. Yet often the coverage of such programmes appears to be limited to a small fraction of the population. Broader approaches including changes at lower education levels could boost entrepreneurial spirit more pervasively. To this end the Ministry of Economic Affairs is partly funding projects where students can start so-called mini-enterprises within the framework of the *Mini Onderneming* foundation.

Though such measures have a considerable time lag before results are visible, their potential influence appears to be non-negligible. At the same times these initiatives should not divert attention from the question whether there is a need for a more general overhaul of the education system to contribute better to entrepreneurship and job creation. Private educational institutions in the US have had a critical influence on the development of entrepreneurship both on a local and national level (OECD, 1997*c*). More experimentation with increasing private sector involvement in the education system could provide insight on how to make the whole Dutch education system more entrepreneurial.

How does the overall policy mix in the Netherlands contribute to entrepreneurship? The Dutch are following a strategy that combines efforts to improve the general institutional environment with specific measures targeted on new and

Box 2. **Selected policies for entrepreneurship promotion in the Netherlands**

R&D promotion

A major part of public assistance to small business is spent on R&D subsidies, based on the assumption that there exist considerable externalities, so that without government intervention there would be under-investment in R&D. Such under-spending can be more significant among small firms, as empirical research indicates that on average these businesses are reluctant to invest in basic and pre-competitive R&D because of the high financial costs and long lead times before a marketable product can be developed. The WBSO (Act to promote R&D) grants a tax reduction on labour cost of R&D staff.[1] The total budget of WBSO in 1996 was Gld 561 million, of which 60 per cent were given to enterprises with less than 250 employees. There is another programme focusing separately on research and development only, which in 1996 allocated Gld 22 million to research grants and Gld 38.5 to development loans,[2] respectively. There are no estimates at present on what the overall effects of these subsidies on enterprise growth, innovation or job creation are.[3] The emphasis in technology policy has shifted to promoting technological co-operation and the emergence of innovative clusters and networks of businesses and research institutes. The Dutch government wishes to both deepen and expand cluster policy in the coming years as a new dimension in industrial policy. A recent policy letter outlined three roles in government's fulfilment of its tasks in the field of innovative clustering: the role of creating favourable and stable conditions to enable businesses to increase their competitiveness *(framework policy)*; the role of identifying and stimulating innovative clustering by providing strategic information and by matching supply and demand *(broker policies)*; and its role as a demanding customer when providing public services *(procurement policy)*.

Financial assistance for entrepreneurship

Another sizeable measure to promote entrepreneurship in the Netherlands is the SME Credit Guarantees Decree (BBMKB). The scheme aims at giving guarantees to banks which make loans to new, small and medium-sized businesses with difficult access to bank credit under normal banking conditions, due to a lack of adequate collateral. Research in some European countries has shown that granting public credits or guarantees for bank credits can contribute to inhibiting the development of the more entrepreneurial market for external equity (informal equity investors or venture capital) (Kaufmann and Kokalj, 1996). Moreover such programmes might strengthen the culture of debt rather than developing an equity culture. An entrepreneur who can obtain subsidised debt finance without offering collateral has in most cases no interest to obtain finance from outside equity investors as these expect much higher rates of return compared with market interest rates and usually want to exercise some degree of control.

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However, one-third of the guarantees go to start-ups with an average loan size of Gld 105 000, an amount which should not be a competition for the private equity market, according to research on the average size of both informal investors' and venture capital investments in the Netherlands (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996). Also, the average size of guaranteed loans for non start-ups of Gld 225 000 does not seem to be in the range of external equity financing. Yet the maximum of the SME Credit Guaranties Decree loan is set at Gld 2 million, an amount of interest to the private equity market as well. The risk of hindering the development of a private equity market might be higher still for the Special Financing Security Fund Scheme which normally guarantees amounts between Gld 2 million and Gld 50 million. Nevertheless, as the costs of the Decree are low, about 12 million guilders a year, compared with the outstanding guarantees of about 825 million guilders a year (projects rarely fail), it is debatable whether the projects under guarantee are really risky projects, and whether the Decree effectively puts more risk capital into the market-place.

In order to promote the market for informal capital the government created a special tax allowance for investment in starting enterprises, the so-called ''Aunt Agatha'' scheme. Within this scheme losses of up to Gld 50 000 can be written off against income tax. In addition Gld 5 000 in interest received on loans to enterprises is tax-exempt for 8 years. This scheme was at first intended to activate family capital. Now plans are under discussion to enlarge the scheme to the whole range of informal investors, including intermediated informal funds. Such schemes to promote the capital market beyond the traditional financial intermediaries can contribute to a more entrepreneurial climate. Yet again it needs to be ensured that such measures do not privilege debt at the expense of equity capital.

Local enterprise promotion

The Netherlands has a well-established system of information and advisory services for small and medium-sized enterprises. This system is aimed at stimulating innovation. The Dutch approach is to implement and partly finance these services at the local and regional level. Moreover a number of non-governmental institutions are involved in order to be close to the practical concerns of businesses (Chamber of Commerce, institutes for Small and Medium-sized Enterprises, Innovation Centres, etc.). The annual budget of the network will be about Gld 60 million in the coming years. A related new programme is aimed at assisting new and expanding enterprises with a coach who provides relevant advice and information.

Another interesting approach to entrepreneurship promotion at the local level has been the development of science parks in the Netherlands. A considerable number of enterprises in these parks are spin-offs from university research and start-ups or relocated firms coming from nearby areas (EIM/International, 1995). The resulting local concentra-

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tion of enterprises is intended to influence their innovative capabilities. Some of the parks seek to improve the entrepreneurial environment through a range of local services. For example the Technical University of Twente has developed a network of support, including a business incubator, a programme for start-ups, a programme to stimulate technology transfer, and a network of high-tech enterprises around its Business and Science Park (Table 20).

Table 20. **Science parks in the Netherlands**

Location	Year started	Area (Ha)	Number of establishments	Number of jobs (August 1994)	Jobs per establishment (August 1993)
Nijmegen	1989	1.5	25	100	4.0
Wageningen	1989	5.5	39	400	10.0
Amsterdam	1991	20.0	20	150	7.5
Leyden	1984	30.0	25	640	25.6
Enschede (Twente)	1981	18.5	106	1 115	10.5
Groningen	1988	6.0	51	460	9.0
Delft	1992	30.0	15	27	1.8

Source: Bartels and Wolff (1993).

Regional policy is an area which has a considerable influence on the entrepreneurial environment in a number of OECD countries. Instruments used in the Netherlands are investment grants, regional development corporations, regional programmes, the EFRO (European Fund for Regional Development) and the business environment instrument. These resources amounted to about Gld 380 million yearly in the first half of the nineties. A large part of these funds nevertheless is aimed at rather large projects as for example new large industrial premises, modern office parks for international companies or the construction of high speed railroad lines, etc. The contribution of these regional policy tools to entrepreneurship development appears therefore to be rather limited in the case of the Netherlands.

1. The R&D rebate amounts to 40 per cent for the first Gld 150 000 of total labour cost for R&D staff and 12.5 per cent in excess of this amount. Special deductions also exists for self-employed spending more than 625 hours a year on R&D.
2. Non repayable in the case of project failure.
3. Although a number of evaluations have been undertaken, no clear findings on the impact of measures could be reached. This is mainly due to problems related to measuring the complex potential impacts of the programmes (OECD, 1997*b*).

growing enterprises. Improving the general business environment should help entrepreneurial activity to flourish, although quantifying the relationship is difficult. Targeting specific measures on new and growing enterprises can be expected to do more to promote entrepreneurship and generate less dead-weight losses than if subsidies were given to all small and medium-sized enterprises. Yet there is need for ongoing evaluation to ensure the most appropriate allocation of government resources even amongst targeted programmes. Some of the spending choices are not self-evident to the outside observer, and no studies have been undertaken on the relative costs and benefits of all the different programmes to identify those which offer the best value for money. Furthermore, the present emphasis on promoting high-technology may be misplaced, since evidence in the United States and elsewhere shows that entrepreneurship, innovation and job creation do not exclusively emanate from SMEs in high-tech areas, but occur also in low-tech sectors such as retailing and other services. Therefore, an entrepreneurship promotion policy focusing on particular sectors or high technology can miss out important areas for innovation and job creation.

Notes

1. Defined as mortgages with a principal sum of less than Gld 50 000 and used as a proxy for second mortgages, for which data is not readily available.
2. Excluding net contributions (actual and imputed) to life insurance and pension schemes. The imputed contribution is the net investment income of life insurance and pension schemes.
3. Recently, trade unions and employers' organisations have agreed to pursue a policy of wage moderation until 2002.
4. Since 1990, employers pay the so-called compensation allowance to employees in exchange for a shift in some employers' social security contributions (exceptional medical expenses and disability) to employees.
5. A major exception was the metal and electro-technical industry, where employers fiercely resisted a shortening of working hours, and trade unions finally accepted a higher pay rise (5 per cent over 2 years).
6. In 1996, already 6 per cent of employees had moved to a funded early retirement scheme which could increase to 70 per cent in the coming 5 years. Owing to the switch to funded schemes, older workers tend to stay longer in the labour force as the benefits in the funded schemes are appreciably lower for them than they used to be in the VUT system. Unlike the previous VUT schemes, the costs of early retirement in the funded schemes are no longer partly shifted to younger generations.
7. However, many wage contracts stipulate that the use of these new wage scales should be followed by a promotion to a higher wage scale within one or two years.
8. The construction industry remains an outlier with a sectoral minimum wage scale exceeding the legal minimum wage by 26 per cent.
9. Also harmonised inflation – *i.e.* an index based on a similar basket for all EU countries – increased in line with the acceleration in consumer prices. However, although relatively high compared to other EU countries, the harmonised rate is still well below the reference value of the Maastricht treaty – *i.e.* the average of the three countries with lowest inflation plus 1 percentage point.
10. Gas revenues were around 6 per cent of GDP in the early 1980s.
11. In the early 1980s, public spending (excluding interest payments) exceeded 60 per cent of GDP – compared with an EU average of a little over 45 per cent and an OECD average of less than 40 per cent – the tax burden – *i.e.* the ratio of taxes and social security contributions to GDP – exceeded 45 per cent of GDP and the public sector deficit 6½ per cent of GDP.

12. This was not surprising, given the specialisation of the Netherlands in products that are less sensitive to cyclical variations – notably agricultural products and food.

13. But comparisons with the EU average are affected by the historical catching-up of the less advanced member countries. Hence, it may be more appropriate to consider the ranking of the Netherlands among EU countries in terms of per capita GDP. On this basis, the Netherlands was in the fifth place in 1970, it fell to the eleventh place in 1988, and rebounded to the sixth place in 1997.

14. The general government deficit, public spending (excluding net interest payments) and the tax burden were 2.3, 46.9 and 44.5 per cent of GDP, respectively, in 1996, compared with 1.4, 40.5 and 37.7 per cent of GDP, respectively, in 1970.

15. While broad unemployment may provide useful additional information on the degree of slack in the Dutch labour market, it is not an entirely satisfactory concept. On the one hand, it may overstate labour market slack since it includes all persons receiving a disability benefit; on the other hand, it may understate it since it does not include involuntary part-time work and discouraged workers – *i.e.* workers who either leave the labour force in the face of poor job prospects or decide not to enter it.

16. Ministry of Social Affairs and Employment (1997).

17. Defined as total employment (in full-time equivalents) as a per cent of the working-age population (15-64).

18. Previous governments had attempted to address the economic slowdown through expansionary policies and employment creation in the public sector.

19. Wage moderation had been the main focus of economic policy in the post-war period, until the wage explosion of the 1970s.

20. This agreement was reached in November 1982 and was named after the small village near The Hague where employers and unions met.

21. Including, after six months, the accumulation of pension rights.

22. The share of income of households in the bottom quintile has dropped markedly, from 7.7 per cent in 1985 to 6.4 per cent in 1994. The share of income of the top quintile has risen from 37.1 per cent to 38.2 per cent (Trimp, 1996).

23. The inflow of people with flexible contracts (on-call workers, temporary workers and fixed-term contracts) into permanent jobs seems to be relatively high.

24. In the Netherlands, however, the overall result is the average of two fairly distinct groups: permanent contracts, with a high job tenure; and fixed-term contracts with a low job tenure. On the other hand, there is not much difference in job mobility between full-time workers and part-time workers.

25. This exchange rate regime has been in force since February 1983 when the guilder was devaluated by 2 per cent *vis-à-vis* the Deutschemark within the European Monetary System.

26. The appreciation of the guilder in effective terms has been significantly smaller than that of the Deutschemark – 19 per cent compared with 25 per cent over the 1983-97 period. This has been due, primarily, to the fact that trade between the two countries is a much larger proportion of total trade in the Netherlands than in Germany.

27. It must be noted that by 1983 the Netherlands had already more than offset its loss of international competitiveness recorded in the 1970s.
28. These points were discussed in OECD (1996*d*), Chapter IV.
29. The ratio of taxes and social security contributions to GDP.
30. Rates on 10 year government bonds adjusted for the increase in the GDP deflator.
31. Real short-term interest rates are currently less than 1½ per cent, compared with a 1988-96 average of nearly 5 per cent.
32. This depreciation in effective terms has also reflected the fact that, over the last year or so, the guilder – along with the Deutschemark – has moved from the top to near the bottom of the ERM band.
33. This is especially true for M1, which grew by 9.4 per cent (at an annual rate) in the second quarter of 1997.
34. According to the Linkage Law (WKA), the legal minimum wage and social security benefits are fully linked to the increase in contractual wages in the private and the public sector if the dependency ratio – i.e. the ratio of full-time equivalents receiving social security benefits to full-time equivalents employed persons – is below the reference level of 0.83. The 1994 Coalition Agreement included a nominal freeze on the minimum wage, social security benefits and child benefits in 1995, and a 50 per cent indexation on average for the period 1996-1998.
35. The Betuwe railway is a (planned) freight line from Rotterdam to Germany.
36. Contributions to the general social funds are included in the first income bracket.
37. The progressive reduction of the higher company tax rate for small profits since 1996 makes this an increasingly attractive option (see Chapter V).
38. On the basis of an interim verdict, the Dutch State received directly and indirectly Gld 2 billion from the German company Brigitta for gas exploitation from the Ems-Dollard field, the so-called Common Area. A further payment of Gld 0.8 billion was received in 1997.
39. However, the sectoral unemployment funds that cover the first 13 weeks of unemployment have substantial surpluses. Some of these funds have returned part of the surpluses to employers and employees before the management of the funds was taken over by the LISV after the liquidation of the industrial insurance boards (see Chapter IV).
40. According to the MIMIC model, a reduction in the rate of the first tax bracket (which includes social security contributions) by 0.6 percentage point (0.2 per cent of GDP), will lower the wage rate by about 0.6 per cent (Gelauff and Graafland, 1994).
41. Part of the deficit reduction (Gld 1.5 billion) will be credited to the recently created investment fund for the general pension scheme, the so-called AOW savings fund. Moreover, the authorities will credit the Fund for Economic Structure (FES) with Gld 0.5 billion a year, starting in 1998.
42. The dependency ratio has been below the reference level of 0.83 since 1996 and, according to the Netherlands Bureau of Economic Policy Analysis, is expected to decline to 0.76 per cent in 1998.
43. A freight railway from Rotterdam to Germany.

44. The assumption of constant tax rates entails a decline in the collective burden as a per cent of GDP by 0.4 of a percentage point a year.

45. See OECD (1996*d*), Chapter III and Box 1.

46. Reform of the unemployment compensation schemes and of the welfare system in general is discussed in detail in Chapter IV. An overview of progress in structural reform in a summary form is presented in Box 1.

47. Samenwerking Werk en Inkomen.

48. An exception is possible only under special conditions.

49. See OECD (1996), Chapter IV.

50. Circumstances in which people are discouraged from exchanging social security benefits for work because the net financial gain is small or negative.

51. ''Dead-weight losses'' arise when people who take jobs with a subsidy would have taken them even without one.

52. Circumstances in which people are discouraged from seeking better paying jobs because the net financial gain is small or negative.

53. Including public expenditure on health and on old-age cash benefits.

54. This last point is not a trivial one, since recently released data show that administrative costs increased by almost 30 per cent over the period 1990-96, largely as a result of the increase in the number of beneficiaries (especially in the unemployment scheme), the rise in wages and prices in general, and the implementation of new legislation and policy changes, for instance in the field of rehabilitation of disabled persons and labour market participation of unemployed persons. (Data produced by the CTSV (College van Toezicht Sociale Verzekeringen) in November 1996.)

55. Landelijk Instituut Sociale Verzekeringen (National Institute of Social Insurance).

56. Uitvoeringsinstellingen (Administration Offices).

57. A Parliamentary commission named after its chairman.

58. Another way of putting it is to say that the system has largely maintained its generosity in terms of the level of benefits but not in terms of accessibility, which has been tightened.

59. These are benefits that the government may mandate employers to pay, such as income support during the first weeks of sickness absence.

60. See especially OECD (1992), Chapter III.

61. This interpretation of the role of the disability scheme was confirmed in the early 1990s by the Buurmeijer Commission, which noted that the ''extended use'' of the disability scheme to limit unemployment was tolerated by the authorities until 1987. Estimates of the ''hidden unemployment'' component in the number of disabled persons has varied greatly, from a little over 10 per cent to around 50 per cent (see OECD, 1992, pp. 63-64).

62. An employer hiring or retaining a disabled person was entitled to a bonus representing six months of salary. In the case of an employee being declared disabled, the employer was obliged to pay a penalty to the disability scheme, which was initially also set at six months of salary of the disabled person.

63. Industrial Boards took over the responsibility of paying sickness benefits to formerly disabled workers.

64. The Netherlands is virtually the only OECD country without a formal distinction between ''professional risk'' and ''social risk'' in the disability area. ''Professional risk'' concerns disability caused by industrial or occupational accidents or diseases. ''Social risk'' concerns disability from other causes.

65. According to the Netherlands Bureau of Economic Policy Analysis (1994), the average replacement rate only declined from 75 to 73 per cent in the private sector but it fell from 76 to 70 per cent in the public sector.

66. Persons younger than 45 in August 1993 have been re-examined according to the new disability criteria and the following schedule:

Age	Period of re-examination
18-34	1/4/1993 – 31/12/1994
35-40	1/2/1995 – 31/12/1995
41-44	1/2/1996 – 31/12/1996

Persons between 45 and 50 are to be re-examined in the period 2/5/1997 – 1/1/2002, subject to the old disability criteria. Persons older than 50 (at 1/8/1993) are not being re-examined.

67. The law does not prescribe that employers who choose to pay the first five years of disability benefits themselves must contract a formal private insurance. But according to the law, these employers must present a guarantee by a bank or a private insurance company that the benefits will be paid, even if the enterprise goes bankrupt or ceases to exist.

68. Small enterprises will have to pay the maximum contribution rate even if only one employee is declared disabled.

69. According to the authorities, in the unlikely case that only the enterprises with extremely high disability rates remain in the public system, the average contribution rate in the public system will be limited. For instance, it could be decided that the level of the average contribution rate may not exceed the WAO basic rate, with – if needed – the latter ''subsidising'' the former. This would be possible since, as noted, enterprises taking a private insurance will still have to pay the WAO basic rate.

70. At least in terms of public spending. Including mandatory private sickness benefits the picture may change significantly. For instance, in the case of Germany, it has been estimated that gross mandatory sickness benefits represented some 1.6 per cent of GDP in 1993, which combined with public payments gives a total of around 2 per cent of GDP (Adema *et al.*).

71. People resume work within 2 (6) weeks in 80 (92) per cent of sickness cases.

72. But the 1993 figure was affected by a flu epidemic.

73. The public sickness insurance scheme remains in place for employees of failed companies, sick unemployed, temporary staff and women on maternity leave and is administered by the Unemployment Insurance (WW).

74. The use of an OHS service is mandatory for drafting a risk analysis, the sick leave policy, the voluntary medical examinations and medical consultations.

75. Ministry of Social Affairs and Employment (1996), Chapter IV.

76. According to this study, the majority of employers actually made less use of sickness as a selection criterion for recruitment in 1996. IVA/Astri (1997).

77. The Van Boxtel Act also regulates medical examinations for life and disability insurance.

78. Finally, since employers have no longer any incentive to report sickness cases to the relevant public sector bodies, administrative data on sick-leave are no longer available. Only survey-based data are available.

79. The benefit period is divided into two stages: an initial wage-related benefit at 70 per cent of the last-earned wage, followed by an extended benefit at 70 per cent of the minimum wage. However, only 75 per cent of persons becoming unemployed are entitled to a wage-related benefit. The others (who do not fulfil all the eligibility criteria) get 70 per cent of the minimum wage for six months. The duration of the wage-related benefit varies between 6 months and 5 years, depending on the employment record; the maximum duration of the extended benefit period is 2 years (3 years for people who are older than 57½ years when becoming unemployed).

80. Registered unemployment is the most commonly used unemployment measure in the Netherlands. It comprises all persons of 16-64 years of age who are registered at an employment office and who:

– work fewer than 12 hours per week; and

– are available for paid work for at least 12 hours per week.

81. Before 1981, an employment record of only 65 days in the year before becoming unemployed was required for an income-related benefit. Since 1995, people must have worked during 4 years out of 5 for at least 52 days a year, plus 26 weeks out of 39 before becoming unemployed. People who fall short of the 4-year requirement receive a benefit of only 70 per cent of the minimum wage for 6 months.

82. People who become unemployed at the age of 50 can receive an unemployment insurance benefit followed by an income-tested benefit at the minimum wage level (IOAW) until the retirement age of 65, while unemployed persons over 57½ years of age can receive an unemployment insurance benefit until retirement.

83. Wet boeten, maatregelen en terug- en invordering sociale zekerheid.

84. However, in the case of a recent restructuring of Royal Dutch Shell, the company proposed compensation to their redundant workers which was accepted without a supplementary unemployment benefit.

85. According to Topel (1983), this decline has been in the order of 30 per cent of temporary unemployment.

86. This measure could reduce the deficit in the General Unemployment Fund if payments start after 26 weeks of unemployment (see also Chapter II).

87. In addition to the nABW scheme, social assistance also includes the Scheme for Older Unemployed and Partially Disabled Persons (IOAW), the Scheme for Former Self-Employed (IOAZ) and a scheme (TW) providing supplementary assistance to persons receiving unemployment insurance (WW) or a disability benefit (WAO) if their income falls below the minimum guaranteed level. Until 1996, the ABW made a distinction between

benefit recipients who were unemployed employees (RWW) and other recipients, but the nABW no longer makes this distinction.

88. Special assistance is an emergency provision for situations where a person cannot provide for incidental, but necessary expenditure. In principle, not only assistance recipients but all people on low income are eligible for special assistance.

89. The funding of the Municipal Fund is linked to central government expenditure. The allocation of Fund expenditures between the municipalities is based on geographic, demographic and social-economic factors.

90. This figure, as noted, includes unemployed people no longer entitled to unemployment insurance (WW) who, in Table 4, are included in ''unemployment schemes''.

91. Persons older than 57½ years and single parents with children younger than 12 years were exempted from looking for work under the old ABW law. Under the new law, as discussed below, only single parents with children younger than 5 years are exempted from active job search.

92. Algemene Rekenkamer (1993).

93. Ministry of Social Affairs and Employment (1993), p. 77.

94. A research committee, chaired by Dr. Van der Zwan, estimated fraud to be present in more than 25 per cent of the number of benefits (Ministry of Social Affairs and Employment, 1993 p. 95). Of the more than 3 000 files investigated by the committee, hardly any of them were found to be entirely in accordance with the law.

95. The central government has added Gld 25 million a year to the Municipal Fund to meet increased administration costs.

96. Interdepartementaal Beleidsonderzoek Financieringssysteem van de Algemene Bijstandswet (1996).

97. For a fuller description and assessment of these programmes see OECD (1996).

98. This is the gross cost of the programme. The net cost, i.e. after allowing for the saving in social assistance, has been estimated by the government at Gld 0.8 billion.

99. In 79 municipalities with more than 1 000 persons receiving social security benefits.

100. For instance by the Dutch Audit Office in a report that evaluates subsidised labour in the Netherlands (*Algemene Rekenkamer*, 1996).

101. The WIW test on crowding out has been based on the tests used in the ''labour pools'' and the Youth Work Guarantee Act, but it has tried to combine these two tests which were somewhat different.

102. Micro-enterprises (0-9 employees) and small enterprises (10-99 employees) accounted for 22 per cent of employment each, while medium-sized enterprises (100-499 employees) accounted for the remaining 13 per cent.

103. For a discussion of some of these difficulties and a careful assessment of the data for the Netherlands, see Kleiweg and Nieuwenhuijsen (1996).

104. However, about 20 per cent of starters and new subsidiaries close within 1½ years and about 50 per cent of the them before 5 years.

105. ‘‘Fast-growing firms’’ are firms that existed over the whole period 1990-1994 and showed relatively high employment growth. The classification depends on the size of the firm: a firm with 10 employees is called ‘‘fast-growing’’ if employment increases by more than 13 per cent while for firms with 10 000 employees, 4 per cent employment growth is sufficient. According to this definition, fast-growing firms make up 8 per cent of all existing firms.

106. Between 1987 and 1993, the number of new enterprises created by ‘‘new’’ entrepreneurs grew by around 6 per cent per year on average, while new establishments created by existing enterprises grew on average by 14.5 per cent per year (de Lind van Wijngaarden, 1995).

107. Rural communities are defined as those communities with population density below 150 inhabitants/km2 (see OECD 1996*b*).

108. Metropolitan area in the western part of the Netherlands.

109. To some extent, this may reflect the BBMKB scheme described under programmes and policies below.

110. Even in the short term, availability and/or cost of finance was a main constraint for only 18 per cent of respondents, compared with an EU average of 52 per cent (see Grant Thornton International Business Strategies Ltd, 1997).

111. The difference between the level of taxation on retained and distributed profits was 32 per cent in 1991.

112. See OECD (1996*d*) for a more detailed discussion of these issues.

113. Some commentators attribute the development of the venture capital industry in the Netherlands in part to the favourable tax regime during the 1980s (EVCA, 1997).

114. This has been reported as a problem for informal investors, where there is limited experience of how to ‘‘close the deal’’ (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996). It may also reflect a legal framework that is insufficiently flexible to allow innovative arrangements to be developed. On one analysis, countries which followed the civil law tradition, including the Netherlands, provided weak investor protection and as a result, had under-developed venture capital markets compared with countries with a common law approach (La Porta *et al.*, 1997).

115. This scheme is described in detail in OECD/GD(96)168.

116. Unlike in the United States, where institutional investors, particularly pension funds, are now the major sources of venture capital funding, pension funds and insurance companies together provided less than 20 per cent of venture capital raised in the Netherlands.

117. This is in marked contrast to the venture capital investment strategies adopted in the United States, where venture capitalists expect that only one in ten investments will be highly successful, but the returns on that venture will more than offset the failures. Another two or three projects out of 10 will generate a modest return, and the remaining 60-70 per cent of projects will be failures. In the Netherlands, only around 30 per cent of total investments fail completely.

118. Although including all types of venture capital investments, realised returns on venture capital portfolios over 1986 to 1994 were estimated to average 12 per cent (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996).

119. The main appeal of listing on NASDAQ seems to be the increased liquidity and higher profile of that market, compared with European markets.

120. Informal investors also attach a low weighting to limited exit opportunities when considering problems in the investment process (see K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996).

121. International comparisons are difficult, but in the United States the informal investor market is estimated to be at least twice the size of the formal venture capital market.

122. Roughly half of these syndicates are formed on an ad-hoc basis and the rest comprise more or less permanent membership.

123. Although 16 per cent of all deals are ''turn-arounds'' – financing of existing businesses in trouble – to assist them in reorganisation to restore profitability.

124. Assuming the average informal investment is held for five to six years before being realised (K+V Organisatie Adviesbureau bv and Entrepreneurial Holding bv, 1996).

125. It should be noted, however, that patent legislation differs between countries, and patent statistics can therefore only be taken as a broad indicator of innovation. The methodological issues are discussed in OECD (1994).

126. A recent unpublished study by the Ministry of Economic Affairs found that in one sample of inventors, only one in every four inventions was actually patented.

127. From the beginning of 1998, all corporate profits will be taxed at 35 per cent.

128. Under corporate tax, losses can be carried backwards for 3 years and forwards indefinitely, whereas under income tax, such carry backwards and forwards of losses are not generally permitted. For investors this difference in tax treatment matters, because investment losses are not generally deductible. It has been argued that this discourages informal investment, especially because even when the business has failed, the investment cannot be written off for tax purposes until the winding up procedures have been completed, which may be a long time after the actual losses have been incurred.

129. For profits of less than Gld 100 000, an enterprise will be taxed more if incorporated than if unincorporated. For profits more than Gld 150 000 the tax liability will be lower if incorporated.

130. In comparison, more than half of all Dutch start-ups start with less than 25 000 guilders (de Lind van Wijngaarden, 1995).

131. This bias is compounded by the imposition of a capital tax levy of 1 per cent on companies' new equity issues.

132. The Van Lunteren Committee, comprising specialists from government and business, was set up in Autumn 1994 by the State Secretary of Finance and was charged with presenting proposals for reducing administrative costs within the tax administration (OECD, 1997*d*).

133. The interest rate for these loans is 7 per cent.

List of acronyms

AAW	General Disability Act
ABW	Social Assistance Scheme
AMBER	Abolition of the Malus and Promotion of Reintegration of Disabled Persons Act
AEX	Amsterdam Stock Exchange
AOW	General Pension Scheme
BBMKB	Credit Guarantees Decree for Small and Medium Enterprises
BV	Limited Liability Company
CAO	Collective Labour Agreement
CPI	Consumer Price Index
CTSV	Supervisory Board for Social Insurance
EASDAQ	European Association of Security Dealers Automatic Quotation
EFRO	European Fund for Regional Development
EMS	European Monetary System
EMU	European Monetary Union
EU	European Union
FCI	Financial Conditions Indicator
FES	Fund Economic Structure
GSD	Municipal Social Services
HEAO	Higher Economic and Administrative Education
HERP	Higher Education and Research Plan
IC	Innovation Centres
IMK	Institute for Small and Medium Enterprises
IOAW	Social Assistance Scheme for Older Unemployed and Partially Disabled Persons
IOAZ	Social Assistance Scheme for Former Self-Employed
IPO	Initial Public Offering
JWG	Youth Work Guarantee Law
LISV	National Institute for Social Insurance
MBO	Secondary Vocational Education
METRs	Marginal Effective Tax Rates
nABW	New Social Assistance Scheme (1996)
NASDAQ	National Association of Security Dealers Automatic Quotation
NAWRU	Unemployment rate consistent with the non-accelerating wage rate
NMAX	New Market Amsterdam
OHS	Occupational Health and Safety
OSV	Social Insurance Organisation Act
PEMBA	Law on Premium Differentiation and Competition in the Disability Insurance Scheme
PES	Public Employment Service

PPI	Producer Price Index
R&D	Research and Development
ROC	Regional Training Centres
RWW	Social Assistance Scheme for Unemployed
SER	Social Economic Council
SME	Small and Medium Enterprises
SWI	Co-operation Work and Income
TAV	Reduction of the Number of Disability Claimants Act
TBA	Restriction of Claims on the Disability Benefit Regulations Act
TW	Supplementary Assistance Scheme
UVI	Administration Office for Employees' Social Security Insurance
VAT	Value Added Tax
VUT	Early Retirement Scheme (Pay-as-you-go system)
WAO	Disability Act for Employees
WBSO	Act to Promote Research and Development
WIW	Job Seekers Employment Act
WKA	Law on the indexation of the legal minimum wages and social benefits
WW	Unemployment Insurance Scheme
WWV	Unemployment Provisions Act

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Annex

Calendar of main economic events

1996

March

The administration of the employees' social security schemes (unemployment, sickness, and disability) is completely revised as a new Social Insurance Organisation Act (OSV) comes into force. The implementation of the social security laws is entrusted to the LISV, a tripartite national public body, which contracts out the actual implementation to private organisations (UVIs, see Chapter IV).

The public sickness benefit scheme is abolished and employers have to continue to pay wages for their sick employees for up to a year (Chapter IV).

April

The government reaches agreement with the coalition parties on a revision of the disability scheme, including premium differentiation and the possibility to temporarily opting-out of the public scheme (Chapter IV).

May

The government approves the new track for the High Speed Rail link with Belgium.

June

A new shopping hours law comes into force, allowing shops to open from 6 a.m. to 10 p.m. from Monday to Saturday, with Sunday trading permitted 12 times a year.

July

According to an interim verdict, the German company Brigitta has to pay Gld 3.75 billion to the Nederlandse Aardolie Maatschappij for natural gas deliveries from the Ems-Dollard region. The Dutch State is expected to receive around Gld 2.75 billion from this settlement.

The new Survivors Law comes into force, introducing a means test in the scheme and tightening eligibility criteria.

August

A new law on administrative penalties in the social security comes into force, banning unemployment benefits in cases of voluntary unemployment (Chapter IV).

September

The 1997 Budget is presented to Parliament. Government expenditure remains within the ceilings of the Coalition Agreement. The special reduction in employers' social security contributions for low wage earners will be increased. Social security contributions will rise, but this will be offset by lower direct taxes. The general government deficit is projected to decrease to 2.3 per cent while the debt-to-GDP ratio is expected to decline to less than 76 per cent (Chapter II).

December

The government reduces its share in KLM to 25 per cent by selling its assets back to the company.

The Ministry of Finance announces that it will reduce its account with the Netherlands Bank to around Gld 50 million from Gld 13 billion. The Ministry will use short-term treasury paper (Dutch Treasury Certificates, DTCs) to stabilise the account and has agreed with the Netherlands Bank to increase the maximum amount of outstanding DTCs from Gld 15 billion to Gld 30 billion.

1997

January

The Netherlands Bank announces that it has sold 300 tonnes of gold, representing over one-fifth of its gold reserve, to bring the composition of the official reserve more in line with that in other EU countries. The receipts from the sale (Gld 6.4 billion) have been added to the Bank's foreign exchange reserves.

February

Swine fever breaks out in North Brabant and spreads rapidly. The transport of pigs is forbidden in large areas and pigs at infected farms are slaughtered.

April

Trade unions and the government conclude a new wage agreement for state civil servants. Wages are increased by 2.8 per cent and 2.4 per cent in 1997 and 1998, respectively.

Trade Unions and employers' organisations agree to promote the employability of older employees in collective labour agreements.

May

The government withdraws a proposal to Parliament to allow long-term unemployed to work below the minimum wage.

The Netherlands Bank changes some money market instruments as part of the preparation for EMU:

All credit institutions must maintain a compulsory cash reserve at the Bank. Contrary to the present cash reserve arrangement, which provides for a fixed volume of reserve holdings over a certain period, the new arrangement provides for a cash reserve whose average amount is set in advance for a period of four or five weeks. This averaging provision exerts a stabilising influence on market rates. The compulsory reserves to be held at the Bank continue to be remunerated.

A marginal refinancing facility with overnight maturity will be introduced.

The advance facility will have a fixed size and fixed maturity.

June

The Study Group on the Budget Margin advises the government to continue the current budget policy – based on a strict real expenditure norm and a cautious growth scenario – in the period 1999-2002. The general government deficit should be reduced to 1 per cent of GDP by the end of this period.

Parliament agrees to continue experiments with a ''one-counter system'' in the social security administration. The aim is that by 2001 all PES, municipal social services and administration offices share a single front office.

July

Dr. W.F. Duisenberg resigns as President of the Netherlands Bank to become head of the European Monetary Institute. He is succeeded by Dr. A.H.E.M. Wellink.

August

Wages for municipal civil servants are increased by 3 per cent from June 1997 and 2.25 per cent from April 1998 following the conclusion of a new labour agreement.

The Minister for Transport and Communications announces measures to limit night flights at Schiphol Airport.

September

The 1998 Budget is presented to Parliament. Government expenditure remains just within the ceilings of the Coalition Agreement. Taxes and social security contributions will be lowered by Gld 4 billion. The general government deficit is projected to decrease to 1.8 per cent of GDP while the debt-to-GDP ratio is expected to decline to 70 per cent (Chapter II).

November

ING Bank acquires the Belgian bank BBL.

In the aftermath of the swine fever epidemic, the Minister for Agriculture and Fisheries is seeking to reduce the national pig herd by 25 per cent by the year 2000. The proposed measures include a buy-out scheme for pig farmers and financial incentives to encourage farmers to adopt methods which reduce the risk of new epidemics.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1988-96	1988	1989	1990	1991	1992	1993	1994	1995[1]	1996[1]
A. Per cent changes from previous year										
Private consumption[2]	2.7	0.8	3.5	4.2	3.1	2.5	1.0	2.2	1.8	3.0
Gross fixed capital formation[2]	2.2	4.5	4.9	1.6	0.2	0.6	–2.8	2.2	5.0	6.1
Public[2]	3.1	5.1	0.5	6.7	2.4	7.4	–1.1	2.8	2.7	3.8
Residential[2]	0.7	11.3	0.7	–2.5	–5.4	6.4	–0.3	6.2	0.9	0.1
Business[2]	2.6	1.6	7.8	2.3	2.0	–3.0	–4.2	0.3	7.4	9.2
GDP[2]	2.8	2.6	4.7	4.1	2.3	2.0	0.8	3.2	2.3	3.3
Implicit price deflator:										
GDP	2.0	1.2	1.2	2.3	2.7	2.3	1.9	2.3	1.6	1.3
Private consumption	2.2	0.5	1.2	2.2	3.2	3.1	2.1	2.8	1.5	1.3
Exports of goods and services	0.2	0.5	4.5	–0.8	0.1	–2.2	–2.1	0.5	1.1	0.6
Imports of goods and services	0.2	–0.4	4.8	–1.3	0.4	–1.4	–2.3	0.1	0.9	0.7
Industrial production	1.9	5.1	4.0	4.0	0.4	–0.6	–1.5	5.0	2.3	2.0
Employment (in persons)	1.8	2.3	1.8	3.0	2.6	1.6	0.7	–0.1	2.4	2.0
Employment (in full-time equivalents)	1.2	1.6	1.9	2.3	1.3	1.0	–0.1	–0.3	1.4	1.8
Compensation of employees (total economy)	4.1	2.7	2.9	5.9	6.0	5.8	2.8	1.9	3.6	3.7
Productivity (GDP[2]/employment in full-time equivalent)	1.6	1.0	2.7	1.7	0.9	1.0	0.9	3.6	0.8	1.4
Unit labour costs (comp. of employees/GDP[2])	1.2	0.0	–1.7	1.7	3.7	3.7	2.1	–1.2	1.3	0.4
B. Percentage ratios										
Gross fixed capital formation as % of GDP[2]	20.4	21.4	21.4	20.9	20.5	20.2	19.5	19.3	19.8	20.4
Stockbuilding as % of GDP[2]	0.4	0.0	1.1	1.3	0.9	0.5	–0.8	0.2	0.0	0.2
Foreign balance as % of GDP[2]	5.9	4.0	4.0	4.6	5.0	5.5	7.3	7.5	7.8	7.5
Compensation of employees as % of GDP (at current prices)	52.1	53.7	52.1	51.8	52.3	53.0	53.1	51.2	51.1	50.6
Direct taxes as % of household income	11.8	11.1	11.1	12.5	13.8	13.0	13.6	11.1	10.2	9.8
Social security contributions as % of household income	19.5	21.3	19.9	17.8	18.7	19.0	19.0	20.0	20.2	19.4
Household saving as % of disposable income	2.1	2.2	4.0	5.8	1.1	2.3	0.8	1.0	0.8	1.2
Unemployment as % of labour force	6.6	7.8	6.9	6.0	5.5	5.4	6.5	7.6	7.1	6.7
C. Other indicator										
Current balance (billion dollars)	13.0	7.1	10.0	9.2	7.7	7.4	13.6	18.0	23.6	20.5

1. Provisional figures.
2. At constant 1990 prices.

Source: OECD Secretariat.

Table B. **National product and expenditure**

1. Million guilder, current prices

	1988	1989	1990	1991	1992	1993	1994	1995[1]	1996[1]
Private final consumption expenditure	271 640	284 490	303 100	322 460	340 920	351 720	369 450	381 670	398 470
Government final consumption expenditure	70 470	72 040	75 080	78 600	83 010	86 210	88 030	91 540	93 700
Gross fixed capital formation	97 390	104 080	107 940	110 460	113 320	111 620	115 210	122 140	131 430
Private	85 180	91 546	94 242	96 079	97 580	95 830	98 780	105 080	113 480
Government	12 210	12 534	13 698	14 381	15 740	15 790	16 430	17 060	17 950
Increase in stocks	310	5 430	6 520	5 350	3 140	–3 770	2 310	30	1 350
National expenditure	439 810	466 040	492 640	516 870	540 390	545 780	575 000	595 380	624 950
Exports of goods and services	240 250	267 670	279 740	293 090	294 880	293 180	314 440	340 490	358 260
less: Imports of goods and services	222 380	248 760	255 830	267 390	269 170	257 500	275 170	297 490	315 570
Gross domestic product at market prices	457 680	484 950	516 550	542 570	566 100	581 460	614 270	638 380	667 640
less: Net indirect taxes	41 710	43 630	47 990	49 660	53 990	57 560	62 780	69 600	75 780
Net income from the rest of the world	–3 500	–200	–910	–940	–2 250	–600	1 740	560	5 110
Gross national product at factor cost	412 470	441 120	467 650	491 970	509 860	523 300	553 230	569 340	596 970
less: Depreciation and other operating provisions	26 300	27 870	30 530	34 090	34 080	35 860	35 340	36 920	38 740
Net national income at factor cost	358 890	384 220	407 930	429 140	443 950	454 690	482 250	495 730	520 220

1. Provisional figures.

Source: Central Bureau of Statistics, *National Accounts 1996*.

Table B. **National product and expenditure** *(cont.)*

2. Million guilder, 1990 constant prices

	1988	1989	1990	1991	1992	1993	1994	1995[1]	1996[1]
Private final consumption expenditure	281 020	290 820	303 100	312 490	320 380	323 600	330 720	336 660	346 800
Government final consumption expenditure	72 750	73 870	75 080	76 230	77 510	78 670	79 110	79 560	80 530
Gross fixed capital formation	101 230	106 230	107 940	108 160	108 820	105 790	108 120	113 550	120 470
Private	88 459	93 395	94 243	94 131	93 749	90 890	92 800	97 820	104 150
Government	12 771	12 835	13 697	14 029	15 071	14 900	15 320	15 730	16 320
Increase in stocks	50	5 290	6 520	4 880	2 860	–4 250	1 320	–80	920
National expenditure	455 050	476 210	492 640	501 760	509 570	503 810	519 270	529 690	548 720
Exports of goods and services	249 010	265 570	279 740	292 890	301 310	305 910	326 330	349 360	365 260
less: Imports of goods and services	230 010	245 520	255 830	266 370	271 870	266 180	284 080	304 510	320 660
Gross domestic product at market prices	473 980	496 160	516 550	528 280	538 980	543 090	560 590	573 260	591 970
less: Net indirect taxes	42 900	45 730	47 990	47 840	50 090	51 810	53 810	54 750	59 220
Net income from the rest of the world	–3 500	90	–910	–780	–1 640	–190	1 820	620	4 730
Gross national product at factor cost	427 580	450 520	467 650	479 660	487 250	491 090	508 600	519 130	537 480

1. Provisional figures.

Source: Central Bureau of Statistics, *National Accounts 1996.*

Table C. **Origin of net domestic product at factor cost**

Million guilder, current prices

	1988	1989	1990	1991	1992	1993	1994	1995[1]	1996[1]
Agriculture, forestry and fishing	13 382	15 858	15 899	16 335	15 174	12 754	15 000	14 161	14 540
Mining and quarrying (including natural gas)	10 784	11 505	13 381	16 326	14 087	13 074	12 613	13 461	15 719
Manufacturing	72 391	75 910	79 441	80 578	79 526	78 749	83 219	87 091	88 140
Construction	23 822	25 007	26 266	27 065	27 776	28 418	29 298	29 803	31 525
Electricity, gas and water (excluding natural gas)	4 822	4 764	5 139	5 444	5 558	5 847	6 236	6 557	6 901
Trade	60 663	64 230	69 619	72 450	75 156	76 658	79 072	81 348	83 998
Transport and communication	25 466	26 554	27 777	29 810	31 904	32 700	35 093	36 305	38 198
Other private sector	118 708	128 534	137 185	147 196	159 197	169 476	180 535	187 087	197 976
less: Imputed bank service charge	–17 450	–18 028	–18 061	–19 767	–20 481	–22 751	–22 242	–24 386	–25 723
Government	48 610	48 800	50 580	52 760	56 200	58 630	59 880	62 290	62 870
Difference imputed VAT and VAT paid	1 200	1 300	1 610	1 880	2 100	1 720	1 790	1 450	970
Net domestic product at factor cost	362 390	384 420	408 840	430 080	446 200	455 290	480 510	495 170	515 120
Net income from the rest of the world	–3 500	–200	–910	–940	–2 250	–600	1 740	560	5 110
Net national income (= Net national product)	358 890	384 220	407 930	429 140	443 950	454 690	482 250	495 730	520 230

1. Provisional figures.

Source: Central Bureau of Statistics, *National Accounts 1996.*

Table D. **Income and expenditure of households and private non-profit institutions**

Million guilder, current prices

	1988	1989	1990	1991	1992	1993	1994	1995[1]	1996[1]
Compensation of employees	245 740	252 850	267 740	283 870	300 240	308 770	314 790	325 980	338 090
Wages and salaries	190 440	198 760	229 570	242 830	256 900	263 600	269 020	276 020	285 070
Employers' contributions to social security and pension schemes	55 300	54 090	38 170	41 040	43 340	45 170	45 770	49 960	53 020
Property and other income	51 210	57 740	62 550	65 080	67 820	67 350	73 150	73 790	77 000
Self-employment income	41 544	41 689	43 067	44 860	47 267	50 301	53 283	54 848	56 971
Net property and entrepreneurial income	9 666	16 051	19 483	20 220	20 553	17 049	19 867	18 942	20 029
Transfers received	143 120	147 320	162 800	172 270	183 290	190 620	195 040	198 020	202 990
Transfers from pension funds (A)	20 130	21 160	23 150	24 810	27 030	29 190	31 460	32 210	35 270
Other transfers	122 440	125 540	139 070	146 930	155 670	160 740	162 900	165 470	167 340
Current receipts	440 070	457 910	493 090	521 220	551 350	566 740	582 980	597 790	618 080
Income taxes	48 810	50 700	61 610	72 040	71 540	77 150	64 780	61 160	60 500
Transfers paid	113 620	110 960	109 730	123 080	130 710	135 190	144 930	151 840	154 130
Social security contributions paid	93 950	91 330	87 910	97 480	104 790	107 560	116 480	120 930	119 850
Other current transfers paid	19 670	19 630	21 820	25 600	25 920	27 630	28 450	30 910	34 280
Other transfer payments	1 090	970	1 080	1 290	1 370	1 250	1 600	1 150	1 570
Transfers paid to pension funds (B)	18 580	18 660	20 740	24 310	24 550	26 380	26 850	29 760	32 710
Private consumption	271 640	284 490	303 100	322 460	340 920	351 720	369 450	381 670	398 470
Food	43 480	45 150	47 180	48 990	51 610	52 030	53 900	55 040	56 380
Clothing and footwear	16 170	16 660	18 000	19 490	19 470	19 310	19 190	18 710	18 960
Rent	34 910	36 880	39 550	42 500	46 220	50 230	54 330	58 670	62 740
Durables	41 260	42 920	46 770	48 820	50 320	50 100	51 270	51 960	53 440
Other	135 820	142 880	151 600	162 660	173 300	180 050	190 760	197 290	206 950
Current disbursements	434 070	446 150	474 440	517 580	543 170	564 060	579 160	594 670	613 100
Net savings (C)	6 000	11 760	18 650	3 640	8 180	2 680	3 820	3 120	4 980
Savings ratio	2.16	3.97	5.80	1.12	2.34	0.76	1.02	0.81	1.23
Net property income from pension funds (D)	35 570	37 390	39 480	42 630	45 150	47 520	49 150	50 990	53 470
Personal saving (C – A + B + D)	40 020	46 650	55 720	45 770	50 850	47 390	48 360	51 660	55 890
Personal saving ratio	13.47	14.73	16.31	13.15	13.69	12.53	12.20	12.72	13.16

1. Provisional figures.

Source: Central Bureau of Statistics, *National Accounts 1996* and OECD Secretariat.

Table E. **Industrial production and productivity**

Index 1980 = 100

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Mining and quarrying	90.84	80.70	84.41	82.87	90.12	91.34	92.55	91.81	91.73	101.61
Manufacturing industries	112.88	118.91	123.77	125.65	126.16	125.41	123.27	129.59	132.53	135.27
Basic metals	111.86	122.09	128.84	125.93	128.93	124.94	126.81	134.16	134.69	133.05
Metal products, machinery and equipment	107.40	108.68	114.61	119.17	119.81	118.07	111.43	116.72	122.46	126.76
Food, beverages and tobacco	112.36	115.34	118.95	124.21	129.94	132.51	133.57	139.98	140.77	143.95
Textiles, clothing and leather	86.73	88.09	91.28	94.96	91.41	83.29	81.18	79.55	77.60	80.14
Chemicals	147.93	156.88	164.27	163.02	159.84	160.88	160.78	173.66	177.86	176.98
Electricity, gas and water	107.77	109.92	114.38	111.71	115.57	116.82	117.16	120.62	123.42	129.35
Total industry	106.81	107.08	111.63	116.41	118.38	118.15	116.81	121.71	124.16	128.30
Manufacturing employment and productivity										
Employment (end of year)[1]	87.86	88.23	89.79	91.67	90.12	88.85	84.29	81.74	82.47	81.96
Output per person-year	128.48	134.76	137.84	137.07	140.00	141.15	146.25	158.54	160.71	165.06

1. Persons.

Source: OECD, *Indicators of Industrial Activity*.

Table F. **Money and banking**

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
	Million guilder, end of period									
Money supply										
Total primary liquidity	104 148	111 312	119 026	125 683[1]	129 329	135 069	149 642	152 243	172 928	193 910
Notes and coins	33 287	34 613	36 001	36 473[1]	36 986	36 991	37 588	38 107	38 192	38 263
Demand deposits	70 861	76 699[1]	83 025	89 210[1]	92 343[1]	98 078	112 054	114 136	134 736	155 647
Secondary liquidity	187 161[1]	209 942[1]	240 696	261 571[1]	277 118[1]	296 452	314 831[1]	313 781	313 638	321 079
Claims of money-creating institutions on:										
Private sector	307 826[1]	375 052[1]	400 240	428 929[1]	462 453	486 845	519 399[1]	559 693	627 179	699 131
Central government	58 276[1]	69 433[1]	66 603	68 372[1]	67 069	66 274	67 041	69 400	74 485	79 090
Local government	32 188[1]	60 122[1]	60 389	59 913[1]	58 682	59 287	62 036	63 921	63 345	61 809
Foreign sector	16 820[1]	23 115[1]	22 439	25 204[1]	25 480	30 016	31 423	39 088	44 621	70 755
	Per cent, annual average									
Interest rates										
Advances (Central Bank)	4.90	4.27	6.67	7.79	8.57	9.04	6.76	4.70	3.84	2.21
Call money (Amsterdam)	5.16	4.43	7.00	8.27	9.01	9.27	7.09	5.14	4.22	2.88
Three-month loans to local authorities	5.31	4.76	7.33	8.62	9.21	9.29	6.77	5.12	4.32	2.97
Capital market yields										
Government bonds	6.28	6.05	7.25	9.01	8.84	8.18	6.33	6.72	6.60	5.73
of which:										
Short-term (3-5 year)	6.17	5.82	7.27	9.05	8.91	8.22	6.01	6.31	5.97	4.84
Medium-term (5-8 year)	6.36	6.16	7.21	8.99	8.79	8.12	6.21	6.66	6.48	5.63
Privately placed public utility loans	6.96	6.83	7.56	9.15	8.93	8.26	6.65	7.32	7.07	6.27
Mortgages on dwellings	7.30	7.12	8.15	9.60	9.81	9.33	7.61	7.61	7.54	6.41

1. Start of a new series.

Source: Netherlands Bank, *Annual Report 1996.*

Table G. **Merchandise trade**

US$ million

	Imports, cif						Exports, fob					
	1990	1991	1992	1993	1994	1995	1990	1991	1992	1993	1994	1995
Total	135 834	125 903	134 470	129 754	130 512	157 703	136 547	133 548	139 934	146 999	145 825	177 351
By area:												
OECD countries	109 974	105 498	112 698	103 188	104 015	126 004	118 934	112 598	117 037	117 806	117 753	143 546
EU (15)	86 070	85 055	90 832	79 004	80 923	96 922	107 726	101 318	104 750	103 949	104 357	128 630
Other Europe	5 264	4 194	4 929	5 780	6 085	7 716	4 727	5 287	5 288	5 983	5 863	7 487
North America	11 828	10 677	11 084	11 954	11 152	14 538	5 798	5 192	5 871	6 466	6 122	6 465
Japan	5 394	4 475	4 732	5 274	4 754	5 618	1 055	1 092	1 110	1 229	1 336	1 695
Australia	582	396	449	407	397	347	484	412	477	469	536	445
New Zealand	63	52	53	58	59	62	86	71	86	90	94	120
Non-OECD countries	24 268	18 835	19 715	23 685	23 336	27 431	11 384	10 054	11 553	15 111	13 678	17 516
South Africa	308	220	222	279	256	368	269	335	301	354	373	469
Eastern Europe	3 000	1 728	1 900	2 150	2 025	2 837	1 667	1 261	1 618	2 318	2 466	3 227
China	1 321	1 027	980	1 618	1 747	2 166	236	217	335	683	563	722
Developing countries	19 639	15 861	16 612	19 638	19 308	22 060	9 211	8 240	9 299	11 755	10 276	13 098
Unspecified	1 592	1 570	2 058	2 881	3 161	4 268	6 229	10 896	11 344	14 082	14 394	16 289
By SITC section:												
0. Food and live animals	13 687	12 917	14 533	14 787	14 837	16 810	23 578	22 904	24 952	26 302	25 213	28 722
1. Beverages and tobacco	1 626	1 743	2 049	1 891	1 849	2 082	2 931	3 171	3 570	3 792	3 789	4 612
2. Crude materials, inedible, except fuels	7 441	5 844	6 306	6 235	7 005	7 929	7 683	7 453	7 855	8 051	8 194	9 123
3. Mineral fuels, lubricants and related materials	15 470	11 982	11 561	12 461	10 663	12 092	13 266	13 205	12 006	13 140	11 033	12 580
4. Animal and vegetable oils, fats and waxes	680	592	745	873	1 082	1 330	892	874	976	1 196	1 280	1 565
5. Chemicals and related products, n.e.s.	14 169	12 927	14 307	14 928	16 148	20 635	20 631	19 368	19 910	20 864	22 293	29 074
6. Manufactured goods	22 967	20 895	21 656	19 150	19 809	25 097	17 973	17 685	17 967	17 027	17 564	22 108
7. Machinery and transport equipment	41 166	40 040	42 456	40 513	40 847	51 939	32 308	31 210	33 230	36 664	36 288	47 144
8. Miscellaneous manufactured articles	18 011	18 454	20 287	18 290	17 456	18 871	12 079	12 642	14 218	14 219	13 757	15 448
9. Commodities and transactions, n.e.s.	616	509	571	627	816	917	5 206	5 035	5 251	5 744	6 414	6 976

Source: OECD, *Foreign Trade Statistics,* Series C.

Table H. **Public sector**

1. Indicators and structure

	1980	1985	1991	1992	1993	1994	1995	1996
Budget indicators:								
general government accounts								
(per cent of GDP)								
Current tax receipts	45.9	45.3	47.3	47.1	48.1	45.8	44.8	44.5
Non-interest expenditures	49.7	48.5	47.4	47.9	48.1	46.2	44.8	43.7
Primary budget balance	–3.8	–3.2	–0.1	–0.8	0.1	–0.4	0.0	0.9
Net interest (including net capital transfers)	–0.4	–0.5	–2.8	–3.1	–3.3	–3.4	–3.7	–3.2
General government budget balance	–4.2	–3.6	–2.9	–3.9	–3.2	–3.8	–3.7	–2.3
Structure of expenditure and taxation								
(per cent of GDP)								
Government expenditure	51.0	53.4	52.3	52.9	53.1	50.8	49.6	48.1
Consumption	17.4	15.8	14.5	14.7	14.8	14.3	14.3	14.0
Transfers	26.7	27.7	28.3	28.8	29.0	28.0	27.4	26.6
Subsidies	3.0	3.6	3.3	3.2	3.0	2.6	1.9	1.9
Investment	3.5	2.8	2.7	2.8	2.7	2.7	2.7	2.7
Memorandum item: Education	5.7	4.8	3.9	4.1	4.0	4.0	4.0	3.9
Total taxes and social security contributions	45.9	45.3	47.3	47.1	48.1	45.8	44.8	44.5
Direct taxes	15.7	12.7	16.9	15.9	16.7	14.0	13.0	13.4
of which:								
Wage tax	9.5	7.0	10.6	10.1	10.3	7.7	6.9	6.6
Income tax	1.8	1.2	1.3	1.1	1.4	1.2	1.0	0.8
Corporate tax	3.0	3.1	3.4	3.1	3.3	3.3	3.3	4.1
Social security contributions	18.1	20.5	18.0	18.5	18.5	19.0	18.9	18.0
of which:								
Employers	8.1	7.9	3.8	3.7	3.6	3.2	3.5	3.7
Employees, Self and non-employed	10.0	12.6	14.2	14.8	14.9	15.8	15.4	14.2
Indirect taxes	12.1	12.1	12.4	12.7	12.9	12.8	12.8	13.2
of which								
Value added tax (VAT)	7.1	7.3	7.2	7.1	6.9	6.8	6.8	7.0
Excise duties	2.0	1.9	1.8	2.0	2.3	2.3	2.2	2.1
Other indicators								
Income tax elasticity	1.0	–0.7	3.1	–0.3	2.4	–6.7	–2.7	–1.2
Income tax (as a per cent of total tax)	32.8	26.3	33.4	31.3	32.3	27.7	26.4	26.9
Net public debt (as a per cent of GDP)	24.6	42.3	37.7	41.3	42.3	43.7	..	..

Source: Netherlands Bureau of Economic Policy Analysis, *Macroeconomic Outlook 1998;* Central Bureau of Statistics, *Statistical Yearbook 1997* and *National Accounts 1996;* and OECD Secretariat.

Table H. **Public sector** *(cont.)*

2. Tax rates

	Until end of 1989	After the 1990 reform[1]	1996
Income tax			
Top rate	72%	60%	60%
Lower rate	14%	7%	6.35%
Number of brackets	9	3	3
Average social security tax rate[2]			
Employees	21%	26.85%	29.7%
Employers	19.95%	9.15%	9.65%
VAT rate	6%-20%	6%-18.5%	6%-17.5%
Corporation tax rate	42%	40%-35%[3]	37%-35%[3]

1. Changes mainly due to the ''Oort'' Reform. The change in the corporation tax rate took place in October 1988 and in the VAT rate in January 1989.
2. Excluding compensation allowances, pension premiums and social benefits directly paid by the employers.
3. The higher tax rate applies to the first Gld 100 000 (until July 1994: Gld 250 000) of taxable profits and additional profits are taxed at 35 per cent.

Source: Netherlands Bureau of Economic Policy Analysis, *Macroeconomic Outlook 1998;* OECD, *Revenue Statistics of OECD Members Countries.*

Table I. **Structure of output and performance indicators**

1. Structure of output (constant prices)

	1990	1991	1992	1993	1994	1995[1]	1996[1]	1990	1991	1992	1993	1994	1995[1]	1996[1]
	Share of GDP (at factor costs)							Share of total employment						
Agriculture, hunting, forestry and fishing	4.3	4.4	4.5	4.5	4.6	4.6	4.5	5.0	4.9	4.9	4.9	4.8	4.6	4.5
Mining and quarrying	3.2	3.4	3.4	3.4	3.3	3.2	3.5	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Manufacturing	19.6	19.2	18.8	18.4	18.9	19.0	18.8	18.1	17.8	17.5	17.0	16.3	15.8	15.4
of which:														
Manufacture of food products, beverages and tobacco	3.3	3.4	3.4	3.4	3.5	3.5	3.5	3.1	3.0	3.0	3.0	2.9	2.8	2.7
Manufacture of textile and leather products	0.6	0.6	0.5	0.5	0.5	0.5	0.4	1.0	0.9	0.9	0.9	0.8	0.8	0.8
Manufacture of paper, paper products, publishing and printing	2.4	2.4	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.2	2.1	2.0	2.0
Manufacture of petroleum products	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Manufacture of chemical, rubber and plastic products	1.6	1.6	1.6	1.5	1.6	1.6	1.6	1.2	1.3	1.2	1.2	1.1	1.1	1.0
Manufacture of metals products	9.3	9.0	8.7	8.4	8.8	9.1	9.0	8.6	8.4	8.2	7.8	7.4	7.2	7.0
Electricity, gas and water supply	1.8	1.9	1.8	1.8	1.8	1.8	1.8	0.9	0.8	0.8	0.8	0.8	0.8	0.7
Construction	5.9	5.7	5.5	5.3	5.2	5.0	4.9	7.7	7.6	7.5	7.5	7.5	7.5	7.5
Trade, hotels, restaurants and repair	16.1	16.4	16.4	16.1	15.9	16.1	16.1	19.8	20.2	20.5	20.6	20.8	20.9	21.0
Transport, storage and communication	7.6	8.0	8.2	8.3	8.4	8.5	8.7	6.7	6.9	7.0	6.9	6.8	6.7	6.7
Other activities[2]	33.8	33.7	34.1	34.7	34.6	34.8	35.1	28.0	28.4	28.7	29.2	30.1	31.2	32.0
Total business sector	92.5	92.7	92.6	92.6	92.7	93.1	93.5	86.5	86.8	87.1	87.1	87.2	87.6	88.1
Statistical discrepancy	–3.5	–3.5	–3.4	–3.4	–3.3	–3.3	–3.5	–	–	–	–	–	–	–
Government	11.0	10.8	10.8	10.8	10.5	10.3	10.0	13.5	13.2	12.9	12.9	12.8	12.4	11.9

1. Provisional figures.
2. Excluding government services.

Source: Central Bureau of Statistics, *National Accounts 1996.*

Table I. **Structure of output and performance indicators** *(cont.)*

2. Economic performance (constant prices)

	1990	1991	1992	1993	1994	1995[1]	1996[1]	1990	1991	1992	1993	1994	1995[1]	1996[1]
	Productivity growth (at factor costs)							Share of total investment						
Agriculture, hunting, forestry and fishing	10.1	3.5	3.3	2.1	8.9	3.4	1.9	5.2	5.0	4.7	3.9	3.6	3.7	3.3
Mining and quarrying	–0.1	9.1	1.3	1.8	–1.0	11.9	10.5	1.2	1.8	2.1	3.5	1.9	1.5	1.3
Manufacturing														
of which:	1.5	0.8	0.2	1.4	11.2	4.5	2.3	16.2	15.2	14.1	12.7	11.4	13.0	12.9
Manufacture of food products, beverages and tobacco	2.2	4.7	2.0	1.4	10.2	3.5	2.8	2.7	2.9	3.0	2.8	2.5	2.3	..
Manufacture of textile and leather products	5.2	–0.4	–6.4	1.9	4.4	–4.9	2.8	0.4	0.3	0.3	0.3	0.2	0.2	..
Manufacture of paper, paper products, publishing and printing	2.6	0.2	–1.9	2.5	8.7	2.4	2.3	1.8	2.0	1.6	1.5	1.6	1.6	..
Manufacture of petroleum products	16.8	–0.6	2.1	–4.4	11.7	4.1	16.4	0.8	0.4	0.5	0.6	0.5	0.4	..
Manufacture of chemical, rubber and plastic products	1.2	1.0	1.2	4.1	9.7	3.7	5.9	4.3	4.2	3.6	2.8	2.7	2.6	..
Manufacture of metals products	0.7	0.3	0.5	2.2	14.5	6.8	0.9	4.8	4.1	3.9	3.5	2.9	4.8	..
Electricity, gas and water supply	5.3	5.8	1.0	2.7	1.9	5.6	8.1	2.7	2.8	2.6	4.1	5.3	4.2	5.7
Construction	0.8	–0.9	–2.8	–2.8	2.1	–2.7	–1.6	1.9	1.8	1.7	1.7	1.7	1.7	1.7
Trade, hotels, restaurants and repair	1.2	0.9	–0.7	–2.0	1.5	1.8	0.4	9.3	10.0	9.8	9.9	9.4	9.1	9.1
Transport, storage and communication	3.7	3.8	1.9	2.9	6.4	3.4	3.5	11.6	11.9	12.0	10.1	11.6	11.5	10.7
Other activities[2]	0.0	–0.2	0.6	0.8	–0.2	–2.0	–0.9	43.0	42.5	44.1	44.9	45.8	46.0	46.0
Total business sector	1.3	1.0	0.3	0.5	3.5	0.9	0.8	91.1	91.1	91.1	90.8	90.6	90.7	90.7
Statistical discrepancy	–	–	–	–	–	–	–	–3.4	–2.9	–3.3	–3.5	–3.6	–3.3	–2.9
Government	1.5	1.6	2.3	1.6	1.7	1.2	2.5	12.3	11.8	12.2	12.7	13.0	12.6	12.2

1. Provisional figures.
2. Excluding government services.

Source: Central Bureau of Statistics, *National Accounts 1996.*

Table I. **Structure of output and performance indicators** *(cont.)*

3. Other indicators (current prices)

	1982	1983	1984	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
R&D as a per cent of GDP in manufacturing sector	5.5	5.8	5.5	6.2	6.6	7.1	6.7	6.3	5.8	5.3	5.3	5.4	5.4	5.6
Total R&D expenditure as a per cent of total GDP	1.9	2.0	1.9	2.1	2.2	2.3	2.2	2.1	2.1	2.1	2.0	2.0	2.0	..
Government funded R&D as a per cent of total	48.5	47.2	46.8	44.2	44.0	44.3	42.7	41.8	48.3	48.6	48.9	48.5	43.8	..
Breakdown of employed workforce by size of establishment[1]														
0 to 9 workers	80.1	80.6	81.1	91.4	91.5	91.5	91.4	91.3	91.7	91.7	91.6[2]	91.3	90.8	90.8
10 to 99 workers	18.1	17.6	17.1	7.8	7.7	7.7	7.8	7.9	7.5	7.5	7.5[2]	7.7	8.2	8.2
Over 100 workers	1.8	1.8	1.8	0.8	0.8	0.8	0.8	0.9	0.8	0.8	0.8[2]	1.0	1.0	1.1
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

1. Enterprises classified by the number of workers in full-time equivalents (excluding temporary staff).
2. Start of new series (including government, agriculture, hunting and forestry, and electricity, gas and water).

Source: Central Bureau of Statistics, *National Accounts 1996* and *Statistical Yearbook 1997* and OECD, *Main Science and Technology Indicators.*

Table J. **Labour market indicators**

1. Evolution

	Peak	Trough	1990	1991	1992	1993	1994	1995	1996
Registered unemployment (thousands)[1]			358	335	336	415	486	464	441
As a per cent of labour force	1983: 11.0	1970: 0.9	6.0	5.5	5.4	6.5	7.6	7.1	6.7
Share of long term unemployment[2]	1985: 59.4	1981: 29.6	49.3	46.1	43.9	52.3	49.4	46.8	49.0
National unemployment rate[3]									
Total	1984: 14.2	1980: 4.6	6.9	6.5	6.5	7.5	8.5	8.1	7.4
Male	1984: 14.6	1980: 4.3	4.6	4.6	4.7	5.7	6.6	6.2	5.4
Female	1984/87: 13.5	1980: 5.2	10.9	9.7	9.7	10.5	11.4	11.1	10.5
Youth[4]	1984: 25.2	1980: 9.3	10.3	10.0	9.5	11.8	13.3	13.2	12.4
Registered vacancies (thousands)[5]	1990: 115.5	1982: 17.7	115.4	95.6	67.2	39.3	41.8	57.0	68.7
Paid hours per job, full-time[6]	..	..	1 773	1 773	1 771	1 771	1 775	1 775	..
Paid hours per job, total[6]	..	..	1 457	1 446	1 438	1 429	1 421	1 421	..

1. All persons of 16-64 years of age who are registered at an employment office and who work fewer than 12 hours per week and are available for paid work for at least 12 hours per week.
2. People looking for a job since one year or more as a percentage of total unemployment.
3. According to the national definition (CBS *Labour Market Survey*), people working less than 12 hours per week are not counted as employed.
4. People between 15 and 24 years of age as a percentage of the labour force of the same age group.
5. New vacancies, excluding vacancies in government, education, social workshops and agencies for temporary and contractual staff.
6. The sum of contractual hours and overtime per job.

Source: Central Bureau of Statistics, *Labour Market Survey 1996* and *Statistical Yearbook 1997*, OECD, *Labour Force Statistics* and OECD Secretariat

Table J. **Labour market indicators** *(cont.)*

2. Structural or institutional characteristics

	1970	1980	1990	1991	1992	1993	1994	1995	1996
Labour force (percentage change)	0.6[4]	0.6[5]	2.3	2.1	1.7	1.7	0.9	2.0	1.3
Participation rate:[1]									
Total	..	53.6	59.3	60.1	60.8	61.5	61.7	62.8	63.5
Male	..	79.4	74.6	75.0	75.6	75.5	75.5	76.3	76.6
Female	..	35.5	43.6	44.9	45.7	47.0	47.6	48.9	49.9
Employment (persons) as % of working age population	57.7	51.3	55.2	56.2	56.9	56.9	56.5	57.8	58.8
Employment by sector (percentage change)									
Agriculture	–1.5[6]	0.3[5]	3.6	–1.2	–6.7	–2.5	2.2	–5.1	2.7
Industry	–0.7[6]	–1.8[5]	2.9	0.1	–1.2	–1.7	–3.5	1.0	1.2
Services	2.8[6]	1.5[5]	3.1	3.8	–4.3	9.8	1.0	3.3	2.2
of which: Government (full-time equivalents)	2.3[6]	0.6[5]	–0.4	–0.8	–0.5	0.0	–0.1	–0.5	–1.1
Total	1.4[6]	0.4[5]	3.0	2.6	1.6	0.7	–0.1	2.4	2.0
Employment by sector (per cent of total)									
Agriculture	5.7[7]	4.9	4.6	4.4	4.0	3.9	4.0	3.7	3.7
Industry	34.9[7]	31.5	27.6	26.9	26.2	25.6	24.7	24.3	24.1
Services	59.4[7]	63.6	67.9	68.7	64.7	70.5	71.3	71.9	72.1
of which: Government (full-time equivalents)	13.6[7]	14.4	13.2	12.7	12.5	12.4	12.4	12.0	11.6
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Part-time employment[2] as % of total employment	..	..	31.6	32.5	34.5	35.0	36.4	36.3	36.5
Non-wage labour cost[3]	23.3	22.8	14.3	14.5	14.4	14.6	14.5	15.3	15.7
Gross minimum wage as a per cent of average worker wage	72.8[7]	72.4	60.0	60.0	59.1	57.6	56.3	55.7	..

1. Labour force as a percentage of the corresponding population aged between 15 and 64 years.
2. Persons at work, including self-employed and unpaid family workers, with less than 35 usual hours in the main job.
3. Total employers' contributions as a percentage of total compensation.
4. 1970-79 average.
5. 1980-84 average.
6. 1975-79 average.
7. 1975 figure.

Source: Central Bureau of Statistics, *Labour Market Survey 1996;* and OECD, *Employment Outlook July 1997* and OECD Secretariat.

Table K. **Financial markets**

1. Sector size and structure of financial flows

	1970	1980	1985	1990	1993	1994	1995	1996
A. Sector size								
Sector employment[1]/total employment	2.8	3.4	3.6	3.6	3.5	3.5	3.5	3.5
Sector GDP[1]/total GDP	3.0	4.8	4.8	4.6	5.0	5.3	5.2	5.1
Funds redistributed by financial institutions/GDP	..	..	11.1	18.4	22.4	6.4	19.4	24.6
Domestic financial assets of financial sector/GDP	98.2	143.7	194.3	243.6	260.6	259.5	272.4	292.2
Stock-market capitalisation[2]/GDP	..	18.3	38.7	37.5	58.4	60.9	69.1	93.8
B. Structure of financial flows								
Share of domestic intermediated finance in external financing of non-financial enterprises[3]	..	..	..	41.8	48.2	41.4	45.4	48.1
Securities issues in domestic credit flows[4]	23.2	21.8	39.5	52.6	50.5	46.6	52.2	59.2
Structure of non-financial corporate liquidities:[5]								
Equity	..	..	34.5	37.2	38.5	40.3	40.8	..
Short-term: Interest bearing	..	..	7.7	7.0	7.2	7.8	7.2	..
Non-interest bearing	..	..	28.0	24.9	22.3	21.7	22.7	..
Long-term: Interest bearing	..	..	20.0	22.8	24.3	22.0	21.0	..
Non-interest bearing	..	..	9.7	8.0	7.8	8.1	8.4	..

1. Sector defined as financial institutions (including insurance sector).
2. Excluding investment funds.
3. External financing is the sum of intermediated financing (by financial institutions) and non-intermediated financing (share or bond financing, direct foreign investment in the Netherlands and direct borrowing abroad).
4. Value of net bond and share issues by residents as percentage of change in total long-term credit borrowed by residents.
5. The non-financial sector is represented by manufacturing industries, trade corporations, transport corporations and services corporations.

Source: Netherlands Bank, *Quarterly Bulletin September 1997* and *Annual Report 1996;* and Central Bureau of Statistics.

Table K. **Financial markets** *(cont.)*

2. Internationalisation and efficiency of markets

	1970	1980	1985	1990	1993	1994	1995	1996
C. Internationalisation of markets								
Foreign business of the banking sector:[1]								
Assets	25.8	34.2	33.6	32.4	33.5	30.5	30.4	30.8
Liabilities	24.7	35.4	29.8	26.7	29.0	28.5	28.7	31.7
International banking networks								
Foreign banking presence[2]	. .	23	42	47	50	52	55	53
Foreign claims as a per cent of domestic assets[3]	25.7	33.7	30.8	27.4	28.1	24.3	23.3	21.3
Relative size of cross-border transactions in securities[4]								
Net purchases of foreign securities by domestic residents	. .	1.9	–22.0	–14.3	–27.0	–20.9	–32.4	–48.8
Net purchases of domestic securities by foreign residents	. .	34.5	25.9	–5.3	32.4	–2.3	11.6	24.8
D. Efficiency of markets								
Interest rate margins[5]	2.6	2.6	2.5	1.7	1.9	1.9	1.9	. .
Banks' productivity[6]	73.8	84.0	75.0	68.5	66.9	66.7	67.1	. .
Cost of commercial bank intermediation[7]	. .	0.4	0.6	0.5	0.7	0.7	0.8	. .
Deviation of domestic interest rates from international levels:[8]								
Three-month loans to local authorities/Euro-guilder three-month deposit rate	. .	. .	–0.05	–0.02	–0.03	–0.01	–0.03	0.02
Money market: Netherlands-Germany	. .	. .	1.07	0.20	–0.40	–0.15	–0.09	–0.28
Netherlands-United States	. .	. .	–1.96	0.44	3.55	0.45	–1.61	–2.47
Capital market: Netherlands-Germany	. .	. .	0.29	0.21	–0.10	0.05	0.08	–0.07
Netherlands-United States	. .	. .	–3.28	0.37	0.48	–0.21	0.32	–0.28

1. Money-creating institutions excluding Nederlandsche Bank; as a percentage of balance sheet total.
2. Number of branches and subsidiaries.
3. The official reserves of the Nederlandsche Bank are included in the foreign claims.
4. Ratio of cross-border transactions in securities to issues by residents.
5. Interest received minus interest paid divided by total assets.
6. Expenses divided by earnings of universal banks, Rabobanks and (as from 1986) the Postbank. As from 1990, all registered institutions.
7. Net pre-tax earnings as percentage of balance sheet total of universal banks, Rabobanks and (as from 1986) the Postbank. As from 1990 all registered institutions.
8. Differential between Euro-currency 3-month deposit rates (money market) and Government bonds (capital market); yearly averages.

Source: Netherlands Bank, *Quarterly Bulletin September 1997* and *Annual Report 1996;* and Central Bureau of Statistics.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1995	18 054	8 047	10 137	29 606	10 331	5 228	5 108	58 141	81 662	10 459
Inhabitants per sq. km	Number	1995	2	96	332	3	131	121	15	106	229	79
Net average annual increase over previous 10 years	%	1995	1.4	0.6	0.3	1.3	0	0.2	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1994	7 943	3 737	3 692 (93)	13 292	4 932	2 508	2 015	21 744	35 894	3 790
of which: Agriculture	% of TCE	1994	5.1	7.2	2.6 (92)	4.1	7	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.5	33.2	27.7 (92)	22.6	42.9	26.8	26.8	27.8 (93)	37.6	23.6
Services	% of TCE	1994	71.4	59.6	69.7 (92)	73.3	50.1	68.1	64.9	67.3 (93)	59.1	55.5
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1995	360.3	233.3	269.2	560	45.7	173.3	125	1 537.6	2 412.5	77.8 (94)
Per capita	US$	1995	19 957	28 997	26 556	18 915	4 420	33 144	24 467	26 445	29 542	7 458 (94)
At current prices using current PPP's[3]	Bill. US$	1995	349.4	167.2	210.8	622.6	..	112.6	90.9	1 159.3	1 673.8	127.3
Per capita	US$	1995	19 354	20 773	20 792	21 031	..	21 529	17 787	19 939	20 497	12 174
Average annual volume growth over previous 5 years	%	1995	3.3	2	1.2	1.5	..	2	–0.7	1.1	1.7	0.8 (94)
Gross fixed capital formation (GFCF)	% of GDP	1995	20.1	24.7	17.6	17.5	32.2	16	15.1	18	21.7	16.9 (94)
of which: Machinery and equipment	% of GDP	1995	10.5 (94)	9 (94)	7.4 (94)	6.5	..	7.2 (94)	5.9 (94)	8.1	7.6	7.9 (94)
Residential construction	% of GDP	1995	5.6 (94)	6.4 (94)	4.5 (94)	4.9	..	3 (94)	3.6 (94)	4.5	7.6	3.4 (94)
Average annual volume growth over previous 5 years	%	1995	3	3	–1.1	0.3	..	–0.5	–10.4	–1.3	2.5	1.2 (94)
Gross saving ratio[4]	% of GDP	1995	16.9	24.9	22.6	17.1	..	17.8	19.8	19.7	21.3	15.7 (94)
General government												
Current expenditure on goods and services	% of GDP	1995	17.2	18.9	14.8	19.6	..	25.1	21.8	19.3	19.5	18.5 (94)
Current disbursements[5]	% of GDP	1994	36.2	47.8	54.1	46.7	..	61.1	57.7	50.9	46.1	52.7
Current receipts	% of GDP	1994	34.2	47.3	50.6	42.4	..	59.1	53	46.4	46.4	44.2
Net official development assistance	% of GNP	1994	0.33	0.33	0.32	0.42	..	0.99	0.3	0.64	0.33	..
Indicators of living standards												
Private consumption per capita using current PPP's[3]	US$	1995	12 090	11 477	12 960	12 551	10 259	11 531	9 643	11 996	11 707	9 071
Passenger cars, per 1 000 inhabitants	Number	1993	438	418	402	455 (92)	164	312	367	419	533[8]	187
Telephones, per 1 000 inhabitants	Number	1992	482	451	437	592	190	589	544	536	457[8]	457
Television sets, per 1 000 inhabitants	Number	1992	482	480	453	640	..	537	505	408	558	201
Doctors, per 1 000 inhabitants	Number	1994	2.2 (91)	2.4	3.7	2.2	3.2	2.8 (93)	2.7	2.9	3.2 (92)	3.9 (93)
Infant mortality per 1 000 live births	Number	1994	5.9	6.3	7.6	6.8 (93)	..	5.4 (93)	4.6	6.1	5.8 (93)	7.9
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1995	2	5	2.8	2.7	..	3.3	4.2	3	4.8	13.4
Consumer prices	%	1995	2.5	3.2	2.4	2.2	20.3	2	2.3	2.2	3.5	13.9
Foreign trade												
Exports of goods, fob*	Mill. US$	1995	53 092	57 200	170 230[7]	192 502	21 654	49 045	39 995	286 762	523 000	11 761
As % of GDP	%	1995	14.7	24.5	63.2	34.4	47.4	28.3	32	18.7	21.7	12.2 (94)
Average annual increase over previous 5 years	%	1995	6	6.9	7.6	8.6	..	7	8.6	5.8	5	8
Imports of goods, cif*	Mill. US$	1995	57 406	65 293	155 449[7]	164 443	26 523	43 728	28 928	267 059	463 472	27 718
As % of GDP	%	1995	15.9	28	57.7	29.4	58	25.2	23.1	17.4	19.2	28.3 (94)
Average annual increase over previous 5 years	%	1995	8.1	5.9	5.3	7.1	..	6.7	1.4	3.5	6.1	6.9
Total official reserves[6]	Mill. SDRs	1995	8 003	12 600	10 883[7]	10 124	9 312	7 411	6 753	18 065	57 185	9 943
As ratio of average monthly imports of goods	Ratio	1995	1.7	2.3	0.8	0.7	..	2	2.8	0.8	1.5	4.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1995	10 229	267	3 580	57 283	125 250	44 851	413	91 120	15 457	3 580
Inhabitants per sq. km	Number	1995	111	3	51	190	332	444	159	46	379	13
Net average annual increase over previous 10 years	%	1995	–0.3	1	0.1	0	0.4	0.9	1.2	2.1	0.7	0.9
Employment												
Total civilian employment (TCE)[2]	Thousands	1994	3 643	138	1 207	20 022	64 530	19 831	207	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9	9.4	12	7.7	5.8	13.6	2.9	25.8	4	10.4
Industry	% of TCE	1995	34	26.1	27.6	32.1	34	33.2	30.7 (90)	22.2	23	24.9
Services	% of TCE	1995	57.1	65.2	60.5	60.2	60.2	53.2	66.1 (90)	52.1	73	64.6
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1995	43.7	7	64.3	1 087.2	5 114	455.5	10.6 (92)	246.1	395.5	59.7
Per capita	US$	1995	4 273	23 366	17 965	18 984	40 726	10 155	26 866 (92)	2 597	25 597	16 689
At current prices using current PPP's[3]	Bill. US$	1995	..	5.9	61.7	1 114.7	2 736.8	..	12.8	699.7	305.6	60.3
Per capita	US$	1995	..	21 938	17 228	19 465	21 795	..	31 303	7 383	19 782	16 851
Average annual volume growth over previous 5 years	%	1995	..	0.9	5.7	1.1	1.3	..	4.1 (92)	3.0 (93)	2.1	2.9
Gross fixed capital formation (GFCF)	% of GDP	1995	19.3	15.2	15.1	17	28.5	36.6	27.7 (92)	16.6	19.4	20.5
of which: Machinery and equipment	% of GDP	1993	8	4.7	5.5	8.6	9.6 (94)	13.2	..	9.4 (93)	9.1	10
Residential construction	% of GDP	1993	9.8	4	5	4.8	5.7 (94)	7.8	..	4.9 (93)	5.2	5.5
Average annual volume growth over previous 5 years	%	1995	..	–4.1	0.9	–1.7	–0.1	..	6.5 (92)	7.7 (94)	1.2	4.5
Gross saving ratio[4]	% of GDP	1995	..	16.4	19.5	20.5	30.8	35.8	60.2 (92)	15.1 (94)	24.6	18.4
General government												
Current expenditure on goods and services	% of GDP	1995	24.9	20.8	14.7	16.3	9.7	10.4	17.1 (92)	10.6[7]	14.3	14.3
Current disbursements[5]	% of GDP	1994	..	34.4	40.4 (93)	51	27	15.3	..	..	52.8	..
Current receipts	% of GDP	1994	..	35.4	38.9 (93)	45	32.2	24.2	..	..	51.6	..
Net official development assistance	% of GNP	1994	..	..	0.2	0.27	0.28	..	0.4	..	0.75	0.22
Indicators of living standards												
Private consumption per capita using current PPP's[3]	US$	1995	11 197	13 208	9 467	11 952	13 102	12 287	16 827	5 368	11 854	10 396
Passenger cars, per 1 000 inhabitants	Number	1993	204	435	251	516 (92)	326	95	506	88	372	439
Telephones, per 1 000 inhabitants	Number	1993	146	544	328	418	468	378	541	88	499	460
Television sets, per 1 000 inhabitants	Number	1992	414	319	304	421	614	211	267	149	488	443
Doctors, per 1 000 inhabitants	Number	1994	..	3 (93)	2	1.7 (92)	1.8	..	2.2 (93)	1	2.5 (90)	2.1
Infant mortality per 1 000 live births	Number	1994	11.5	4.8 (93)	5.9	7.3 (93)	4.2	..	8.5 (92)	17	5.6	7.3 (93)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1995	..	..	4.3	5	2	..	..	1.9	2.9	1.6
Consumer prices	%	1995	25.4	3.5	2.5	5	1.4	6.2	2.8	17.6	2.7	2.1
Foreign trade												
Exports of goods, fob*	Mill. US$	1995	12 540	1 802	44 708	233 868	441 512	125 058	..	79 542	197 087	13 805
As % of GDP	%	1995	28.7	25.6	69.5	21.5	8.6	27.5	..	32.3	49.8	23.1
Average annual increase over previous 5 years	%	1995	5.2	2.5	13.4	6.6	9	14	..	24.3	8.5	7.9
Imports of goods, cif*	Mill. US$	1995	15 073	1 754	33 024	206 246	335 392	135 119	..	72 453	177 912	13 990
As % of GDP	%	1995	34.5	24.9	51.3	19	6.6	29.7	..	29.4	45	23.4
Average annual increase over previous 5 years	%	1995	11.7	1.2	9.8	2.5	7.5	14.1	..	18.3	7.1	8.1
Total official reserves[6]	Mill. SDRs	1995	8 108	207	5 806	23 482	123 277	21 983	..	11 333	22 680	2 967
As ratio of average monthly imports of goods	Ratio	1995	..	1.4	2.1	1.4	4.4	..	..	1.9	1.5	2.5

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1995	4 360	38 588	9 921	39 210	8 827	7 081	61 644	58 613	263 058
Inhabitants per sq. km	Number	1995	13	119	107	78	20	171	79	239	28
Net average annual increase over previous 10 years	%	1995	0.5	0.4	–0.1	0.2	0.6	0.8	2.1	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	2 003	14 658	4 372	11 760	3 926	3 772	19 664	25 579	123 060
of which: Agriculture	% of TCE	1994	5.3	23.8	11.5	9.8	3.4	4	44.8	2.1	2.9
Industry	% of TCE	1994	23.4	31.9	32.8	30.1	25	28.8	22.2	27.7	24
Services	% of TCE	1994	71.3	44.1	55.7	60.2	71.6	67.3	33	70.2	73.1
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1995	103.4 (93)	118	99.8	559.6	230.6	306.1	169.3	1 101.8	6 954.8
Per capita	US$	1995	23 984 (93)	3 057	10 060	14 272	26 096	43 233	2 747	18 799	26 438
At current prices using current PPP's[3]	Bill. US$	1995	98.8	..	123.5	557.8	165	175.7	350.8	1 041.9	6 954.8
Per capita	US$	1995	22 672	..	12 457	14 226	18 673	24 809	5 691	17 776	26 438
Average annual volume growth over previous 5 years	%	1995	2.1 (93)	..	1.4	1.3	0.4	0	3.2	1.2	2.3
Gross fixed capital formation (GFCF)	% of GDP	1995	22 (93)	17.1	23.7	20.6	14.5	22.7	23.3	15.1	17.6
of which: Machinery and equipment	% of GDP	1995	..	..	11.7 (93)	5.8 (94)	7.8	8.3	10.8	7.3 (94)	7.7 (93)
Residential construction	% of GDP	1995	..	..	5.2 (93)	4.1 (94)	1.6	14.4[7]	9.3 (94)	3.1 (94)	4.0 (93)
Average annual volume growth over previous 5 years	%	1995	–3.3 (93)	..	1.8	–0.9	–5.3	–0.2	4	–1.6	5.8
Gross saving ratio[4]	% of GDP	1995	21.9 (93)	..	21.6	21.5	16.6	30.1	19.7	13.8	15.9
General government											
Current expenditure on goods and services	% of GDP	1995	22.1 (93)	..	18.1	16.6	25.8	14	10.8	21.4	16.2
Current disbursements[5]	% of GDP	1994	..	..	42.5 (93)	42.6	66.4	36.8.	..	42.3	35.8 (93)
Current receipts	% of GDP	1994	..	..	39.8 (93)	39.1	57.4	36.6	..	37.3	31.7 (93)
Net official development assistance	% of GNP	1994	1.05	..	0.36	0.27	0.92	0.38	..	0.31	0.15
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1995	11 194	..	8 150	8 812	9 778	14 594	4 021	11 319	17 834
Passenger cars, per 1 000 inhabitants	Number	1993	375	175	332	343	404	440	43	375 (92)	556
Telephones, per 1 000 inhabitants	Number	1993	542	115	311	364	678	611	184	494	574
Television sets, per 1 000 inhabitants	Number	1992	424	295	188	402	469	407	176	435	815
Doctors, per 1 000 inhabitants	Number	1994	3.3 (93)	..	2.9	4.1 (93)	3	3.1	1.1	1.5 (93)	2.5 (93)
Infant mortality per 1 000 live births	Number	1994	5.1 (93)	..	7.9	7.6 (93)	4.8 (93)	5.6 (93)	46.8	6.2	8.5 (92)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1995	3.5	..	..	6.4	4.6	..	..	5.7	2.7
Consumer prices	%	1995	2.4	43	7.2	5.2	4.4	3.2	78.6	3.4	3.1
Foreign trade											
Exports of goods, fob*	Mill. US$	1995	41 836	22 892	23 356	91 615	79 595	81 499	21 853	242 692	584 742
As % of GDP	%	1995	30.9 (93)	19.4	23.4	16.4	34.5	26.6	12.9	22	8.4
Average annual increase over previous 5 years	%	1995	4.4	..	7.4	10.6	6.7	5	10.8	5.7	8.2
Imports of goods, cif*	Mill. US$	1995	32 804	29 050	33 539	114 835	64 469	80 193	36 060	265 696	743 445
As % of GDP	%	1995	23.3 (93)	24.6	33.6	20.5	28	26.2	21.3	24.1	10.7
Average annual increase over previous 5 years	%	1995	3.8	..	6.2	5.6	3.3	2.8	9.8	3.5	8.5
Total official reserves[6]	Mill. SDRs	1995	15 148	9 939	10 663	23 199	16 180	24 496	8 370	28 265	50 307
As ratio of average monthly imports of goods	Ratio	1995	5.5	..	3.8	2.4	3	3.7	2.8	1.3	0.8

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

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